Republic of Malawi
MINISTRY OF FINANCE

INTERNAL AUDIT POLICIES AND PROCEDURES MANUAL FOR LOCAL AUTHORITIES IN MALAWI

2020 - 2021

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ABBREVIATIONS & ACRONYMS

Audit Entity	This is every government department operating at Assembly level as described in the Decentralisation Policy. Examples are agriculture, health, works etc.
CEO	Chief Executive Officer
CIAU	Central Internal Audit Unit
CSRA	Control Self-Assessment and Risk Assessment
DC	District Commissioner
GOM	Government of Malawi
HIA	Head of Internal Audit
IADs	Internal Audit Departments
IIA	Institute of Internal Auditors
IPDC	Internal Procurement and Disposal Committee
LA	Local Authority
LGAP	Local Government Accountability and Performance Project
MDAs	Ministries, Departments and Agencies
MoF	Ministry of Finance
NAO	National Audit Office
PFMA	Public Financial Management Act
PFM	Public Financial Management
QAIP	Quality Assurance and Improvement Programme
ToRs	Terms of Reference
USAID	United States Agency for International Development

FOREWORD

Malawi Government is committed to instilling highest standards of accountability and transparency in public financial management. Funded by USAID and UKAID, GOM launched a five-year Local Government Accountability and Performance (LGAP) Project that supports in the implementation of the National Decentralization Policy which is meant to strengthen local governance as follows:

a. Public service reforms – focused on making the civil service more efficient and accountable
b. Decentralization policy – focused on the devolution of human resource administration and decentralization of fiscal management among local governments
c. Public Financial Management (PFM) – focused on PFM within the District Councils to improve service delivery

Section 3 of the Local Government Act 1998 provides that: "The objectives of local government shall be to further the constitutional order based on democratic principles, **accountability, objectives of local transparency** and participation of the people in decision-making government and development processes".

For **accountability** and **transparency** to be achieved by the Local Authorities, there was need for the establishment of internal audit functions in Local Authorities in addition to other functions. This is why **Section 54 (4)** of the Local Government Act, 1998 provides for the establishment of an internal audit service: "The Assembly shall have an Internal Audit Department". No details are given on the administration, powers, authority or management of the internal audit department. Therefore, it is imperative that the professional pronouncements and guidance for internal audit services be used in the establishment of the internal audit departments in the Local Authorities. In this regard the Institute of Internal Auditors is the authority in this matter.

Malawi government has an internal audit common service which was established in July 2003. The aim of the service is to improve in the use of public resources; reduce potential risks of corruption and financial mismanagement. This service covers ministries and departments but does not filter through to the Local Authorities. It is therefore important that instruments be established to professionally operationalise **Section 54 (4)** of the Local Government Act,1998.

It is against this background that The Ministry of Finance (MoF) with support from USAID and UKAID through the Local Government Accountability and Performance (LGAP) Project planned to develop an Internal Audit Policy and Procedures Manual for Local Authorities. This Manual shall be used to guide internal auditors employed in district, municipal and city councils.

The Ministry may from time to time provide additional guidelines for efficiency improvements of the internal audit function.

I would like to point out that Internal Audit is an important appraisal function that should offer a continuous internal evaluation and advisory service to the Local Authorities. It should entail constant review of the internal controls to ensure that they are effective and reliable to guarantee safety of Local Authorities' assets and reliability of financial records. In this regard, the internal audit reports will be regular, to guide Local Authorities on the general management of finances in order to ascertain whether value for money is received and to sound a signal where things are going wrong.

In the process of developing this Manual, close consultations were made with several institutions, agencies and Local Authorities themselves. The contributions made by the stakeholders were very useful at all stages of developing the Manual. I would like to particularly thank USAID and UKAID for their support in the Local Government Accountability and Performance (LGAP) Project for which this engagement is part.

I hope that this Internal Audit Manual will serve to improve the standard of internal auditing within the Local Authorities in line with the internationally acceptable standards.

My Ministry will provide all the logistical, financial and administrative support to the internal auditors in all Local Authorities as they perform their noble duties of safeguarding public assets.

MINISTER OF FINANCE

PREFACE

INTRODUCTION

The first edition of the Internal Audit Policies and Procedures Manual for Local Authorities in Malawi was issued out in May 2007. Recent trends in the fiscal decentralisation reform and public financial management processes have called for revision of the first edition of the Manual to ensure that it addresses the requirements of the audit based on current accounting and financial management practices on the ground.

Among the notable public financial management interventions introduced by the Government include implementation of the Integrated Financial Management Information System (IFMIS) in all Local Authorities; devolution of sector funds to the Local Authorities; and increased transfer of resources from Central Government, adoption of the International Public Sector Accounting Standards (IPSAS) in 2011 which requires that all the Local Authorities prepare accounts that are compliant with IPSAS, among others.

The revision of the Manual also follows the revision of the Local Authorities Accounting and Financial Management Procedures Manual which takes into account all the public financial management interventions introduced by the Government since the development of the Accounting and Financial Management Procedures Manual in 2009.

THE REVISED EDITION

This revised edition is divided into 9 Chapters as follows:

a. Regulatory and Institutional Framework.
b. Governance, Risk Management, Internal Control and Fraud.
c. Internal Audit Strategy and Annual Audit Planning.
d. Planning and Conducting Internal Audit Engagements (Fieldwork)
e. Audit Evidence and Working Papers
f. Reporting the Results of the Audit Engagement
g. Monitoring and Follow Up Procedures
h. Quality Assessment and Improvement
i. Audit Programmes

USERS OF THE MANUAL

The Internal Audit Policies and Procedures Manual for Local Authorities in Malawi is ideally an operational guide to all internal auditors who are responsible for internal audits of Local Authorities in Malawi.

The Internal Audit Committee of the Local Authority shall be expected to be conversant with the provisions of the Manual in carrying out its oversight responsibility.

INTERPRETATION AND REVIEW

Requests for interpretation of specific aspects of the Manual should be addressed to the Secretary to the Treasury through the Secretariat of the National Local Government Finance Committee.

While the Manual has attempted to comprehensively cover the internal audit aspects relating to Local Authority Accounting and Financial Management System, the coverage may still not be exhaustive. Any suggestions for modifications and improvement should therefore be addressed to the Secretary to the Treasury through the Secretariat of the National Local Government Finance Committee for inclusion in subsequent revised editions.

This revised edition of the Manual will be subject to a complete review every five years in order to remain relevant through incorporation of emerging issues in accounting systems for Local Authorities as well as any public financial management reforms initiated by Government.

SECRETARY TO THE TREASURY

ACKNOWLEDGEMENTS

In developing the Manual, a number of best practice documentation was reviewed and either referenced to or parts adopted verbatim. In particular, we would like to acknowledge this Manual borrowed some aspects of the following with or without modification:

a. Uganda Local Government Internal Audit Manual (2007)
b. Government of Rwanda Internal Audit Procedures Manual (2011)
c. Ghana Local Government Internal Audit Manual (2017)
d. Argyll & Butt Council Internal Audit Manual (2018)
e. Royal Government of Bhutan Internal Audit Manual (2014)
f. Existing Malawi Local Government Internal Audit Manual (2007)

In addition to the above, the Manual reflects best practices taken from the International Professional Practices Framework (IPPF) and PEMPA (Europe & Central Asia) Good practice Internal Audit Manual Template and many other internal audit best practices in other parts of the world.

DISTRIBUTION AND USAGE OF THE MANUAL

This Manual is strictly for use by all internal auditors in Local Authorities of Government of Malawi. No parts of this Manual may be copied without the express written permission of the Ministry or acknowledgement of the Ministry for use of any parts of the manual.

This Manual has been prepared to conform to international standards for the professional practice of internal auditing promulgated by the Institute of Internal Auditors. Internal auditors are encouraged to refer to the full text of the Standards available at www.theiia.org.

We have provided various audit forms that are designed to assist internal auditors in implementing best practices in internal auditing and auditors may customize these further to suit their individual circumstances.

Internal Auditors and any user of the Manual should refer to the acronyms and definitions of words provided to understand the meaning attributed to names, words and phrases used in this Manual.

GLOSSARY OF DEFINITIONS

The following terms are used in the profession of internal auditing. It is very important that every internal auditor understands these terms. Although not all the terms may have been used in this manual, however it is put here as a reference point.

Add Value - The internal audit unit adds value to the entity (and its stakeholders) when it provides objective and relevant assurance, and contributes to the effectiveness and efficiency of governance, risk management, and control processes.

Adequate Controls – these are present if management has designed and implemented internal controls which provides reasonable assurance that the organization's risks have been managed effectively so that the organization's goals and objectives will be achieved efficiently.

Analytical review procedures test the reasonableness of account balances and transactions, involving comparisons of recorded amounts with expectations developed by the auditor, and scrutinizing for unusual items. Involves use of ratios, trends and other statistics.

Assurance Services - An objective examination of evidence for the purpose of providing an independent assessment on governance, risk management, and control processes for the organization. Examples may include financial, performance, compliance, system security, and due diligence engagements.

Appropriation - is a provision in law approved by the Parliament approving the maximum amount that a budget agency may incur in making commitments and payments for specific purposes during the financial year.

Audit Comfort – the assurance derived by the auditor that sufficient appropriate audit evidence has been obtained for each significant business activity and related audit area with financial reporting significance to reduce audit risk to a level that will enable the auditor to issue his opinion on the financial statements or other review subject.

Audit Risk - Audit risk refers to the potential threats to the attainment of audit objectives. Audit risk encompasses inherent risk, detection risk and control risk.

Auditable Area – a project, process, department, system or transaction that cluster possible audit projects in the audit universe form the basis for including audit assignment in the annual audit plan.

Application Controls – Programmed procedures in application software, and related manual procedures, designed to help ensure the completeness and accuracy of information processing. Examples include computerized edit checks of input data, numerical sequence checks, and manual procedures to follow up on items listed in exception reports.

Audit Evidence – information used by the auditor in arriving at the audit opinions, conclusions and recommendations. The information supports planning, testing and reporting steps.

Audit Plan – A high level description of the activities scheduled to be performed by the internal audit unit in one financial year. Also sometimes referred to as action plan.

Audit sampling - Audit sampling is the application of auditing procedures to a representative group of less than 100% of the items within an account balance or class of transactions for the purpose of evaluating some common characteristic of the population.

Business process - Any sequence of transactions that takes place in order to get work done and achieve the business' objectives. These may range, in order of complexity, from a simple procedure, such as paying a bill, to functional, such as maintaining an organization's financial records, to cross functional, like application of human resources.

Charter - The internal audit charter is a formal document that defines the internal audit activity's purpose, authority, and responsibility. The internal audit charter establishes the internal audit activity's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities.

Code of Ethics - The Code of Ethics of the Institute of Internal Auditors (IIA) are Principles relevant to the profession and practice of internal auditing and Rules of Conduct that describe behaviour expected of internal auditors. The Code of Ethics applies to both parties and entities that provide internal audit services. The purpose of the Code of Ethics is to promote an ethical culture in the global profession of internal auditing.

Compliance - Adherence to policies, plans, procedures, laws, regulations, contracts, or other requirements.

Conflict of Interest - Any relationship that is, or appears to be, not in the best interest of the organization. A conflict of interest would prejudice an individual's ability to perform his or her duties and responsibilities objectively.

Consulting Services - Advisory and related auditee service activities, the nature and scope of which are agreed with the auditee, are intended to add value and improve an organization's governance, risk management, and control processes without the internal auditor assuming management responsibility. Examples include counsel, advice, facilitation, and training.

Control - Any action taken by management, the supervisory board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved.

Control Environment - The attitude and actions of the supervisory board and management regarding the importance of control within the organization. The control environment provides the discipline and structure for the achievement of the primary objectives of the system of internal control. The control environment includes the following elements:

a. Integrity and ethical values.
b. Management's philosophy and operating style.
c. Organizational structure.

d. Assignment of authority and responsibility.
e. Human resource policies and practices.
f. Competence of personnel.

Control Processes - The policies, procedures, and activities that are part of a control framework, designed to ensure that risks are contained within the risk tolerances established by the risk management process.

Control Risk - the level of business risk not being prevented or detected by the internal control envir-onment as a whole. One of the three components of audit risk, control risk is the risk that a material misstatement that could occur in an account or cycle will not be prevented or detected and corrected on a timely basis by the entity's internal controls. This risk is a function of the effectiveness of the design and operation of internal control in achieving the entity's objectives relevant to the preparation of the entity's financial statements.

Corporate Governance- The combination of processes and structures implemented by the supervisory board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives.

Corrective Action Plan - List of specific corrective actions agreed with management to close gaps in internal control, governance or risk management processes within an agreed period of time. Internal audit validates implementation of the actions with responsible managers and reports on progress to top management and the supervisory board.

Detection Risk - Detection risk is the risk that the auditor will not detect a material misstatement that exists in an account balance or class of transaction. This risk is a function of the effectiveness of the auditing procedures and their application by the auditor. Detection risk is considered when determining the nature and extent of audit work.

Effectiveness - of risk management, control, and governance processes is present if management directs processes in such a manner as to provide reasonable assurance that the Assembly's objectives and goals will be achieved.

Engagement - A specific internal audit assignment, task, or review activity, such as an internal audit, control self-assessment review, fraud examination, or consultancy. An engagement may include multiple tasks or activities designed to accomplish a specific set of related objectives.

Engagement audit plan memorandum – A document that describes the overall audit strategy for an audit engagement. The document should be approved by the head of the internal audit function.

Engagement Objectives - Broad statements developed by internal auditors that define intended engagement accomplishments.

Engagement Work Program - A document that lists the procedures to be followed during an engagement, designed to achieve the engagement plan. Also referred to as Audit Programs.

Entity – An organization of any size established for a particular purpose. An entity, for example, may be a business enterprise, not-for-profit organization, government body, or academic institution. Terms used as synonyms include organization and enterprise.

Entity Objectives – The reason for any risk management framework is to enable an organization to meet its objectives. Objectives should be assessed at the operational unit level and linked to the overall entity mission.

External Assurance Service Provider - A person or firm outside of the organization that has special knowledge, skill, and experience in a particular discipline.

Fraud - Any illegal act characterized by deceit, concealment, or violation of trust. These acts are not dependent upon the threat of violence or physical force. Frauds are perpetrated by parties and organizations to obtain money, property, or services; to avoid payment or loss of services; or to secure personal or business advantage.

Head of Internal Audit - HIA describes a person in a senior position responsible for effectively managing the internal audit activity in accordance with the internal audit charter and the Definition of Internal Auditing, the Code of Ethics, and the Standards. The HIA or others reporting to the HIA will have appropriate professional certifications and qualifications.

IT General Controls - Controls used to manage the IT activities and computer environment, covering the following areas: Maintenance of existing systems, Development and implementation of new systems, information security, and computer operations.

IIA Standards – The purpose of the International Standards for the Professional Practice of Internal Auditing (IIA Standards) is to:

a. Delineate the basic principles that represent the practice of internal auditing as it should be.
b. Provide a framework for performing and promoting a broad range of value-added internal audit activities.
c. Establish the basis for the evaluation of internal audit performance.
d. Foster improved Assembly processes and operations.

The Standards consist of Attribute Standards, Performance Standards and implementation standards

Attribute Standards address the characteristics of Assembly and parties performing internal audit activities. The Head of internal audit must periodically review the internal audit charter and present it to the Finance and Audit Committee for approval.

Performance Standards describe the nature of internal audit activities and provide quality criteria against which the performance of these services can be evaluated.

Implementation standards expand upon the attribute and performance standards, by providing the requirements applicable to assurance (A) or consulting (C) activities.

Independence - The freedom from conditions that threaten the ability of the internal audit activity to carry out internal audit responsibilities in an unbiased manner.

Impairment - Impairment to organizational independence and individual objectivity may include personal conflict of interest, scope limitations, restrictions on access to records, personnel, and properties, and resource limitations (funding).

Information Technology Controls - Controls that support business management and governance as well as provide general and technical controls over information technology infrastructures such as applications, information, infrastructure, and people.

Inherent risk - Inherent risk is one of the three components of audit risk. The susceptibility of an account balance or cycle to material misstatement, assuming there were no related internal controls. These risks are specific to the client and can relate to macro-economic, industry or entity level conditions or to characteristics of the entity's controls.

Internal Audit Unit/ Activity - A department, division, team of consultants, or other practitioner(s) that provides independent, objective assurance and consulting services designed to add value and improve an organization's operations. The internal audit activity helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management and control processes.

Key Controls - The controls in which the most reliance is placed with respect to mitigating risk and which is the focus of audit tests.

Materiality – the degree of relevance or significance of an absent, inappropriately designed or ineffective control or management arrangement, in relation to the business risk of the Council. Materiality is the magnitude of an omission or misstatement of accounting information that may change or influence the judgement of a reasonable person.

Objectivity - An unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they believe in their work product and that no quality compromises are made. Objectivity requires that internal auditors do not subordinate their judgment on audit matters to others.

Professional Scepticism - an attitude, which means that the auditor should not accept explanations at face value, but should validate or corroborate explanations with sufficient and appropriate evidence.

Reasonable Assurance – The concept that enterprise risk management and internal control, no matter how well designed and operated, cannot provide an absolute assurance regarding achievement of an entity's objectives. This is because of Inherent Limitations in enterprise risk management and internal control.

Risk Assessment – The process of identifying and rating potential events that may negatively impact the achievement of entity objectives.

Risk Appetite – The broad-based amount of risk a company or other entity is willing to accept in pursuit of its mission (or vision).

Residual Risk - The risk remaining after management takes action to reduce the impact and likelihood of an adverse event, including control activities in responding to a risk.

Risk - The possibility of an event occurring that will have an impact on the achievement of objectives. Risk is measured in terms of impact and likelihood.

Risk Management - A process to identify, assess, manage, and control potential events or situations to provide reasonable assurance regarding the achievement of the organization's objectives.

Sampling Risk – the risk that sampling techniques will lead the auditor to an incorrect conclusion, compared to the conclusion reached if the whole population were tested. This is the risk that the conclusions drawn from an audit sample testing might be different from those that would have been reached if the auditing procedures were applied to all the items in the account or population.

Significance - The relative importance of a matter within the context in which it is being considered, including quantitative and qualitative factors, such as magnitude, nature, effect, relevance, and impact. Professional judgment assists internal auditors when evaluating the significance of matters within the context of the relevant objectives.

Statement on internal control - A statement regarding the adequacy and effectiveness of the entity's internal control system during the fiscal year covered by financial statements signed the entity's head of finance.

Substantive Tests – an evaluation of an individual transaction, asset or liability in comparison to its recorded or expected value or state. Substantive tests include substantive analytical procedures and tests of details of transactions and account balances. Their purposes if to provide evidence supporting management's implicit financial statement assertions or, conversely to discover misstatements in the financial statements directed to management information capable of being related to financial statement assertions.

Supervisory Board - an organization's governing body, such as a board of directors, supervisory board, head of an agency or legislative body, board of governors or trustees of a non-profit organization, or any other designated body of the organization, including the Supervisory Board to whom the HIA may functionally report.

Team Leader – the auditor leading a team in an audit assignment.

Test of Controls – the evaluation of the design and operation of an identified internal control.

Terms of reference – an audit planning document prepared to outline the objectives, scope, responsibilities and other expectations of a consulting engagement agreed between the auditor or the auditee especially in consulting engagements.

Top Management – Top management in local authorities include Mayors and Executive Secretaries, and/or in ministries and agencies, they include principal secretaries or/and chief budget managers.

Value for Money refers to the economy, efficiency and effectiveness of a Council's operations.

Walk Through Test – the process of confirming an auditor understands of a system and its related controls by following one transaction through the entire system, from start to finish.

ORGANISATION OF THE MANUAL

As mentioned in the **Preface Section,** this Manual is intended for use by Local Authorities' Internal Audit staff in Malawi. It is tailored to meet their demands in adequately discharging statutory and professional responsibilities towards those Local Authorities being audited and the people of Malawi.

The Internal Audit Manual is based on international best practice in internal auditing and is tailored to the local environment and legislation in Malawi. In line with the best practice as promulgated by the Institute of Internal Auditors this Internal Audit Manual comprises a total of nine distinct Chapters as follows:

Chapter 1- Regulatory and Institutional Framework

This Chapter looks at the professional, legal and organisational matters pertaining to internal audit function in Local Authorities.

Chapter 2- Governance, Risk Management, Internal Control and Fraud

This Chapter looks at the following:

a. Governance;
b. Risk Management and Risk Assessment;
c. Internal Control;
d. Fraud Management; and
e. Periodic Reporting on Governance, Risk Management, Internal Control and Fraud Issues.

Chapter 3 – Internal Audit Strategy and Annual Audit Planning

This Chapter looks at the following:

a. Internal Audit Strategy;
b. Planning Principles;
c. Resources;
d. Planning Process; and
e. Audit Plans.–

Chapter 4 – Planning and Conducting Internal Audit Engagements (Fieldwork)

This Chapter looks at the following:

a. Initiating the Audit Engagement;
b. Planning the Audit Engagement; and
c. Conducting the Audit Engagement (Fieldwork).

Chapter 5 – Audit Evidence and Working Papers

This Chapter looks at the following:

a. Evidence; and
b. Documenting Audit Evidence – Working Papers.

Chapter 6 – Reporting the Results of the Audit Engagement

This Chapter looks at the following:

a. Form of internal Audit Report
b. Reporting Process;
c. Presentation Styles; and
d. Audit Closure.

Chapter 7 – Monitoring and Follow Up Procedures

This Chapter looks at the following:

a. Classifying the Status of Implementation;
b. Data Base of Audit Recommendations;
c. Monitoring Process; and
d. Follow up Process.

Chapter 8 – Quality Assessment and Improvement

This Chapter looks at the following:

a. Quality Assurance and Improvement Programme (QAIP) – Nature and Objectives;
b. Implementation of the Quality Assurance and Improvement Programme; and
c. Reporting and Acting on Results of Quality Assurance and Improvement Programme.

Chapter 9 – Audit Programmes

Containing detailed programmes and checklists for carrying out all the routine audits. Some of the routine audits programmes covered in this Manual are:

a. Revenue Collection
b. Cash and Bank
c. Sales and Trading Undertakings
d. Payments
e. Procurement of Goods and Services
f. Donor Funds
g. Human Resource Management and Payroll

h. Investments
i. Inventory
j. Non Tax Revenue bm. Government Funding
k. Agency and Designated Funds
l. Reserves
m. Non Current Assets
n. Contract and Project Audit
o. Receivables and Staff Advances
p. Accounts Payables and Commitments
q. Loans, Grants and Debt Servicing
r. Review of Financial Statements
s. Audit in a Computerized Environment

CHAPTER 1 REGULATORY AND INSTITUTIONAL FRAMEWORK

1.1 Regulatory Framework

1.1.1 Acts and Bye Laws

Section 54 (4) of the Local Government Act (LGA)1998 establishes internal audit function in all Local Authorities. However, there is no specific law that specifies the roles, powers, authority and responsibilities of internal auditing. Section 14 (1) of the LGA 1998 establishes the Finance Committee as one of the service committees to be set up by the LAs. The Audit Committee is not specifically mentioned by the Act. However, Section 14 (2) of the LGA 1998 provides for the establishment of other committees at local government area level and hence LAs are at liberty to establish an Audit Committee.

The Local Authority Internal Audit function is regulated and governed by both legal and professional provisions. From a legal perspective, relevant Acts and Bylaws that govern the Local Authority Internal Audit function include:

a. The Public Finance Management Act (PFMA), 2003
b. The Public Audit Act (PAA), 2003 as amended
c. The Public Procurement and Disposal of Assets Act (PPDA), 2017
d. The Local Government Act (LGA), 1998 as amended
e. The Corrupt Practices Act (CPA), 1995
f. Pensions Act 2014
g. By-laws of the Local Authority

From a professional view point, the Internal Audit Standards (IAS) as issued by the Institute of Internal Auditors (IIA) regulate the professional practice of internal auditing. Among other things, IAS serve the following purposes:

a. They delineate basic principles that represent the best practice of internal auditing;
b. They provide a framework for performing and promoting value-added internal audit activities; and
c. They provide guidance on procedures for the auditors' consideration of compliance with laws and regulations.

Local Authority Internal Auditors must be conversant with legal and regulatory frameworks of the internal audit function.

1.1.2 International Professional Practices Framework (IPPF)

The Institute of Internal Auditors (IIA) created a framework that defines the role of internal auditors, establishes **mandatory guidelines and offers suggested guidelines.** This framework, called the **International Professional Practices Framework (IPPF)**, is intended to assist internal auditors fulfil their mission of enhancing and protecting organizational value through risk-based objective assurance, advice and insight (IIA, Inc).

The framework is divided into two sections:

a. Mandatory guidelines
b. Suggested guidelines

The mandatory guidelines are organized into four areas:

a. **Definition of Internal Auditing**: IIA's definition of Internal Auditing describes the purpose, nature and scope of internal auditing.
b. **Core Principles**: These principles establish a strong foundation for the role of the internal auditor and promotes effectiveness within the function.
c. **Code of Ethics**: This code outlines the minimal behavior and conduct required in the execution of duties.
d. **International Standards for the Professional Practice of Internal Auditing**: These standards describe the attributes and performance of the internal audit function.

For details of the above provisions each internal auditor should have a copy and frequently refer to the IPPF for more guidance.

1.1.3 Definition of Internal Audit

The Institute of Internal Auditors defines internal auditing as follows:

"an independent, objective assurance and consulting activity designed to add value and improve an Assembly's operations. It helps an organisation accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes." (IIA, Inc).

An Internal Audit Function to be efficient in the deliverance of its service it must take a **"systematic and disciplined approach"** in undertaking its work. One way to do this is for the internal audit function to have an Internal Audit Manual.

In addition, internal audit operational authority is derived from an "Internal Audit Charter". An Internal Audit Charter describes the purpose, authority, and responsibility of internal audit function and internal auditors. It defines the relationship among various players in financial and operational accountability functions and Internal Auditors. The Charter also defines the scope of internal audit, the extent of the audit universe, and the required coordination

between various parties in this case between and among the Central Internal Audit Unit, National Audit Office (NAO) and other external auditors, various ministries operating at local government level, local authority management.

1.1.4 Mission and Objectives of Internal Audit

1.1.4.1 MISSION OF INTERNAL AUDIT

The mission of internal audit in local government will be to enhance and protect Councils value by providing risk-based and objective assurance, advice, and insight into the operations of the Council.

1.1.4.2 OBJECTIVE OF INTERNAL AUDIT

Internal audit offers a continuous internal evaluation and advisory service to all Local Authority establishments and departments. It is specifically charged with reviewing, appraising and reporting on:

a. The effectiveness and adequacy of internal controls;
b. The reliability of financial and other management information;
c. The effectiveness of the accounting procedures;
d. The extent to which Local Authority assets are safeguarded from losses arising from fraud, waste, extravagance and maladministration, poor value for money and other causes;
e. The optimal use of Local Authority resources from the various sources, including Central Government and Development Partners; and
f. The extent of compliance with regulatory frameworks like the Local
g. Government Act, 1998, the Public Finance Management Act, 2003, the Public Procurement Act, 2003, the Public Audit Act, 2003, Local Authority Financial Regulations and Guidelines and other relevant regulatory documents.

From the above points, it will be noted that internal audit for the Local Authorities is at once a protective role, providing assurance to different stakeholders of the Local Authority and contributing to improvements in operational performance.

1.1.5 Internal Audit Charter

IIA Standard 1000 – Purpose, Authority and Responsibility:

The purpose, authority and responsibility of the internal audit activity must be formally defined in an internal audit charter, consistent with the Definition of Internal Auditing, the Code of Ethics, and the Standards. The Head of Internal Audit must periodically review the internal audit charter and present it to senior management and the board for approval.

The Charter specifies the responsibilities and authorities of the Head of Internal Audit (HIA) and Internal Audit Department (IAD) with respect to the audit function and requires the in-

ternal audit activities to be managed in accordance with the Code of Ethics for Internal Auditors, the Standards for Internal Auditing and other guidelines issued by the Ministry of Finance.

The HIA is functionally responsible to the Chief Executive Officer/District Commissioner of the Local Authority (LA) for the efficient and effective management of the audit function in accordance with the Internal Audit Charter. It is the responsibility of the HIA to ensure that the Charter is duly signed and circulated to all departments of the respective LAs.

The Charter also prescribes the responsibilities of the Chief Executive Officer/District Commissioner and management of the LA with respect to the internal audit function. In particular, the Chief Executive Officer/District Commissioner has the responsibility to ensure that the IAD is properly resourced and is operationally independent so as to enable it to provide independent and objective assurance, opinions and reports. The Chief Executive Officer/District Commissioner has further responsibility to ensure that all audit findings and recommendations are properly acted upon.

The Internal Audit Charter is attached to this Manual as **Annex E**.

1.1.6 Internal Auditing Standards

The purpose of the Auditing Standards, issued by the IIA, is to:

a. Outline basic principles that represent the professional practice of internal auditing.
b. Provide a framework for performing and promoting a broad range of value-added internal auditing services.
c. Ensure its relevance in Malawi's context.
d. Establish the basis for the evaluation of internal audit performance.
e. Foster improved organizational processes and operations.

The Standards are divided into Attribute and Performance Standards. Attribute Standards (1000) address the attributes of organizations and individuals performing internal auditing. The Performance Standards (2000) describe the nature of internal auditing and provide quality criteria against which the performance of these services can be measured.

The IIA also from time to time issues Practice Advisories related to specific standards to provide clarification on particular issues. These Advisories deal with most aspects of planning, conducting and reporting the internal auditing engagement, as well as with the management aspects of the internal audit activity. These are listed and referred to in the relevant Chapters, where appropriate and necessary.

All Internal Auditors must comply with the Auditing Standards. Internal Auditors therefore need to thoroughly familiarize themselves with and obtain a good understanding of the Auditing Standards, including the interrelationships between different Standards. Implementation guidance and Supplemental guidance should also be reviewed together with the Standards.

The Auditing Standards directly relevant to the specific subjects under discussion in the various Chapters of the Manual have been reproduced in text boxes for easy reference and for better understanding of the audit processes.

1.1.7 Professional Attributes of the Internal Audit Department and the Internal Auditors

The importance of adhering to the Code of Ethics and the Auditing Standards has already been emphasized. This Section discusses some of the more critical attributes, encompassed in the Code of Ethics and the Attribute Standards that provide the foundation for the professional practice of Internal Auditing. These relate to the quality, integrity and credibility of the work undertaken by the IADs and the Internal Auditors in every step of the audit process and activity.

1.1.7.1 INDEPENDENCE AND OBJECTIVITY

IIA Standard 1100 - Independence and Objectivity:

The internal audit activity must be independent, and internal auditors should be objective in performing their work.

IIA Standard 1110 - Organizational Independence:

The Head of Internal Audit must report to a level within the organization that allows the internal audit activity to fulfill its responsibilities. The Head of Internal Audit must confirm to the Board, at least annually, the organizational independence of the internal audit activity.

Independence is an essential condition for ensuring that the work of the HIA and the IAD is free from any form of bias or influence and is in fact impartial. The Charter has various provisions to ensure the organizational, functional, operational and reporting independence of the HIA and the staff of the IAD. These include:

a. The HIA reports to and has direct access to the Chief Executive Officer/District Commissioner.
b. The Chief Executive Officer/District Commissioner reviews and recommends the Annual Workplan of the IAD for the Board's approval. The CEO/DC monitors the execution of the Annual Workplan through communications received from the HIA.
c. The HIA has unhindered access to all forms of information, employees, contractors and facilities of the LA for the purpose of performing the internal audit function.
d. The HIA or the IAD have no direct authority or responsibility for the activities it reviews. In particular, the staff of the IAD have no direct responsibility for developing or implementing procedures or systems and do not prepare records or engage in original line processing functions or activities.
e. The IAD is provided an independent budget allocation to fund the internal audit activity.
f. The HIA and IAD are able to conduct audits and report findings, opinions, and conclusions objectively without fear of reprisal.

IIA Standard 1120 - Individual Objectivity:

Internal auditors must have an impartial, unbiased attitude and avoid any conflict of interest.

Objectivity in carrying out professional responsibilities is another attribute that is essential to ensure the credibility of auditing. Objectivity includes:

a. Being independent in fact and appearance when carrying out audit engagements.
b. Maintaining an attitude of impartiality.
c. Having intellectual honesty.
d. Being aware of conflicts of interest and acting accordingly.

Conflict of interest is a condition that affects not only the auditors themselves but also the Auditees. Conflict of interest may be defined differently across different organizations. IIA defines conflict of interest as "a situation in which an internal auditor, who is in a position of trust, has a competing professional or personal interest. Such competing interests can make it difficult to fulfil his or her duties impartially. A conflict of interest exists even if no unethical or improper act results. A conflict of interest can create an appearance of impropriety that can undermine confidence in the internal auditor, the internal audit activity, and the profession. A conflict of interest could impair an individual's ability to perform his or her duties and responsibilities objectively."

Individual Auditors have to ensure that they understand and adhere to the Code of Ethics and report any impairment of independence or objectivity to the HIA, particularly when there is a conflict of interest situation. The HIA has to ensure that due consideration is given to presence of any actual conflicts of interest or potential bias while giving assignments. Individual Auditors should report any impairment to their independence and objectivity to the HIA.

IIA Standard 1130 - Impairment to Independence or Objectivity:

If independence or objectivity is impaired in fact or appearance, the details of the impairment must be disclosed to appropriate parties. The nature of the disclosure will depend upon the impairment.

Impairment to organizational independence and individual objectivity may occur as a result of many situations and factors. Some such instances include personal conflict of interest, scope limitations, restrictions on access to records, personnel, and properties, and resource limitations, such as funding.

When impairment occurs or is perceived to have occurred, the HIA should take appropriate action to remove the impairment. If the impairment persists, the HIA should disclose the nature of the impairment to the Chief Executive Officer/District Commissioner, together with an assessment of its impact upon the internal audit activity and the organization and recommendations to address impairment.

So long as an independent, objective and factual perspective has been maintained in their work, Internal Auditors should be prepared to fully defend their findings and recommendations against challenges. They must be prepared to demonstrate that rigorous relevant and

reliable methodologies have been applied and that adequate and sufficient relevant evidence, appropriate in quality and quantity, has been obtained to support findings and conclusions.

1.1.7.2 PROFICIENCY AND DUE PROFESSIONAL CARE

IIA Standard 1200 - Proficiency and Due Professional Care:

Engagements must be performed with proficiency and due professional care.

IIA Standard 1210 - Proficiency:

Internal auditors must possess the knowledge, skills, and other competencies needed to perform their individual responsibilities. The internal audit activity collectively must possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities.

IIA Standard 1220 - Due Professional Care:

Internal auditors must apply the care and skill expected of a reasonably prudent and competent internal auditor. Due professional care does not imply infallibility.

The quality of internal audit work relates to Proficiency and due professional care. The credibility, reliability of audit findings and recommendations rest on these two important attributes. Consequently, the need to exercise due professional care is emphasized throughout the Manual.

The standards require auditors to apply knowledge, skills, and experience needed in performing internal audit services. As a matter of general policy and practice, Internal Auditors should:

a. Engage only in those services for which they have the necessary knowledge, skills, and experience.
b. Perform internal auditing services in accordance with the Internal Auditing Standards and other authoritative guidance.
c. Improve their proficiency, skills and effectiveness on a continuous basis to enhance the quality of their services.

The staff assigned to perform an audit engagement must collectively possess adequate professional competence for the tasks required. These competencies are identified in the position descriptions, job announcements, and the selection process for auditor positions. Competence is a qualitative attribute that is derived from a combination of both education and experience. Using these criteria, the HIAs should generally ensure that the staff assigned to conduct an audit engagement has:

a. The technical knowledge and skills collectively to competently perform the work on the assignment.
b. General knowledge of the subject matter under review and the environment in which the audited entity operates.
c. The experience to apply knowledge to the work being performed.
d. Skills to communicate clearly and effectively, both orally and in writing.
e. Specific skills appropriate for the work being performed (i.e.

f. statistical sampling, information technology, specialized audit methodologies and analytical techniques, etc.).

IIA standards also require Internal Auditors to have:

a. Sufficient knowledge to evaluate the risk of fraud and the manner in which it is managed by the organization, but are not expected to have the expertise of a person whose primary responsibility is detecting and investigating fraud.
b. Internal auditors must have sufficient knowledge of key information technology risks and controls and available technology-based audit techniques to perform their assigned work. However, not all internal auditors are expected to have the expertise of an internal auditor whose primary responsibility is information technology auditing.

As the range of audit work is broad and diverse, Internal Auditors should stay abreast of developments in the profession. Internal Auditors are encouraged to maintain competence by a commitment to learning and development throughout their professional career. Competence enables an auditor to make sound professional judgments.

The IAD will continuously assess staff competencies against identified needs and endeavour to upgrade the collective competencies of staff within the IAD through a programme of staff development so as to ensure the professionalism of the IAD.

Due professional care impacts the quality of the audit work and therefore has to be conscientiously exercised throughout the audit planning, execution and reporting phase. The HIA should establish procedures and workflow to ensure that due professional care is indeed exercised at every phase of the audit activity.

Internal auditors must exercise due professional care in considering the:

a. Extent of work needed to achieve the engagement's objectives.
b. Relative complexity, materiality, or significance of matters to which assurance procedures are applied.
c. Adequacy and effectiveness of governance, risk management, and control processes.
d. Probability of significant errors, fraud, or noncompliance.
e. Cost of assurance in relation to potential benefits.

The exercise of due professional care is greatly facilitated and enhanced when Internal Auditors use technology-based audit and other data analysis techniques in their work.

1.1.7.3 CONFIDENTIALITY

The term confidential means and applies to all sensitive or restricted information. It relates to both information obtained from an entity during the course of audit and the results of the audit itself. These are privileged information. Internal Auditors, unless authorized by the Internal Audit Charter or required by law, should take care not to disclose any information obtained during the audit process.

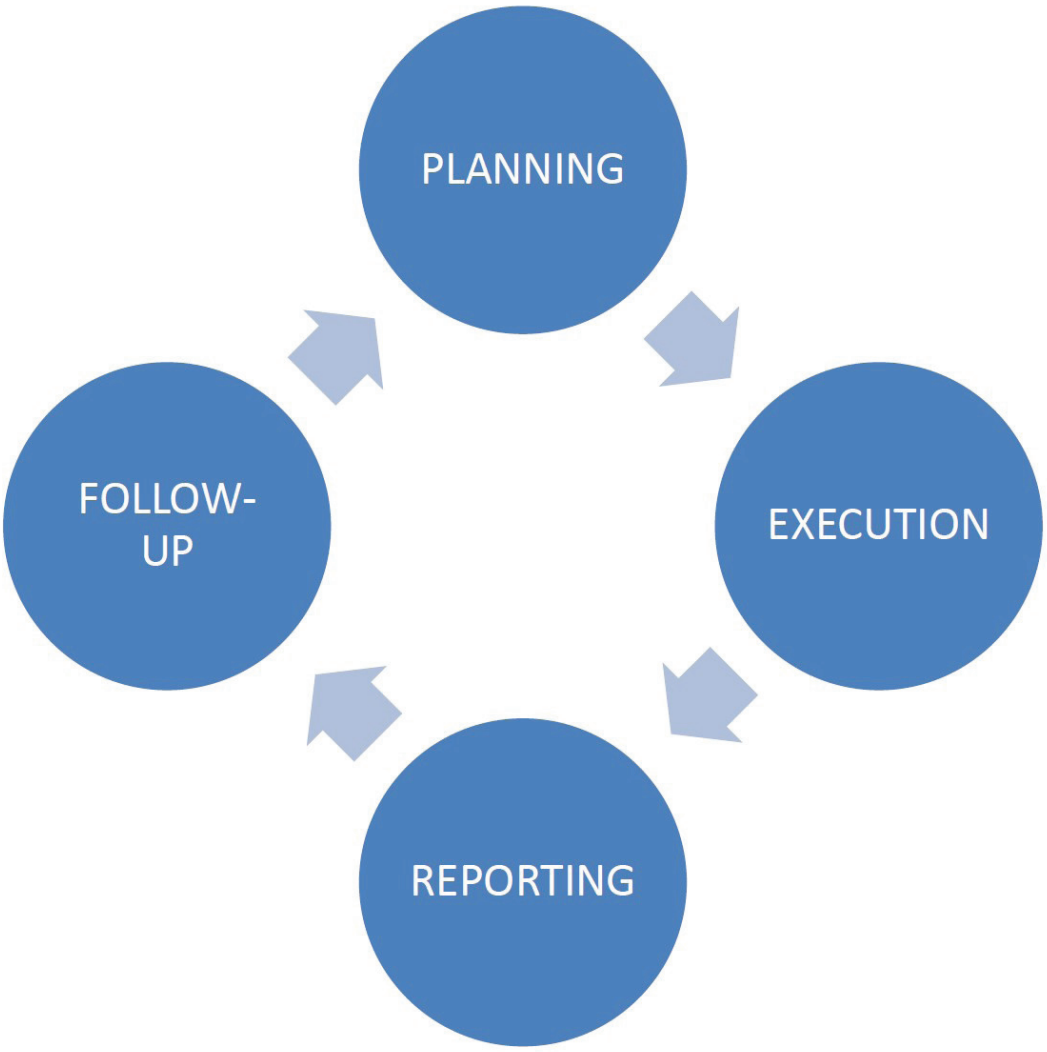
When information is requested by third parties, including other government agencies, they should be advised to approach the management of the LA.

Information obtained during the audit process should only be used for the purpose of the audit. Such information should not be used inappropriately for personal gain or in a manner contrary to the legitimate interests of the LA.

1.1.8 Overview of the Audit Process

Every audit is unique; however, they generally consist of the following four phases: Planning, Execution, Reporting, and Follow-up Procedures. These are summarized in Annex I-1.

The following diagram outlines the process for undertaking an internal audit of a Local Authority. For each step, a brief description is given of the related techniques, information sources and documents used in the audit.



Detailed descriptions of the related audit processes, techniques, and documents are further elaborated in various sections of this Manual. Further clarification may be obtained directly from the Head of Internal Audit.

a. **Planning – Audit Strategy and Annual Audit Plan**

At the most fundamental level, the HIA and IAD must establish what is going to be audited through a risk based planning process. This will generally determine the audit activities to be undertaken during the next year and the following two years.

The Annual Plan would include a number of Audit Engagements that have been prioritized on the basis of risks and other important factors. The Audit Engagement represents the audit work that will be undertaken by the HIA and the IAD in selected areas of the LA. At the time when an engagement is included in the Annual Plan, the preliminary Audit Objective and the Scope of Audit to be undertaken and the audit resources allocated for the Engagement would be included in the Audit Plan.

Details relating to this phase are included in Chapter 3 of the Manual.

b. **Engagement Planning and Execution**

In the first step of this phase, the work to be done in the Engagement is properly planned. Since it is neither practical nor cost-effective to audit everything, the HIA must identify the significant risks associated with the audit subject area. Information on the governance, risk management and internal controls processes as well as other pertinent information relating to the subject area are obtained through documents, interviews of key Auditee staff and other relevant stakeholders, preliminary surveys and preliminary or 'walk through' testing. The information thus collected is then analyzed and used to refine and if necessary reformulate meaningful Audit Objectives and establish an appropriate Audit Scope to achieve the audit Objective. This process helps the HIA ensure that audit resources and effort are devoted to a relatively few key areas that can have a significant impact on the performance and results of the programme, organization or activity being audited. At the end of this planning process, the HIA would have prepared an Engagement Plan that would clearly articulate what will be audited, why it will be audited, and how it will be audited based on an audit programme that clearly outlines the audit approach and audit steps.

The next step in this phase, also commonly termed as Field Work, concentrates on executing or implementing the Engagement Plan. The main objective at this stage of the process is to obtain appropriate and sufficient evidence to support findings and conclusions with respect to the Audit Objectives and identify the causes underlying any deficiencies that may be found.

The information or the audit evidence collected is systematically documented to facilitate the formulation of audit recommendations and the engagement Audit Report. Where feasible, during this phase, potential findings and recommendations are already discussed with the Auditee.

Details relating to this phase are included in Chapter 4 of this Manual.

c. **Reporting**

In this phase, after the evidence obtained is carefully evaluated, the findings and conclusions are refined and recommendations that will help Management mitigate risks and root causes of deficiencies are formulated. The Audit Report on the engagement is then prepared on the basis of this information.

The draft Audit Report is discussed with the Auditee to obtain agreement on the facts, findings and the appropriateness of the recommendations. The Draft Report may be further refined on the basis of inputs received from the Auditee.

When the draft Report is finalized, the Auditee is requested to provide the action plan for the implementation of the recommendations. This action plan is then incorporated into the Report.

The final Report is issued to the CEO/DC, and the Auditee. Where necessary the report is presented orally to the CEO/DC.

Details on reporting process are in Chapter 6 of the Manual.

d. **Follow-up Procedures**

Internal Auditors should take reasonable measures to ensure that Management takes action on all the internal audit recommendations so as to ensure that the LA benefits from the audit engagement.

Chapter 7 of the Manual provides guidance on the follow-up and monitoring processes to be implemented by the IAD.

1.2 INSTITUTIONAL FRAMEWORK

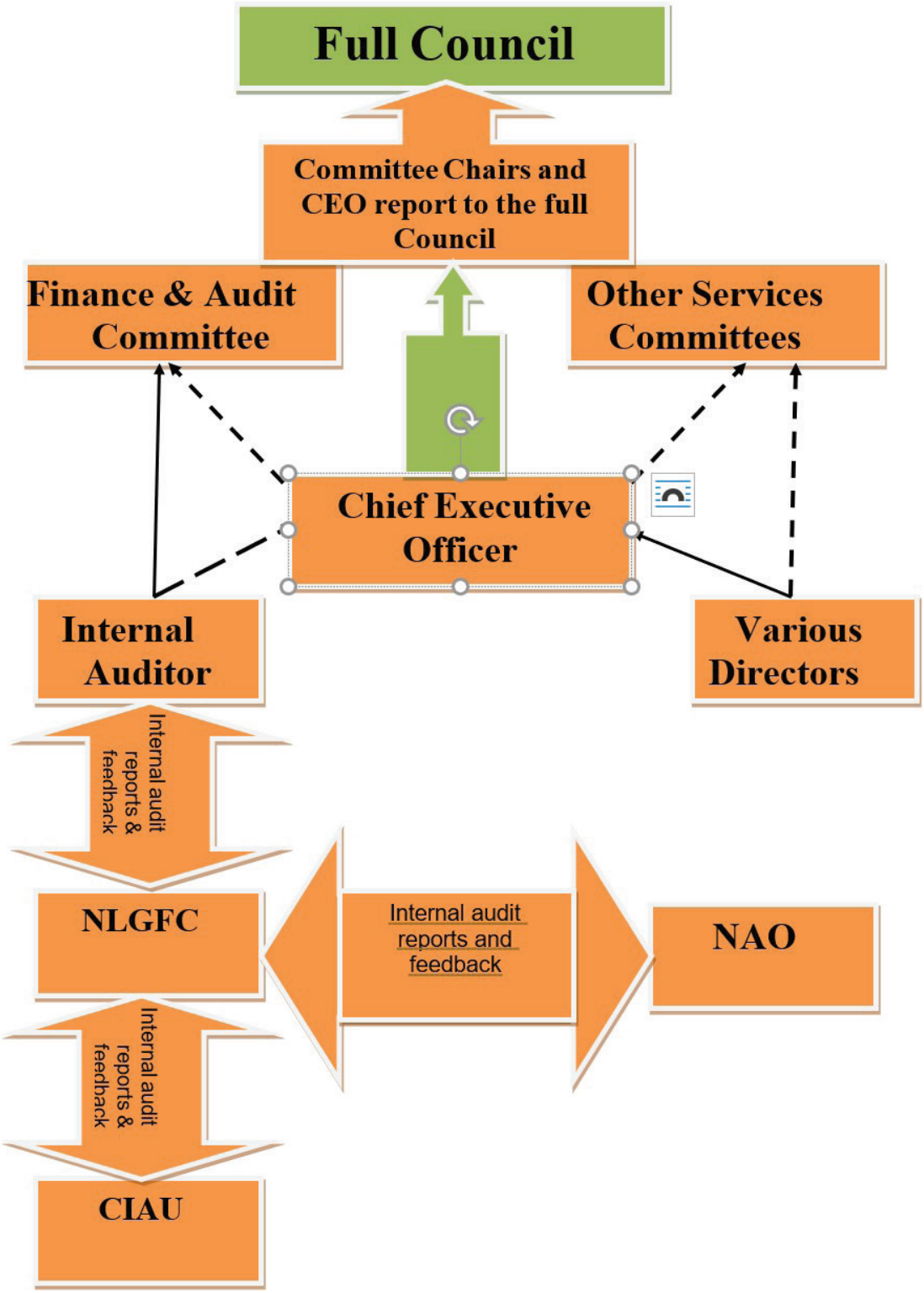
1.2.1 Conditions Necessary for Effective Internal Audit

For internal audit to fulfil its responsibilities it is essential that it operates with adequate scope, authority, independence and resources. In the context of the Local Authorities (LAs), the conditions that will promote effective internal audit include the following:

a. Independence from operational functions;
b. Authority to determine the scope of work;
c. Communication access to top authority;
d. Status to allow for credibility as to the importance of its role;
e. Professionalism to maintain respect and esteem within the Local Authority;
f. Action and support by the Local Authority, management and relevant authorities upon the advice provided;
g. Objectivity in report findings; and
h. Reporting to the Local Authority, management and relevant authorities in an orderly and timely manner.

1.2.2 Institutional Reporting Framework

For an effective LA internal audit function that is capable of meeting the above conditions, the reporting structure for the LA Internal Auditor shall be as depicted in **Fig 1** below:



To promote independence of the internal audit function the Internal Auditor shall functionally report to the Finance/Audit Committee of the Local Authority. The role of the Finance/Audit Committee shall be to review and consider the internal audit reports and make recommendations to the elected members of the Local Authority as appropriate.

1.2.3 Relationship of the Internal Auditor with the District Commissioner/Chief Executive Officer

The Internal Auditor shall administratively report to the District Commissioner (DC)/Chief Executive Officer (CEO) as the Head of the Local Authority Secretariat. The internal audit function is primarily an aid to the Local Authority and management. Therefore, management should aim at preserving the Internal Auditor's independence status, and ensure that he has free access to all financial and operational records, to enable him assure the Local Authority of the continued existence of financial and operational security, control and transparency. The DC/CEO should not interfere with or suppress the Internal Auditors' enquiries and reports prior to their consideration by the Finance or Audit Committee of the Local Authority.

1.2.4 Relationship of the Internal Auditor with Other Directors

While the Internal Auditor shall submit reports directly to the Finance/Audit Committee of the Local Authority, there shall be harmony and co-operation with other Directors and Heads of Departments of the Local Authority and shall report on the systems and operational procedures whether they are efficient, effective, economical and are in accordance with recommended regulations.

The Heads of Departments and the Internal Auditor must accordingly encourage full exchange of ideas and information between them to secure optimal internal financial control benefits for the Local Authority.

1.2.5 Relationship of the Internal Auditor with the NLGFC

The reports of the Internal Auditor shall be copied to the National Local Government Finance Committee (NLGFC) in its capacity as a constitutional financial regulator of the LAs. The roles of the NLGFC in this context shall include:

a. Consideration of observations of the internal audit report and subsequent follow up action as may be deemed necessary by the Finance/ Audit Committee or management of the Local Authority.
b. Giving feedback to the Internal Auditor and the Finance /Audit Committee on any issues referred to Central Government.
c. Periodically reviewing the performance of the Internal Auditor to ensure that internal audit adds value to the management of Local Authority resources.
d. Providing suitable guidance to Internal Auditors on how to effectively use the LA Internal Audit Manual in their audit assignments.

e. Liaising with the National Audit Office (NAO) on issues raised by the Internal

Auditors and equally on recommendations made to the Local Authorities by NAO.

1.2.6 Relationship of the Internal Auditor with the Auditor General and Central Internal Audit Unit

In order for the Auditor General to be fully informed of the financial and operational performance of the LAs, audit reports produced by the Internal Auditor should be copied to the Auditor General through NLGFC. This will also assist NAO to review the effectiveness of LA internal audit as part of their evaluation of management control systems in order to determine the extent to which NAO may rely on internal audit work in their audit assignments of the LAs.

The reports of the Internal Auditor shall also be copied to the Central Internal Audit Unit (CIAU) in the Ministry of Finance by the National Local Government Finance Committee. The role of the CIAU shall be oversight and policy guidance only.

1.2.7 Relationship of the Internal Auditor with the Ministry of Local Government and Rural Development

The reports of the Internal Auditor shall also be copied to the Ministry of Local Government and Rural Development which is responsible for following up issues arising from the internal audit reports.

1.2.7.1 ANNEX I-1: THE INTERNAL AUDIT PROCESS

Phase	Process	Steps / Tasks
1. Strategic and Annual Planning (CHAPTER III)	a) Establishing Internal Audit Strategy	. Identify Audit Universe & Auditable Areas . Establish Audit Strategy
	b) Establishing Annual Audit Plans	. Determine and allocate resources. . Understand Organizations. . Conduct macro risk assessment. . Rank risks by Auditable Areas . Consult with key stakeholders . Prioritize Audit Engagements by risk and other priorities. . Establish Audit Plan
2. Engagement - Planning and Conducting (Field Work) (CHAPTER IV)	a) Engagement Planning	Notify Auditee. Gather information and understand Auditable area. Conduct risk assessment of Auditable area.
		Review and assess internal controls in Auditable area.

Phase	Process	Steps / Tasks
		Evaluate and identify significant issues in terms of governance, risks and controls.
		Refine audit objectives, scope.
		Establish audit criteria
		Consider audit approach and methodology and prepare Audit Programme.
		Allocate resources and schedule field work.
	b) Conducting the Audit Engagement (Fieldwork)	Entry meeting with Auditee. Conduct fieldwork according to Audit Programme and document evidence – noting its relevance and adequacy.
		Evaluate evidence and establish findings.
		Conclude based on criteria.
		For deficiencies – identify causes and effects.
		Develop preliminary recommendations.
		Exit meeting with Auditee
3. Communicating Results (Reporting) (Chapter VI)	a) Preparing Audit Report	Evaluate / review audit evidence Re ne audit findings, conclusions and recommendations.
		Prepare draft report
		Confer and agree with Auditee the accuracy of facts and reasonableness of findings, conclusions and recommendations.
		Obtain Action Plan for implementing recommendations from Auditee.
	b) Issuing Final Report to CEO/DC and other relevant stakeholders.	Finalize Issue Report ensuring quality standards. Issue report of CEO/DC and other relevant stakeholders.
		Brief CEO/DC and other senior managers.
		Obtain feedback from Auditees and other stakeholders and analyze and note results for quality improvement.
4. Monitoring and Follow-up of implementation of audit recommendations (Chapter VII)	a) Monitor implementation of recommendations	Establish database of recommendations. Obtain regular feedback from Managers on implementation. Determine where follow-up audits are required.
	b) Follow-upaudit to verify implementation of more complex recommendations	Conduct follow-up audits as are necessary. Report to CEO/DC on follow-up audits.
	c) Report to CEO/DC and senior managerson status of implementation of recommendations	Issue periodic reports to CEO/DC and other relevant stakeholders on status of implementation of recommendations.

CHAPTER 2 GOVERNANCE, RISK MANAGEMENT, INTERNAL CONTROL AND FRAUD

IA Standard 2100 - Nature of Work:

The internal audit activity must evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach.

2.1 Introduction

Governance, risk management and internal controls are core elements in the practice of internal auditing and encompass all phases of an audit. This Chapter discusses the nature of each of these elements and how they are dealt with in internal auditing. An understanding of these elements together with fraud related issues is considered as imperative to the effective performance of internal auditing.

Even though governance, risk management and internal controls are discussed under separate Sections within this Chapter, it should be noted that these three elements are closely interrelated and linked to each other. Effective governance activities consider risks when establishing organizational goals, objectives and implementation strategies and the related operational plans. Controls are the corollary of risks in the sense that controls represent the actions that are taken to manage risks and increase the likelihood of achieving the established goals and objectives. Effective governance mechanisms rely on the effectiveness of the internal controls. These linkages and their impact on the organization should be clearly understood and appreciated throughout the audit process from planning to final reporting.

In the LAs, responsibilities for the administrative and management functions, subject to the laws enacted by the Parliament and regulations and procedures established by central agencies, rests with the respective CEOs/DCs. Internal Auditors must use their judgment when interpreting the standards and making conclusions with respect to the responsibilities of the CEOs/DCs.

2.2 Governance

IIA Standards 2110 – Governance:

The internal audit activity must assess and make appropriate recommendations for improving the governance process in its accomplishment of the following objectives:

- *Promoting appropriate ethics and values within the organization;*
- *Ensuring effective organizational performance management and accountability;*
- *Communicating risk and control information to appropriate areas of the organization; and*
- *Coordinating the activities of and communicating information among the board, external and internal auditors, and management.*

2.2.1 Definition of Governance

The term governance has a range of definitions depending on a variety of environmental, structural, and cultural circumstances, as well as legal frameworks. IIA has, as part of the Standards, defined governance as *"The combination of processes and structures implemented by the board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives"*.

Public sector governance encompasses the policies and procedures used to direct an organization's activities to provide reasonable assurance that objectives are met and that operations are carried out in an ethical and accountable manner. It also includes activities that ensure a government's credibility, establish equitable provision of services, and assure appropriate behavior of government officials so as to reduce the risk of corruption.

Most governments establish broad national goals, strategic plans and articulate policies through legislation, resolutions and also allocate resources through the national budget processes. Central agencies provide further guidance through policy directives and establish regulations and procedures to provide the framework for the implementation of these polices. CEOs/DCs and senior managers of LAs have responsibility to establish appropriate governance processes within their LAs to ensure that their mandates are properly interpreted and implemented and the goals and objectives set for their respective LAs are achieved. As much of internal audit work is focused on governance, where necessary, HIAs must discuss with their respective CEOs/DCs and senior managers and agree with them the essential elements of governance at the LA level to avoid misconceptions and differences in view (refer the professional advisory series to see the relevance).

2.2.2 Principles and Attributes of Good Governance

Following are some important principles that contribute to good governance:

Strategic – Policies, directions and performance expectations are established in a transparent manner, documented and communicated to guide the operations at all levels of the organiza-

tion. Care should be taken to ensure that these are properly aligned to national policies, plans, budgets and performance goals and objectives established by the Parliament and relevant central agencies.

Risks and controls – Risks to the achievement of the organization's goals and objectives are identified, assessed and where necessary, appropriate control and mitigation measures are established. These are also properly communicated to relevant operational areas.

Ethics and integrity – Ethical and integrity values enshrined in government policies and civil service codes are regularly emphasized and promoted at all levels of the organization. Programmes are established to regularly promote and reinforce ethical conduct. Management should reinforce ethical values by setting proper "tone at the top" and establish an adequate system of internal controls. is should include enforcing clear lines of accountability that hold people responsible for not only doing the right thing, but also doing it right.

Monitoring – Processes are put in place to regularly assess and ensure that policy is implemented as planned and is in compliance with established policies, laws, and regulations and that resources are deployed efficiently. Where the overall performance does not meet plans, expectations or not in compliance with regulations and procedures, the underlying causes are quickly identified and corrective actions are implemented to remove the causes.

Reporting – A financial and performance reporting system that is validated should be in place at every level of the organization to regularly report on the accomplishment of goals and objectives against resources used. This system should be aggregated to ultimately provide performance reports to both the central agencies and the Parliament at periodic intervals and annually, as required.

Underlying good governance are also the following:

Accountability – Is the process whereby public sector entities, and the individuals within them, are responsible for their decisions and actions, including their stewardship of public funds and all aspects of performance, and submit themselves to appropriate internal and external scrutiny. Accountability will be better achieved when all the parties concerned have a clear understanding of their respective responsibilities and have clearly defined roles established through a robust organizational structure. In effect, accountability is the obligation to answer for responsibility conferred.

Transparency - Good governance includes appropriate disclosure of key information to stakeholders so that they have the necessary facts about the entity's performance and operations. is would mean that reliable and timely information about existing conditions, decisions and actions relating to the activities of the organization is made accessible, visible and understandable to the relevant stakeholders and parties. Transparency is increased when Auditors perform audits and provide assurance that government actions are ethical and legal and that financial and performance reports accurately reflect the true measure of operations.

Probity - The principle of probity calls for public officials to act with integrity and honesty. This relates to management of resources and also to disclosure of information that is reliable and correct.

Equity - The principle of equity relates to how fairly government officials exercise the power entrusted to them. Citizens are concerned with the misuse of government power, waste of government resources, and any other issues involving corruption or poor management that could negatively impact the government's obligations and service delivery to its citizens. Governmental equity can be measured and evaluated across the following dimensions: service costs, service delivery, and the exchange of information.

2.2.3 The Role of Internal Audit in Governance

Internal audit activity is an essential part of the governance process. Internal Auditors provide independent objective assessments of the design and the operating effectiveness of the organization's governance processes. As governance plays a significant role in the achievement of an organization's goals and objectives, HIAs should plan to regularly review and report on governance processes.

HIAs should carefully document key aspects of the governance processes in the organization, if Management has not already adequately documented the processes. It is possible that Management itself may not have formalized process and practices, which may have evolved over a period of time. When the processes are documented, HIAs should have Management confirm the accuracy of the documentation and the Auditor's understanding of the processes. This process in itself is likely to contribute to the governance process, as Management is made aware of the importance of certain practices and also possibly the lack of certain processes. The HIA should ensure that the documentation of the existing governance processes is kept up to date. Knowledge of these processes assists the HIA in preparing the Annual Audit Plan.

HIAs should conduct a preliminary evaluation of the documented governance processes and the risks associated with the processes. Based on a preliminary evaluation of the processes mentioned in the above paragraph, the HIA could take one of three approaches to auditing governance processes:

Conduct audits at the macro level - such audits would include the entire governance framework, including ethics, planning, monitoring and reporting.

Conduct audits at the micro level – considering specific risks, processes such as monitoring, or activities such as those related to promotion of organizational ethics or some combination of these elements.

In addition to the above, it should be noted that audit engagements that are not focused on governance, for example an audit of a particular programme or activity such as procurement, would nevertheless include some elements of governance issues. Therefore, HIAs could also collect the necessary information and evidence on governance processes systematically across several audits and aggregate all the governance related findings for inclusion in a periodic audit report on governance issues.

The HIA should use the evaluations mentioned in the above paragraph as input into to the overall annual planning process, discussed in Chapter 3 – Audit Strategy and Annual Plan. The audit engagements relating to governance should be prioritized on the basis of assessed

risks within the audit-planning framework and included within the Annual Audit Plan, if appropriate.

The methodology for evaluating and reporting on an entity's governance processes needs to be logical and appropriate. Internal Auditors, in conducting an assessment of governance processes in a specific subject area that is included in the Annual Audit Plan should follow the auditing process and procedures outlined in Chapter 4 and 5. These include the following:

Obtaining adequate and relevant evidence by conducting audits guided by comprehensive audit plans which clearly establish audit objectives, scope of the work and the audit steps required to achieve the audit objectives.

Evaluate evidence against established criteria, identify causes of any deficiency that is identified, and the likely impact of the findings on the Organization.

Report the results of the audit together with recommendations.

Properly document the evaluation process.

2.3 Risk Management and Risk Assessment

2.3.1 Introduction

Risk is defined as the possibility of an event occurring that will have an impact on the achievement of objectives. Risk is measured in terms of the likelihood of an adverse event occurring and the impact of that event in case it does occur. Management is responsible for risk management. Internal Audit is responsible for assessing whether the risk management system has identified all key risks faced by the organization and appropriate measures and controls have been established to minimize the impact of the risk should it occur.

2.3.2 Management Responsibility for Risk Management

Risk management refers to the process whereby management identifies and assesses business or operational risks (internal and external), and puts in place controls and other measures to mitigate the risk so as to have a reasonable assurance of achieving the organizational objectives. Management is responsible for this entire process.

Risk management is a key responsibility of management. To achieve its business objectives, management should ensure that sound risk management processes are in-place and functioning. Persons responsible for risk management within the organization should be clearly identified and assigned responsibilities for both identifying risk exposures and implementing measures to mitigate those risks.

Risk management may vary from organization to organization due to various factors such as the stage of the development of management culture and processes in the organization, management style, the size of the organization and the complexity of its business. Large and

complex organizations may have specific organizational units dedicated to the management of risk through formal structures and systems. Smaller and less complex organizations may manage risks through less formal processes. Nevertheless, modern approach to management requires managers to be aware of and recognize risks, and address those risks in ways that are appropriate to the nature of the organization's activities.

A good risk management process would include the following elements:

a. Risks arising from business strategies and activities are identified, assessed and are prioritized in terms of their likely significance.
b. The CEO/DC and senior Management have determined the level of risks acceptable to the LA, including risks that might impact the LA's strategic plans.
c. Risk mitigation activities are designed and implemented to reduce, or otherwise manage risk at levels that were determined to be acceptable to management. In some cases, establishing controls may be more costly than the likely impact of a risk.
d. Risks as well as effectiveness of relevant control and mitigation measures are periodically reassessed and corrective actions instituted where necessary.
e. The CEO/DC and senior Management receive periodic reports of the results of the risk management processes as an integral part of LA's governance processes. Management should also periodically communicate to relevant stakeholders, possibly as part of its performance reports, on the exposure of the LA to significant risks and the risk management strategies that have been put in place.

2.3.3 Role of Internal Audit in Risk Management

IIA Standard 2120 - Risk Management:

The internal audit activity must evaluate the effectiveness and contribute to the improvement of risk management processes.

Internal Audit is responsible for the assessment of adequacy of risk management process within an entity. In particular, the Internal Auditor needs to assess whether the risk management methodology and processes adopted by Management is sufficiently comprehensive and appropriate for the scale and nature of the organization's activities. Internal Auditors determine this by undertaking special audits or engagements with clearly defined audit objectives and audit steps to collect sufficient evidence to assess whether risks have been managed adequately. Internal Auditors seek to determine:

a. If risks have been systematically identified and assessed as to the likelihood of it occurring and the impact if an event were to occur.
b. Mitigation measures such as controls have been properly designed and implemented to reduce the risk.
c. That the measures and controls are in fact functioning as planned.

It is possible that Management in some LAs may not have established or implemented risk management policies or the risk management process may still be in a development stage or the system may be rather informal in nature. In such situations, the HIA should discuss with

the CEO/DC, their obligation with respect to risk management. Management needs to understand, manage, and monitor risks to ensure that the probability of achieving its organizational objectives are not reduced by events that could be foreseen and managed. Management has responsibility to ensure that the processes within the LA are properly required to identify key risk areas and to manage those identified risks adequately with appropriate mitigation measures and controls.

Where risk management has not been developed or is still in an early developmental stage, the CEOs/DCs may require Internal Auditors to play an active role in risk management. Subject to the specific direction provided by the CEO/DC, the HIA should take a proactive role in Risk Management within the LA. This proactive role could be in the form of providing continuous support to Management in developing and maintaining a risk management system. Alternatively, such support may only include periodic participation in various management committees, monitoring activities or reporting on the progress being made in implementing the risk management processes in the LA. On the other hand, in some instances, the HIA could be given the complete responsibility for the development and maintenance of a risk management system for a period of time until the CEO/DC is able to make different arrangements. Such a proactive role could, in the mid to long-term, help the LA manage risks more purposefully and improve the likelihood of achieving its goals and objectives.

When taking on any responsibility for the risk management function, and given that resources allotted to the internal audit function are rather limited, the HIA should inform the CEO/DC about the impact of such additional responsibilities on internal audit work. Further, the involvement of the HIA in such activities should be clearly reflected in the HIA's audit activity reports.

By assuming responsibilities for risk management, which is essentially a management function, the independence of the HIA and the IAD may be adversely affected. These concerns should be properly recorded and discussed with the CEO/DC and also reflected in the HIA's audit activity report, where necessary and appropriate.

2.3.4 Risk Assessment in Internal Auditing

IIA Standard 2010 – Planning:

The Head of Internal Audit must establish risk-based plans to determine the priorities of the internal audit activity, consistent with the organization's goals.

Interpretation:

The Head of Internal Audit is responsible for developing a risk-based plan. The Head of Internal Audit takes into account the organization's risk management framework, including using risk appetite levels set by management for the different activities or parts of the organization. If a framework does not exist, the Head of Internal Audit uses his/her own judgment of risks after consultation with senior management and the board.

Internal Auditors are required to conduct risk assessments and make conclusions about the adequacy of risk management in an entity for the purpose of establishing both the Audit Strategy and Annual Audit Plan and the Engagement Plans for the conduct of audits in individual areas. The HIA and Internal Auditors should be aware of and take into account the following concepts relating to risks from an audit perspective when conducting risk assessment:

a. **Inherent Risk** - The probability of material errors and incorrect information, entering the accounting and management systems that could result in misrepresentation or misstatement of financial and other results, based on the assumption that there are no effective controls.
b. **Residual Risk** - The risk remaining after management takes action through various measures, including establishing control activities, to reduce the likelihood of adverse events occurring and their impact should they occur. Management actions would reduce inherent risks, but may not completely eliminate the risks. Management should be aware of such residual risks. Where Management has not done an evaluation of the residual risk, Internal Auditors should evaluate the risk and report their findings to Management, if necessary.
c. **Control Risk** - Control risk is the probability that the client's internal control system will fail to detect material misstatements due to its own structural weakness. Where controls are not properly designed or not properly executed as designed, the probability of control failures are higher. For example, a major defalcation is more probable under a weak internal control structure than under a well-designed one. Reliance on a control system alone without other supporting audit work exposes an Auditor to control risk.
d. **Detection Risk** – the chance that the auditor will not detect a material problem, mostly would arise as a result of poorly designed audit procedures or that the Auditors executing an audit programme do not fully understand the nature and importance of the planned audit tests.

The internal audit activity itself is exposed to risks and this is termed as **Audit Risk**. These risks have been classified into the following three broad categories:

a. Audit failure.

b. False assurance.
c. Reputation.

The IIA also identifies the causes of these risks and possible actions to reduce the occurrence of the risks and its impact. While it may not be possible to eliminate these risks completely, the Internal Audit Charter and the Audit Manual have included processes and procedures to minimize or reduce these risks. HIAs should understand the nature of the risks and ensure compliance with the Audit Manual and take such other actions as are necessary to suit local conditions to further reduce risks to the internal audit function.

2.3.5 Risk Assessment and Annual Audit Planning

HIAs should use risk assessments in preparing the IAD's Audit Strategy and the Annual Audit Plan. Proper risk assessment at a macro level of all the programmes, the various organizational units and operational processes that constitute the audit universe helps the HIA identify and prioritize those programmes, activities, organizational units and operations that should be included as potential audit engagements in the Annual Audit Plan. Such systematic prioritization based on risks as well as other pertinent factors is essential to ensure that scarce resources are allocated to conduct audits of areas that bear the highest risk to achieving organizational goals and objectives. Detailed guidance on the use of risk assessment in the planning process is provided in Chapter 3 - Internal Audit Strategy and Annual Planning.

2.3.6 Risk Assessment and Audit Engagements

Risk assessment is an important part of planning and conducting audit engagements (audit work) of the areas or subjects identified and included in the Annual Audit Plan. Detailed assessments of risks at the micro level – i.e. at the level of the subject area, helps the HIA and the Internal Auditors establish and refine the objectives of conducting the audit (Audit Objective). It is also instrumental in determining the audit programme or steps i.e. the lines of enquiry, so as to ensure that efforts are focused on the most important risks associated with the subject being audited. Detailed guidance on the use of risk assessment in Engagement Planning is provided in Chapter 4 - Engagement Planning and Execution.

In principle, the HIAs and Internal Auditors should use the results of risk assessments conducted by Management when developing Annual Audit Plans as well as Engagement Plans. Nevertheless, unless the adequacy of Management's risk management processes has been completely audited and verified, HIAs should be careful in placing complete reliance on Management's risk assessment. The HIA should use professional judgment to determine and conduct such additional work as is necessary to ensure that at least all key risks are properly identified.

The HIA should, where Management has not established formal risk management processes or when risks are not properly identified and documented, conduct risk assessments for the purposes mentioned in Section 2.5 above. Such assessments, if feasible, could be done in coordination or in close consultation with Management so that the results could be shared, understood and agreed upon by both parties. This will assist in minimizing possible disputes at a later stage in the audit process.

In conducting audit engagements that are intended to address specific aspects of risk management either at the macro level or at the micro level, the same audit methodology as mentioned in Section 2.1.3 above with respect to Governance should be used.

2.4 Internal Control

IIA Standard 2130 - Control:

The internal audit activity must assist the organization in maintaining effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement.

2.4.1 Meaning and Purpose of Internal Control

IIA defines Control Processes as the policies, procedures, and activities that are part of a control framework, designed to ensure that risks are contained or managed within the limits of risk tolerances established by the risk management process. Simply stated, the purpose of the control processes is to make sure that what happens in the organization is what is supposed to happen and that, to the extent practical, undesirable results do not occur. IIA also states that Adequate Control is present if management has planned and organized controls (designed) in a manner that provides reasonable assurance that the organization's risks have been managed effectively and that the organization's goals and objectives will be achieved efficiently and economically.

Internal control relates to more than just financial transactions. It involves almost all operations of the entity. Internal controls help the organization manage its risks by:

a. Promoting orderly, economical, efficient and effective operations, and producing quality products and services consistent with the organization's mission.
b. Safeguarding resources against loss due to waste, abuse, mismanagement, errors and fraud.
c. Promoting adherence to laws, regulations, contracts and management directives.
d. Developing and maintaining reliable financial and management data presenting accurate, reliable and timely information and reports.

2.4.2 Management responsibility for Internal Control Framework

Management has the responsibility to establish an effective internal control framework to support the management of identified risks and the achievement of organizational goals and objectives.

The Public Finance Management Act 2003 as amended, Desk Instructions and other directives issued by the Ministry of Finance have prescribed a series of broad controls to ensure the proper management of the resources, programmes and activities of the Government of

Malawi including LAs. These controls are generally based on broad risks that are presumed to be inherent or present in a typical public sector environment.

CEOs/DCs and senior managers of LAs have responsibilities to apply or implement the broad centrally prescribed controls. However, these in themselves may not be adequate. Firstly, there may be a tendency to apply the centrally prescribed controls mechanically without fully understanding their purposes, thereby reducing their effectiveness. Secondly, the centrally prescribed controls may not adequately address all the key risks that their respective LAs are likely to be exposed to. These inadequacies could arise from the peculiarities of specific LA mandates and programmes, organizational and management structures, accounting and information systems, and the operating environment itself. CEOs/DCs, as responsible managers, have the responsibility to conduct proper risk assessments and determine if the centrally prescribed controls need to be supplemented with additional controls to ensure that the proper management of all the key risks has been identified. Where additional or supplementary controls are required, then the CEO/DC and managers need to ensure that these are properly designed and implemented. The CEOs/DCs also have the responsibility to ensure that there are systems to regularly monitor the proper functioning of the controls.

To supplement the centrally prescribed controls, the Ministry of Finance has further developed the Local Authorities Accounting and Financial Management Procedures Manual to deal with specific accounting procedures which are peculiar to the LAs.

2.4.3 Role of Internal Audit in Internal Control

Internal Auditors should assess the effectiveness of internal controls established by Management. As enshrined in the Audit Charter and Standards, Internal Auditors are required to examine internal controls to ensure that firstly the controls have been properly designed to achieve the specific control objective of managing identified risks and secondly, that the controls are functioning effectively as designed by Management. The following sections discuss the importance of internal control in specific audit work.

2.4.4 Internal Controls and Annual Audit Planning

The effectiveness of the system of internal controls of an organization is a critical factor that needs to be taken into account in preparing the Annual Audit Plan. The effectiveness of the organization's risk management system is largely dependent on the effectiveness of the control systems that are implemented to manage the key risks. Hence the effectiveness or otherwise of the internal control system is in itself a key risk factor that needs to be taken into account when planning audit work for the year. It is important that Internal Auditors periodically test the effectiveness of control systems that are intended to address key risks faced by the organization. The importance of key internal controls systems at the macro level and those control systems that have been identified to be potentially inadequate or weak help determine what audit work the IAD should undertake and how audit resources should be allocated. Detailed guidance on the use of risk assessment in the planning process is provided in Chapter 3 - Internal Audit Strategy and Annual Planning.

2.4.5 Internal Controls and Audit Engagements

When conducting audit engagements of selected subject areas, Internal Auditors are required to assess the risks to the organization at the micro level - i.e. the risks faced by the organization at that particular operational level. Following this, it will be necessary to determine if adequate controls have been established to address the risks. The review of internal control is an integral part of any audit engagement.

Internal Auditors need to understand the nature of internal controls and how different controls should be established for different risks within the overall internal control framework of the organization. Internal auditors should plan the audit engagement by establishing clear Audit Objectives, and determine criteria for the measurement of the Audit Objective. In order to achieve most Audit Objectives, the Internal Auditor would have to devise audit programmes to determine the existence of internal controls and then determine if they are both effective and efficient. The methodology for reviewing internal controls is essentially the same as that outlined in Section 2.1.3 above. Detailed guidance on the review and assessment of internal controls is provided in Chapter 4 - Engagement Planning and Execution.

A sample Internal Control Questionnaire in Annex II-2 can be used to evaluate internal controls, with such modifications as are necessary to suit local conditions.

2.5 Fraud Management

***IIA Practice Guide** – Internal Auditing and Fraud*

This guide discusses fraud and provides general guidance to help internal auditors comply with professional standards (available on the IIA website).

2.5.1 Nature of Fraud

Fraud is generally used to describe such acts as deception, bribery, forgery, extortion, corruption, theft, conspiracy, embezzlement, misappropriation, false representation, concealment of material facts and collusion. Fraud deprives someone or an entity of something by deceit through blatant theft, misuse of funds or other resources, or through more complicated acts like false accounting and the supply of false information. These are generally considered as crime or illegal acts. The IIA, using this wide understanding, defines fraud as:

"Any illegal act characterized by deceit, concealment, or violation of trust. These acts are not dependent upon the threat of violence or physical force. Frauds are perpetrated by parties and organizations to obtain money, property, or services; to avoid payment or loss of services; or to secure personal or business advantage."

Fraud and corruption (the misuse of entrusted power for private gain) have adverse impact on organizations. Fraud losses that are known and confirmed indicate that the costs can be high. The true cost of fraud, however, is even higher than just the loss of money, given its impact on

time, productivity, reputation, relationships with service providers and most of all the trust and perception of ordinary citizens.

Most organizations are aware of the potential for fraud and do undertake some level of risk management and institute some level internal controls. However, because of its deceptive nature, an organization may be the victim of fraud and yet be unaware of this reality. Some frauds can last for months or even years before they are detected. Hence, it is difficult to measure the losses associated with fraud. The bottom line is that fraud left unchecked can be detrimental to any organization.

Most frauds begin small and continue to grow, as the scheme remains undetected. Very often perpetrators view initial stealing as a temporary or even one-time event. However, when fraudsters see that their offence was not detected and opportunities continue to exist, the fraudsters accelerate their activities and even actively begin to take measures to conceal the fraud. As the fraud continues to grow, concealment becomes difficult. It is likely that a fellow employee, management, or an internal or external auditor will help detect it.

Fraud can range from minor employee theft and unproductive behavior to large-scale misappropriation of assets and resources by managers. Studies indicate that members of management commit most frauds. Managers generally have access to confidential information, enabling them to override or circumvent internal controls and inflict greater damage to the organization than lower level staff members. Fraud perpetrators tend to be in positions of trust in the organization. They are motivated by a personal need and are able to rationalize their actions, albeit through illusion.

Good governance, risk management and internal controls can help establish a combination of prevention, detection, and deterrence measures to minimize opportunities for fraud. Most fraudulent schemes can be avoided with basic internal controls and effective audits and oversight. Unfortunately, some types of fraud can also be difficult to detect because it often involves concealment through falsification of documents or collusion among members of management, employees, or third parties. Managers and Internal Auditors therefore need to have sufficient knowledge and insight about the operations of the entity, the particular vulnerabilities of the organizations and always exercise due professional care in performing their responsibilities.

2.5.2 Factors underlying the occurrence of Fraud

Every fraud event has its own peculiarities, modalities and circumstances. However, most fraud activities tend to be distinguished by the following general characteristics:

a. The reason underlying most frauds is the existence of opportunities and the ability to commit fraud and not be immediately detected. Fraudsters do have an inherent belief that their activities will not be detected. Opportunities to perpetrate fraud are created by:

   I. Weak management, inadequate risk assessment, poorly designed and implemented internal control systems and inadequate monitoring and oversight.

II. A process that is designed properly for typical conditions, however, a window of opportunity may arise creating circumstances for the control to fail.

III. Persons in positions of authority overriding existing controls because subordinates or weak controls allow them to circumvent the rules.

IV. A poor internal control framework that:

- Fosters over-reliance on key individuals to control all activities.
- Does not ensure staff are properly trained and motivated to understand the substance of their work and its relative importance within the control framework.
- Lack of mobility of staff – staff performing the same work year after year.
- Lack of transparency in the regulations, rules and procedures applied in the business process.
- Facilitates collusion among staff.

V. Failure to establish adequate procedures to detect fraudulent activity, particularly through regular monitoring processes.

b. On a personal level, unusual financial needs arising from problems, sense of power, greed or addiction motivates an individual to wrongdoing.

c. Fraud perpetrators have the ability to justify to themselves through rationalizing their act with the commonly accepted notions of decency and trust through deceptive thinking. Some people will do things that are defined as unacceptable behavior by the organization, yet such behaviour is found to be commonplace in their environment or previous employers may have openly condoned such behaviour. Management might reduce such rationalization through its actions, for example, by implementing fair work and pay practices, equitable and consistent treatment of employees, and tone at the top (management model in the behavior expected of employees).

2.5.3 Types of Frauds

The range of fraud activities and schemes affects all aspects of LA operations though some activities like procurement are more susceptible to fraud, particularly because substantial amounts are involved and there is always an element of discretion to be exercised. Fraud is possible or prevalent in the collection of revenues, payment of expenses, and in the management of assets, including movable and immovable assets. The following are some examples of common frauds:

a. **Misappropriation or stealing** - of cash or assets of any value (supplies, inventory, equipment, and information) mainly by adjusting or falsifying relevant records.

b. **Skimming** – stealing cash and assets from an organization before it is recorded on the organization's books and records. For example, an employee collecting taxes, fees or charges does not record the receipt in the records.

c. **Disbursement against falsified and fictitious documents** – mainly for goods and services that were not received. This would include invoices that are inflated by manipulation of quantities, quality and prices. This could also include falsified claims purportedly submitted by third parties for all kinds of entitlements approved by the LA.

d. **Fraudulent expense claims by staff and others** – for travel or activities that did not occur and sometimes using falsified bills to inflate expenses for food, facilities and hospitality functions.

e. **Payroll** – claims for hours not worked and adding non-existent employees (ghost employees) to the payroll or improperly claiming certain allowances for which there was no entitlement.

f. **Procurement of goods and services** – this can occur at any stage of a procurement cycle:

- Specifications for requirements are manipulated and not professionallyprepared.
- Tenders or bidding processes, including evaluations of tenders and bids, are subverted and not conducted in a transparent manner that promotes effective competition among suppliers.
- Using sole source procurement without proper justification or approval.
- Overstating quantities of goods or levels of service received or the quantity and quality of work performed by contractors.

This also applies to disposal of LA assets.

g. **Misuse of entrusted power for private gain** – such abuse normally tantamount to corruption. Corruption is often an off-book fraud, meaning that there is little financial physical evidence available to prove that the crime occurred. Very often the corrupt employees simply receive cash payments under the table. In most cases, such crimes are uncovered through tips or complaints from third parties, often through Anti-Corruption Bureau or a fraud hotline. Corruption often involves the purchasing function. Any employee authorized to spend an organization's money is a possible candidate for corruption.

h. **Bribery** - the offering, giving, receiving, or soliciting of anything of value to influence an outcome. Bribes may be offered to key employees or managers such as purchasing agents who have discretion in awarding business to vendors. In the typical case, staff responsible for purchasing accept kickbacks to favour a particular outside vendor in buying goods or services.

i. **Conflict of interest** - an employee, manager, or executive of an organization has an undisclosed personal economic interest in a transaction that adversely affects the organization. This could involve the award of contracts at favorable terms to related persons or a company in which the employee has an interest.

j. **Tax evasion** - intentional reporting of false information on a tax return to reduce taxes owed and employees responsible for verifying the tax return do not perform the stipulated verifications to detect such misstatements.

2.5.4 Fraud Indicators (Red Flags)

Incidence of fraud is often, but not always, marked by some warning signals or red flags. People who perpetrate fraud display certain behaviors or characteristics that may serve as warning signs or red flags. Red flags may relate to time, frequency, place, amount or personality and include, but not limited to the following:

a. Red flags include overrides of controls by management or officers, irregular or poorly explained management activities, consistently exceeding goals/ objectives regardless of changing business conditions, preponderance of nonroutine transactions or journal entries, problems or delays in providing requested information, and significant or unusual changes in customers or suppliers. Red flags also include transactions that lack documentation or normal approval and employees or management hand-delivering cheques or payments.
b. Personal red flags include living beyond one's means; conveying dissatisfaction with the job to fellow employees; unusually close association with suppliers; severe personal financial stress due to debts or losses; addiction to drugs, alcohol or gambling; changes in personal circumstances; and developing outside business interests. In addition, there are fraudsters who consistently rationalize poor performance, perceive beating the system to be an intellectual challenge, provide unreliable communications and reports, and rarely take vacations or sick time (and when they are absent, no one performs their work).

2.5.5 Role of Management in Fraud Management

Prevention and detection of fraud in an entity is one of the core objectives of good Governance, Risk Management and Internal Control. Both Management and the Internal Auditors, while undertaking their respective roles and activities under these three fields, need to be cognizant of the vulnerabilities of the organization to fraud that may be perpetrated both internally by the staff and externally by others. Notwithstanding these actions, frauds do occur and Management is responsible for prevention measures.

Management therefore needs to:

a. Establish clear polices, mechanisms and procedures to investigate and resolve alleged or suspected frauds. This may include involving the Anti-Corruption Bureau, Legal officers and the Internal Auditors in all stages of the process.
b. Take appropriate measures to recover the financial and other losses from the illegal beneficiaries of the fraud and appropriate action on all those involved in the fraud in accordance with the relevant public/civil service regulations and other laws. This may also include staff whose negligence provided opportunity for the fraud to occur.
c. Communicate the results of the investigations to the appropriate authorities.
d. Based on lessons learnt, reassess risks to the organization and take corrective actions to strengthen appropriate internal controls to prevent recurrence of the fraud.

2.5.6 Role of Internal Audit in Fraud Management

Although Internal Auditors normally do not have direct responsibility for the incidence of fraud, the credibility of the internal audit function hinges on the quality of the work performed by the HIA and IAD, both when preparing the Annual Audit Plan and planning and conducting individual audit engagements. Internal Auditors have to be able to demonstrate that they have exercised due professional care and diligence in performing the work. Therefore, Internal Auditors need to be alert to control weaknesses as well as signs and possibilities of fraud

within an organization, particularly given their continual presence in the organization that provides them with a good understanding of the organization and its control systems.

Internal Auditors, when assessing the adequacy and effectiveness of internal controls as outlined in Section 2.4 above, should take note that the existence of opportunities is one of the primary reasons for the occurrence of frauds. In addition to the regular tasks, the HIA should assist Management's efforts to improve prevention and deterrence of fraud by:

a. Providing consulting expertise (advice) in establishing effective fraud prevention measures.
b. Reviewing and analyzing reports prepared by others on specific fraud incidents to identify root causes of fraud and propose remedial measures.
c. Promoting fraud awareness within the organization by providing training on ethics, risks and controls.
d. Managing a hotline, where necessary, to receive reports from whistleblowers (staff and others) on possible fraud within the organization and investigating those reports.
e. Conducting, where there is sufficient evidence or where there are other valid reasons to do so, proactive auditing to search for misappropriation of assets and other possible wrongdoings.

2.5.7 Role of Internal Audit in Fraud Investigations

The HIA can take on different roles with respect to fraud investigations. For example, an Internal Auditor may have the primary responsibility for fraud investigations, may act as a resource for investigations, or may refrain from involvement in investigations. The role of the internal audit activity in investigations needs to be clearly defined, preferably in the Internal Audit Charter or in a separate and well-publicized document issued by the CEO/DC or higher authority such as the Board. Care should be taken to ensure that the involvement in investigations does not impair the independence of the HIA and IAD. Where an IAD takes any active role in investigations, the HIA has to ensure than there is sufficient proficiency among the Internal Auditors within IAD to undertake the assigned role. The Internal Auditors in this case would have to obtain sufficient knowledge of fraudulent schemes, investigation techniques, and applicable laws.

Where the HIA is of the view that there is inadequate internal capacity to undertake an investigation, the HIA should communicate with the CEO/DC to seek other options, including seeking external assistance.

Where primary responsibility for the investigation function is not assigned to the HIA, the HIA may still be requested to assist in the investigations in such roles as gathering information and analyzing particular types of transactions and providing advice on those transactions. Management may also require the HIA to review reports on fraud investigations that have been performed by others and make recommendations for internal control improvements. In all such cases, the HIA should have clear written terms on the specific responsibilities assigned to and agreed by him so as to safeguard against misunderstanding and impairment of independence.

Where the HIA undertakes responsibility for the whole of an investigation or parts of an investigation, the HIA should, where appropriate in consultation with Management and legal officers, establish a protocol for undertaking the responsibility. The following elements may form part of such a protocol:

a. Gathering evidence through surveillance, interviews, or written statements.
b. Documenting and preserving evidence
c. Considering legal rules of evidence, and the business uses of the evidence.
d. Determining the extent of the fraud.
e. Determining the techniques used to perpetrate the fraud.
f. Evaluating the cause of the fraud.
g. Identifying the perpetrators.
h. Form and periodicity of reporting on the findings of the investigations.

2.5.8 Analysis of Lessons Learnt from Fraud Incidents

After a fraud has been investigated either by the Internal Auditor or other parties, and communicated to the CEO/DC and other relevant authorities, it is important for Management and the HIA to step back and review the lessons learned. Such a review may include the following:

a. How did the fraud occur?
b. What controls failed and why?
c. What controls were overridden?
d. Why wasn't the fraud detected earlier?
e. What red flags were missed by Management and the Internal Auditors?
f. How can future frauds be prevented or more easily detected?
g. What controls need strengthening?
h. What internal audit plans and audit steps need to be enhanced?
i. What additional training is needed?

Based on the review, both Management and the HIA need to implement a plan of action to remedy identified deficiencies and prevent and deter its recurrence.

2.6 Periodic Reporting to CEO/DC on Governance, Risk Management, Internal Control and Fraud Issues

***IIA Standard 2060** – Reporting to Senior Management and the Board:*

The Head of Internal Audit (HIA) must report periodically to senior management and the board on the internal audit activity's purpose, authority, responsibility, and performance including fraud risks, governance issues, and other matters needed or requested by senior management and the board.

Interpretation:

The frequency and content of reporting are determined in discussion with senior management and the board and depend on the importance of the information to be communicated and the urgency of the related actions to be taken by senior management or the board.

2.6.1 Introduction

This section relates to the second part of the Standard that requires the HIA to report on significant risk exposures and control issues, including fraud risk, governance issues and other matters.

The purpose of reporting is to provide assurance to the CEO/DC regarding governance processes (Standard 2110), risk management (Standard 2120, and Control (Standard 2111).

Such reports are normally made at least once a year. This requirement is prescribed in the Internal Audit Charter. Alternatively, the CEO/DC and the Internal Auditor may separately agree on the frequency of such reports.

The IIA defines "significant risk exposures and control issues" as those conditions that, according to the HIA's judgment, could adversely affect the organization and its ability to achieve its strategic, financial reporting, operational, and compliance objectives. Significant issues may carry unacceptable exposure to internal and external risks, including conditions related to control weaknesses, fraud, irregularities, illegal acts, errors, inefficiency, waste, ineffectiveness, conflicts of interest, and financial viability.

2.6.2 Basis for preparing the Annual Report

In order to be able to prepare such a comprehensive report to the CEO/DC, as envisaged in the auditing standards, the HIA needs to obtain sufficient and relevant evidence. Normally the report on the overall status of the organization's governance, risk and control processes is prepared by amalgamating issues identified in the various audit engagements that were undertaken and completed during the period under review. These could also include one or two

engagements specifically designed to collect evidence with respect to key risks and related governance and control processes. The HIA can and should also use reports issued by other reviewers, and also by Management's own self-assessment reviews, if any.

In order to be able to achieve the objective, the HIA should ensure that while preparing the Annual Audit Plan, key risks to the LA are identified and included as engagements in the annual Audit Plan.

The HIA should include in the Annual Audit Plan a specific assignment or engagement for accomplishing all the tasks related to the issue of this annual report. This will assist the HIA in preparing the report systematically and ensure that it is supported by adequate and relevant evidence.

The scope of work undertaken by the HIA and the IAD in the course of the year, given the current level of resources dedicated to the IADs, may not cover all critical areas and operations of the LA. Therefore, it will be a challenge for the HIA to issue an opinion or provide an assurance together with a report on the overall risk management and control processes as a whole. Sufficient evidence may not be collected to provide the assurance as required by the Auditing Standards. Nevertheless, HIAs should prepare the reports and provide limited assurance based on the extent of work completed. If pertinent and necessary, the limitation on the scope of the work undertaken, particularly due to lack of adequate resources should also be mentioned in the report. Such reports will serve to raise Management's awareness of risks and the importance of managing risks through appropriate measures and controls and the impact on the LA.

In evaluating the evidence collected on the overall effectiveness of the LA's control processes, the HIA should consider whether:

a. Significant deficiencies or weaknesses were identified.
b. Whether the Management has taken corrective action on the deficiencies or weaknesses since it was identified and reported by both the IAD and others.
c. The deficiencies or weaknesses that were identified have exposed the LA to an unacceptable level of risk as a whole.

In reporting the audit findings on the overall state of the risk and internal control processes in the LA, the HIA should closely follow the procedures set out in Chapter 5 on Reporting.

In the past, Internal Auditors have not expressed opinions on the adequacy of risk management, controls and governance processes. Instead, only specific weaknesses in internal control have been reported. This leaves the reader with the responsibility to interpret the importance of the issues reported and the reader may not obtain a holistic perspective of the state of risk management and the effectiveness of internal controls or ask the question – *"so what?"*. In order to avoid such perceptions or incompleteness, the HIA should report the results of their findings and conclusions reached and at the same time issue an opinion that will assign a rating of:

a. **Satisfactory** – where all key risks have been identified and controls have been properly designed and implemented;

b. **Partially satisfactory** – some important risks have either not been identified and/ or the required controls have either not been established or are not functioning effectively; or

c. **Not satisfactory** – key risks have not been identified and/or related controls have not been implemented or are not functioning in accordance with the plan.

2.6.2.1 ANNEX II-1 INTERNAL CONTROL FRAMEWORK

This Annex provides a brief summary of the five components of the Integrated Control Framework.

CONTROL ENVIRONMENT

The strength of the system of internal control is dependent on people's attitude toward internal control and their attention to it. The CEO/DC and senior management need to set the LA's "tone" regarding internal control. If senior management does not establish strong, clearly stated support for internal control, the LA as a whole will most likely not practice good internal control. Similarly, if individuals responsible for control activities are not attentive to their duties, the system of internal control will not be effective. People can also deliberately defeat the system of internal control. For example, a manager can override a control activity because of time constraints, or two or more employees can act together in collusion to circumvent control and "beat the system." To avoid these kinds of situations, the LA needs to have a good control environment.

Control environment is the attitude toward internal control and control consciousness established and maintained by the Management and employees of an organization. It is a product of Management's style and supportive attitude (tone at the top), as well as the competence, ethical values, integrity and morale of the staff of the LA. The control environment is further affected by the LA's structure and accountability relationships. The control environment has a pervasive influence on the decisions and activities of the LA, and provides the foundation for the overall system of internal control.

The control environment includes the following elements:

a. **Leadership, Management philosophy and operating style:** The leadership, actions and tone established and practiced by the CEO/ DC and senior management profoundly impact on how the employees of the LA perform their responsibilities. This includes:

   I. Approving and monitoring the LA's mission and strategic plan.
   II. Establishing, practicing, and monitoring the LA's values and ethical code.
   III. Overseeing the decisions and actions of senior managers.
   IV. Establishing high-level policy and organization structure.
   V. Ensuring and providing accountability to stakeholders.
   VI. Directing management oversight of key business processes.

b. **Integrity and ethical values:** Ethical values, the standards of behavior that form the framework for employee conduct, guide employees when they make decisions. Management addresses the issue of ethical values and integrity when it encourages:

- Compliance with a code of conduct and organization's values.
- Commitment to honesty and fairness.
- Recognition of and adherence to laws and policies.
- Respect for the organization.
- Leadership by example.
- Commitment to excellence.
- Respect for authority.
- Respect for employees' rights.
- Conformance with professional standards.
- Establishing methods for reporting ethical violations.
- Consistently enforcing disciplinary practices for all ethical violations.

c. **Management Operating Style and Philosophy**: Management

should practice an effective style and philosophy that reinforces the ethical values of the organization, and positively affect staff morale and clearly communicate and demonstrate these beliefs to staff. Management's philosophy and style is demonstrated in such areas as:

I. Management's approach to recognizing and responding to risks (both internal and external).
II. Acceptance of regulatory control imposed by others.
III. Management's attitude toward internal and external reporting.
IV. The use of appropriate accounting principles.
V. Using minimal and guarded use of control overrides.
VI. The attitude toward information technology and accounting functions.
VII. Management's support for and responsiveness to internal and external audits and evaluations.

d. **Competence** is a characteristic of people who have the skill, knowledge and ability to perform tasks. Management's responsibilities include:

- Establishing levels of knowledge and skill required for every position.
- Hiring and promoting only those with the required knowledge and skills.
- Establishing training programs that help employees increase their knowledge and skills.
- Providing staff with what they need to perform their jobs, such as equipment, software and policy and procedure manuals as well as the tools and support they need to perform their tasks.

e. **Organizational structure** that provides management's framework for planning, directing, and controlling operations to achieve LA objectives. A good internal control environment requires that the LA's organizational structure clearly defines key areas of authority and responsibility and establishes appropriate lines of reporting.

f. **Delegation of authority** that clearly establishes operating activities, reporting relationships, and authorization protocols.

RISK ASSESSMENT

Management has the responsibility for identifying risk, analyzing the potential impacts of risks and devising measures to address those risks through appropriate controls and mitigating actions. These are discussed in the following Section below.

CONTROL ACTIVITIES

Control activities are tools - both manual and automated - that help identify, prevent or reduce the risks that can impede accomplishment of the organization's objectives. Management should establish control activities that are effective and efficient.

Internal control activities have cost implications to the organization. When designing and implementing control activities, management should try to get the maximum benefit at the lowest possible cost and Internal Auditors when conducting audits need to be conscious of the direct and indirect costs of internal controls to the organization. The following provides some simple guidelines relating to costs:

g. The cost of the control activity should not exceed the cost that would be incurred by the organization if the undesirable event occurred.
h. Management should build control activities into business processes and systems as the processes and systems are being designed. Adding control activities after the development of a process or system is generally more costly.
i. The allocation of resources among control activities should be based on the significance and likelihood of the risk they are preventing or reducing.

Many different control activities can be used to counter the risks that threaten an organization's success. Most control activities, however, can be grouped into two categories: prevention and detection control activities and these are further detailed below:

a. **Preventive control** activities are designed to deter the occurrence of an undesirable event. The development of these controls

   involve predicting potential problems before they occur and implementing ways to avoid them. Preventive controls, which function efficiently, trigger an action that prevents the routine processing of a particular transaction. A simple example would be the prevention of a payment of an invoice to a vendor when there is insufficient evidence of receipts of goods or services.

   Other examples of preventive controls are providing (and reinforcing) training of employees on how to do the job correctly, segregating duties among staff to reduce the opportunity for intentional wrongdoing, creating physical deterrents such as locks, alarms and building passes to deter theft, and convening review committees or expert panels to review project proposals and recommend funding. Preventive controls may also be thought of as application controls in computerized systems in the sense that they are embedded in processing or accounting systems – for example, rejection of all payments when there are inadequate funds allotted for the purpose.

b. **Detective control** activities are designed to identify undesirable events that do occur, and alert management about what has happened. This enables management to take corrective action promptly. Some examples of detective controls are:

I. Reconciliations of an inventory listing to the actual physical material;
II. Monitoring recipients of certain grants or allowances to ensure that funds have been used for the purposes intended. Detective controls may also be thought of as monitoring controls in the sense that they operate above of or outside of routine processes or activities compared with preventive controls.

Preventive controls tend to be more expensive than detective controls. Costs and benefits should be assessed before control activities are implemented. Both Management and Internal Auditors should note that excessive use of preventive controls could impede productivity or cause inefficiency. In some situations, a combination of control activities may be required, and in others, one control activity could substitute for another.

The following are some of the more commonly used control activities:

a. **Documentation** - Documentation involves preserving evidence to substantiate a decision, event, transaction or system. All documentation should be complete, accurate and recorded timely. Documentation should have a clear purpose and be in a usable format that will add to the efficiency and effectiveness of the organization. Examples of areas where documentation is important include:

I. **Critical decisions and significant events** usually involve executive management. These decisions and events usually result in the use, commitment or transfer of resources. By recording the information related to such events, management creates an organizational history that can serve as justification for subsequent actions and decisions and will be of value during self-evaluations and audits.
II. **Transaction documentation** should enable managers to trace each transaction from its inception through its completion. This means the entire life cycle of the transaction should be recorded, including its:

- Initiation and authorization;
- Progress through all stages of processing; and
- Final classification in summary records.

For example, the documentation for the purchase of equipment would start with the authorized purchase request, and continue with the purchase order, the vendor invoice and the final payment documentation.

III. **Documentation of policies and procedures** is critical to the daily operations of an organization. These documents set forth the fundamental framework and the underlying methods and processes all employees rely on to do their jobs. They provide specific direction to and help form the basis for decisions made every day by employees. Without this framework of understanding by employees, conflict can occur, poor decisions can be

made and serious harm can be done to the organization's reputation. Further, the efficiency and effectiveness of operations can be adversely affected.

IV. The documentation of an organization's system of internal control should include the organization's structure, policies, assessable units, control objectives and control activities. The various aspects of a system of internal control can be represented in narrative form, such as in policy and procedure manuals, and/or in the form of flowcharts or matrices.

b. **Approval and Authorization** - is the confirmation or sanction of employee decisions, events or transactions based on a review. Management should determine which items require approval based on the level of risk to the organization without such approval. Management should clearly document its approval requirements and ensure that employees obtain approvals in all situations where management has decided they are necessary. For example, a manager reviews a purchase request from an employee to determine whether the item is needed. Upon determining the need for the item, the manager signs the request indicating approval of the purchase. Authorization is the power management grants employees to carry out certain duties, based on approval received from supervisors. Authorization is a control activity designed to ensure events or transactions are initiated and executed by those designated by management. Management should ensure that the conditions and terms of authorizations are clearly documented and communicated, and that significant transactions are approved and executed only by persons acting within the scope of their authority. For example, a manager may be authorized by his/her supervisors to approve purchase requests, but only those up to a specified amount.

c. **Verification** - is the determination of the completeness, accuracy, authenticity and/ or validity of transactions, events or information. It is a control activity that enables management to ensure activities are being done in accordance with directives. Management should determine what needs to be verified, based on the risk to the organization if there were no verifications. Management should clearly communicate and document these decisions to those responsible for conducting the verifications. An example of verification is ensuring that a fair price has been obtained in a purchase and funds are available to pay for the purchase.

d. **Supervision** - is the ongoing oversight, management and guidance of an activity by designated employees to help ensure the results of the activity achieve the established objectives. Those with the responsibility for supervision should:

I. Monitor, review and approve, as appropriate, the work of those performing the activity to ensure the work is performed correctly.

II. Provide the necessary guidance and training to help minimize errors and waste and to ensure that employees understand and follow management directives.

III. Clearly communicate the duties and responsibilities assigned to those performing the activities.

An example of supervision is when an assigned employee (supervisor) reviews the work of another employee processing a purchase order to determine whether it is prepared accurately and completely, and has been properly authorized. The supervisor then signs the order to signify his/her review and approval.

e. **Separation of Duties** - is the division of key tasks and responsibilities among various employees and sub-units of an organization. By separating key tasks and responsibilities - such as receiving, recording, depositing, securing and reconciling assets - management can reduce the risk of error, waste, or wrongful acts. The purchasing cycle is an area where the separation of duties can minimize the risk of inappropriate, unauthorized or fraudulent activities. Specifically, the various activities related to a purchase, such as initiation, authorization, approval, ordering, receipt, payment and record keeping, should be done by different employees or sub-units of an organization. In cases where tasks cannot be effectively separated, management can substitute increased supervision as an alternative control activity that can help prevent or reduce these risks.

f. **Safeguarding Assets** - involves restricting access to resources and information to help reduce the risk of unauthorized use or loss. Management should protect the organization's equipment, information, documents and other resources that could be wrongfully used, damaged or stolen. Management can protect these resources by limiting access to authorized individuals only. Access can be limited by various means such as locks, passwords, electronic firewalls and encryption. Management should decide which resources should be safeguarded and to what extent. Management should make this decision based on the vulnerability of the items being secured and the likelihood of loss.

g. **Reporting** - means of conveying information. It serves as a control when it provides information on issues such as timely achievement of goals, budget status and employee concerns. Reporting also helps to promote accountability for actions and decisions. An example of a report that serves as a control activity would be one that compares purchasing activities with the approved budget, indicating and explaining significant variances between the two.

h. **Control Activities for Information Technology** - can be the responsibility of specialized IT personnel or of all employees who use computers in their work. For example, any employee may use:

I. Encryption tools, protocols, or similar features of so ware applications that protect confidential or sensitive information from unauthorized individuals.
II. Back-up and restore features of software applications that reduce the risk of lost data.
III. Virus protection software.
IV. Passwords that restrict user access to networks, data and applications.

IT control activities can be categorized as either general or application controls. General controls apply to all computerized information systems - mainframe, minicomputer, network and end user environments. Application controls apply to the processing of data within the application software. General and application controls are interrelated. General controls support the functioning of application controls, and both types of controls are needed to ensure complete and accurate information processing.

General controls are concentrated on six major types of control activities: an entity-wide security management program; access controls; application software development and change; system software controls; segregation of duties; and service continuity.

Application controls help ensure that transactions are valid, properly authorized, and processed and reported completely and accurately.

Internal Auditors, where necessary should obtain further guidance on IT controls.

COMMUNICATION

Communication is the exchange of useful information between and among people and organizations to support decisions and coordinate activities. Information should be communicated to management and other employees who need it in a form and within a time frame that helps them to carry out their responsibilities.

Communication with customers, suppliers, regulators and other outside parties is also essential to effective internal control. Information can be communicated verbally, in writing and electronically. While verbal communication may be sufficient for many day-to-day activities, it is best to document important information. This provides a more permanent record and enables managers and others to review the information.

Information should travel in all directions to ensure that all members of the organization are informed and that decisions and actions of different units are communicated and coordinated. A good system of communication is essential for an organization to maintain an effective system of internal control. A communication system consists of methods and records established to identify, capture and exchange useful information. Information is useful when it is timely, sufficiently detailed and appropriate to the user.

Management should establish communication channels that:

i. Provide timely information.
j. Can be tailored to individual needs.
k. Inform employees of their duties and responsibilities.
l. Enable the reporting of sensitive matters.
m. Enable employees to provide suggestions for improvement.
n. Provide the information necessary for all employees to carry out their responsibilities effectively.
o. Convey top management's message that internal control responsibilities are important and should be taken seriously.
p. Convey and enable communication with external parties.

Communication is not an isolated internal control component. It affects every aspect of an organization's operations and helps support its system of internal control. The feedback from this communication network can help management evaluate how well the various components of the system of internal control are working.

MONITORING

Monitoring is an integral part of internal control process. Monitoring is the review of an organization's activities and transactions to assess the quality and effectiveness of performance of controls over time. Management should also focus monitoring efforts on achievement of the organization's mission and objectives. For monitoring to be most effective, all employees

need to understand the organization's mission, objectives, risk tolerance levels and their own responsibilities.

Monitoring should also be continuous. Management could also conduct separate evaluations of specific controls at a specific time. The scope and frequency of such separate evaluations should depend primarily on the assessment of risks and the effectiveness of ongoing monitoring procedures.

Everyone within an organization has some responsibility for monitoring and the position each person holds determines the focus and extent of these responsibilities. Depending on the staffing structure, generally the following should be the pattern of monitoring by different staff:

q. **Staff** - The primary focus of staff should be on monitoring their own work to ensure it is being done properly. They should correct the errors they identify before work is referred to higher levels for review. Management should educate staff regarding control activities and encourage them to be alert to and report any irregularities. Because of their involvement with the details of the organization's daily operations, staff has the best vantage point for detecting any problems with existing control activities. Management should also remind staff to note changes in their immediate internal and external environments, to identify any risks and to report opportunities for improvement.

r. **Supervisors** - Supervision is a key element of monitoring. Supervisors should monitor all activities and transactions in their unit to ensure that staff are performing their assigned responsibilities, control activities are functioning properly, the unit is accomplishing its goals, the unit's control environment is appropriate, communication is open and sufficient, and risks and opportunities are identified and properly addressed.

s. **Department Level Managers** - should assess how well controls are functioning in multiple units within their Departments, and how well supervisors are monitoring their respective units. The focus of these managers should be similar to that of supervisors, but extended to cover all the units for which they are responsible.

t. **Executive Management** - should focus their monitoring activities on the major departments/divisions of the organization. Because of this broader focus, executive managers should place even more emphasis on monitoring the achievement of the organization's goals. Executive managers should also monitor for the existence of risks and opportunities in either the internal or external environment that might indicate the need for a change in the organization's plans.

Management should ensure that it takes proper actions to address the results of monitoring. For example, management may decide to establish new goals and objectives to take advantage of newly identified opportunities, may counsel and retrain staff to correct procedural errors, or may adjust control activities to minimize a change in risk.

The monitoring performed by staff, supervisors, mid-level managers and executives should focus on the following major areas:

a. **Control Activities -** are established to prevent or reduce the risk of an unfavorable event from occurring. If these activities fail, the organization becomes exposed to risk. Control activities can fail when controls are overridden, or when there

is collusion for fraudulent purposes. Therefore, management should establish procedures to monitor the functioning of control activities and the use of control overrides. Management should also be alert to signs of collusion. Effective monitoring gives management the opportunity to correct any control activity problems and to control the risk before an unfavorable event occurs.

b. **Organizational objectives** - Monitoring activities should include the development and review of operational data that would allow management to determine whether the organization is achieving its objectives. This can be achieved by periodic comparison of operational data to the organization's strategic plan.

c. **Control Environment** - Executive management should monitor the control environment to ensure that managers at all levels are maintaining established ethical standards of behavior and that staff morale is at an appropriate level. Managers should also ensure that the staff is competent, that training is sufficient and that management styles and philosophies foster accomplishment of the organization's mission.

d. **Communication** - Managers should periodically verify that the employees they are responsible for are receiving and sharing information appropriately, and that this information is timely, sufficient and appropriate for the users. Management should ensure that there are open lines of communication, which fosters reporting of both positive and negative results.

e. **Risks and Opportunities** - Managers should also monitor the organization's internal and external environment to identify any changes in risks and the development of opportunities for improvement. If changes are identified, managers should take appropriate action to address these new or changed risks and opportunities. Management should recognize that delays in responding to risks could result in damage to the organization and a missed opportunity may result in a loss of new revenue or savings.

2.6.2.2

2.6.2.3 ANNEX II – 2: SAMPLE INTERNAL CONTROL QUESTIONNAIRE

(This questionnaire should be used in conjunction with Annex II-1)

I/C Component	Factors	Query
Control Environment Commitment to Competence Management's Operating Style Organizational Structure Assignment of Authority and Responsibility HR Policies and Procedures	1.1 Integrity & Ethical Values Has an ethical tone been established at the top and has this been communicated throughout the Entity? Has appropriate disciplinary action been taken in response to departures from approved policies andz procedures or violations of the code of conduct?	1. Has the entity established a formal code of conduct and other policies to regulate ethical and moral behavioral standards, including conflicts of interest?
	1. Has management identified and defined the tasks required to accomplish particular jobs and fill the various positions?	
	2. Does management provide training and counseling in order to help employees maintain and improve their competence for their jobs?	

I/C Component	Factors	Query
	Has there been excessive personnel turnover in key functions, such as operations and program management, accounting, or internal audit that would indicate a problem with the Entity's emphasis on internal control? Are valuable assets and information safeguarded from unauthorized access or use? Is there frequent interaction between senior management and operating/program management especially when operating from geographically dispersed locations?	
	1. Has the appropriate number of employees, particularly in managerial positions been filled?	
	2. Have appropriate and clear internal reporting relationships been established?	
	3. Does management periodically evaluate the organizational structure and make changes as necessary in response to changing conditions?	
	1. Does the Entity appropriately assign authority and delegate responsibility to the proper personnel to deal with organizational goals and objectives?	
	2. Is the delegation of authority appropriate in relation to the assignment of responsibility?	

I/C Component Factors Query		
	1. Are policies and procedures in place for hiring, orienting, training, evaluating, counseling, promoting, compensating, disciplining, and terminating employees?	
	2. Are employees provided a proper amount of supervision?	

I/C Component Factors Query		
Risk Assessment Risk Identification Managing Risk During Change	2.1 Entity-wide Objectives Are there activity-level (program) objectives that flow from and are linked with the Entity's entity-wide objectives and strategic plans? Do the activity-level objectives include measurement criteria?	1. Does the Entity have an integrated management strategy and risk assessment plan that considers the entity-wide objectives and relevant sources of risk from internal management factors and external sources? Has it established a control structure to address those risks?
	1. Does management comprehensively identify risk using various methodologies as appropriate?	
	2. Do adequate mechanisms exist to identify risks to the Entity arising from external factors?	
	3. Do adequate mechanisms exist to identify risks to the Entity arising from internal factors?	
	1. Does the Entity have mechanisms in place to anticipate, identify, and react to risks presented by changes in economic, industry, regulatory, operating, or other conditions that can affect the achievement of organization-wide or activity-level goals objectives?	
	2. Does the Entity give special attention to risks presented by changes that can have a more dramatic and pervasive effect on the entity and may demand the attention of senior officials?	

I/C Component	Factors	Query	
3. Control Activ-ities	3.1 General Application	1. Do appropriate policies, procedures, techniques, and mechanisms exist for each of the Entity's activities?	
		2. Are control activities regularly eval-uated to ensure that they are still ap-propriate and working as intended?	
	3.2 Common Categories	1. Does management conduct top lev-el reviews to track major achieve-ments in relation to its plans?	
		2. Does the Entity employ a variety of control activities suited to infor-mation processing systems to en-sure accuracy and completeness?	
		3. Does the Entity employ physical control to secure and safeguard vulnerable assets?	
		4. Are key responsibilities and duties divided or segregated among different people to reduce to risk of fraud, error or waste?	
	3.3 General Controls	1. Does the Entity periodically perform a comprehensive, high-level assessment of risks to its information systems?	
		2. Has the Entity developed a plan that clearly describes the entity-wide security program and policies and procedures that support it?	
		3. Has the Entity implemented effective security-related personnel policies?	
		4. Does the Entity monitor the se-curity program's effectiveness and makes changes as needed?	

I/C Component	Factors	Query	
4. Monitoring	4.1 On-going Monitoring	1. Does management have a strategy to ensure that ongoing monitoring is effective and will trigger separate evaluations where problems are identified or systems are critical and testing is periodically desirable?	
		2. In the process of carrying out their regular activities, do Entity personnel obtain information about whether internal controls are functioning properly?	
		3. Is there appropriate organizational structure and supervision to help provide oversight of internal control functions?	
	4.2 Separate Evaluations	1. Is the methodology for evaluating the Entity's internal control logical and appropriate?	
	4.3 Audit Resolution	1. Has the Entity a mechanism to ensure the prompt resolution of findings from audits and other reviews?	
		2. Is management responsive to the findings and recommendations of audits and other reviews aimed at strengthening internal control?	

I/C Component	Factors	Query	
5. Information & Communications Systems.	5.1 Information	1. Is pertinent information identified, captured, and distributed to the right people in sufficient detail, in the right form, and at the appropriate time to enable them to carry out their duties and responsibilities efficiently and effectively?	
	5.2 Communications	1. Does management ensure that effective internal communications occur?	
	5.3 Form & Means of Communication	1. Does the Entity employ many and various forms and means of communicating important information with employees and others?	

CHAPTER 3 INTERNAL AUDIT STRATEGY A ND ANNUAL AUDIT PLANNING

3.1 Introduction

The Audit Charter and Auditing Standards require the HIA to develop a risk-based audit strategy and annual audit work plans setting out the priorities of the internal audit activity. This Chapter, consistent with the Charter and the Auditing Standards, provides the guidance in establishing the Audit Strategy and the Annual Audit Plan.

IIA Standard 2010 – Planning:

The Head of Internal Audit must establish risk-based plans to determine the priorities of the internal audit activity, consistent with the organization's goals.

IIA Standards 2110 – Governance:

The internal audit activity must assess and make appropriate recommendations for improving the governance process in its accomplishment of the following objectives:

- *Promoting appropriate ethics and values within the organization;*
- *Ensuring effective organizational performance management and accountability;*
- *Communicating risk and control information to appropriate areas of the organization; and*
- *Coordinating the activities of and communicating information among the board, external and internal auditors, and management.*

IIA Standard 2120 – Risk Management:

The internal audit activity must evaluate the effectiveness and contribute to the improvement of risk management processes.

IIA Standard – 2130 – Control:

The internal audit activity must assist the organization in maintaining effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement.

The preparation of a risk based annual plan of audit activities is a fundamental requirement so as to determine what work needs to be done and also to ensure that the limited resources

provided for the audit function is deployed properly for the best possible advantage of the organization.

An Annual Plan based on a properly managed planning process will serve as an important tool for the HIA. It helps to prioritize and determine the activities to be undertaken by the IAD. Beyond this, the planning process helps the HIA and the Internal Auditors obtain an in-depth knowledge of the organization, which in turn will help the HIA in all the interactions with the Chief Executive Officer/District Commissioner and senior management. Most importantly, the HIA will be better placed to assist Management achieve organizational objectives.

The IIA has issued further guidance for the proper understanding and implementation of the Auditing Standards related to planning. Some are directly related to planning while others provide guidance on planning in specific contexts. HIAs and Internal Auditors should review the Auditing Standards as well as the guidance listed below so as to understand all the parameters involved in planning.

3.2 Internal Audit Strategy

3.2.1 Rationale for an Audit Strategy

In order to ensure the judicious use of limited resources, it is imperative that the HIA ensures that the IAD activities are properly planned. It will neither be practical not possible, given the level of resources, to provide audit coverage to all programmes, operations and activities within an entity in any given year. The HIA therefore has to have a longer-term perspective, beyond just the current year, on what needs to be audited and what can be achieved. The Internal Audit Strategy is intended to provide this perspective.

The HIA should, subject to risk assessments, take into account the need to provide the widest possible coverage of the entire LA over a cycle of two to five years so as to ensure that a culture of organizational ethics, good governance, risk management and control is promoted and practiced throughout the organization. This would require the HIA to strike a balance between entirely risk-based priorities versus cyclical-based audits. This balance depends on the maturity of the LA's systems and processes, the extent to which policies and procedures, particularly those relating to risk management and internal control systems, are entrenched and complied with, and the general strength of the wider control environment. The process outlined below provides a basis for individual HIAs to exercise judgment on how best to achieve the balance.

3.2.2 Setting Strategy

In order to ensure an orderly coverage of the entire entity, all identified auditable areas (Section 3.5 below) within the Audit Universe should first be assessed for the relative risks based on the processes outlined below. Each of the auditable areas should then be classified as bearing High, Medium or Low Risk.

The Internal Audit Strategy, based on the three classifications above, should be to audit all:

a. **High Risk areas -** at least once every two years.
b. **Medium Risk areas** - once every three years.
c. **Low Risk areas** - once every four to five years.

It should be noted that risk is dynamic and subject to change due to a variety of factors. For example, an area that is rated as low risk could become high risk in the following year due to the introduction of highly vulnerable and sensitive new programmes. Secondly, the risk assessment model does take into account the last audit of the area. As a result, a high-risk area that was recently audited could be rated as medium or low risk in the following year. Though, this may not always be the case, the revised rating should not affect the cyclical consideration significantly.

It is proposed that approximately 60% to 70% of available resources in a given year be entirely dedicated and prioritized to cover the areas that are assessed to be of the highest risk and approximately 30% to 40% be dedicated to cyclical based audits, which would include some areas that are assessed as medium and low risk areas. The HIA should also bear in mind that certain areas may need to be audited annually rather than biannually because of their persistent high risk rating and their likely adverse impact on the organization as a whole. In such a case, the cyclical principle should not apply to such audits. The proposed allocation of percentages between the two – i.e. entirely risk based audits and cyclical audits, is only intended as a guideline. The HIA should exercise professional judgment and make appropriate adjustments that best suit the conditions prevailing in the LA.

Based on the above Internal Audit Strategy, the HIA should prepare the Annual Audit Plan for the first year and Audit Plans for the next two years. The Annual Audit Plan for the first year should be realistic and precise as possible. The proposed plans for the next two years could be nominal in nature but should, to the extent possible, be a reasonable proposal of what can and should be achieved. The plans for the three years should together provide a good perspective of the direction of the IAD.

This exercise, particularly the risk assessment of auditable areas and their classification into high, medium and low risk areas, should be conducted annually. As a result of a new assessment each year, priorities could change, as mentioned in the preceding paragraphs above.

3.3 Planning Principles

HIAs and IADs should observe the following principles in developing and establishing the Internal Audit Strategy and the Annual Audit Plans:

a. Consistent with the Audit Charter and the Internal Auditing Standards, the Strategy and the Annual Plans should be risk based and targeted at governance, risk management and internal control processes that assist the organization achieve its strategic goals.

b. Planning should take into consideration key audit objectives – i.e. to provide the CEO/DC and senior management with assurance regarding the effectiveness of governance, risk management, controls and fraud prevention measures.

c. In order to ensure alignment with organizational goals, the HIA should collaborate and consult with the CEO/DC and Senior Management to determine the risks that are likely to occur or adversely affect the organization from achieving its goals and objectives and where the services of the IAD are most needed and likely to have the greatest impact.

d. In the consultation process with the CEO/DC and senior Management, the HIA should be able to bring professional judgment, expertise and experience to identify and advice on high priority audit areas.

e. In addition to risk based and cyclical audits, the HIA should, based on past experience, also allocate a certain amount of available resources to conduct ad-hoc audits that may become necessary during the course of the year as a result of:

   I. The identification or emergence of serious risks that were not known previously and require immediate attention.

   II. Complaints and reports of potential fraud or other irregularities, not recognized and included in the Annual Audit Plan previously, that may adversely impact the organization.

   III. Requests from the CEO/DC and Senior Management for the conduct of special audit in areas that were not previously identified or included in the Annual Audit Plan. Very often requests for special audits may be made without understanding risk priorities and may be made on the basis of a 'comfort' factor rather than the significance of a perceived risk. HIAs should properly assess ad-hoc requests, if necessary, through a preliminary review to determine if the suggested area indeed bears higher risks than the planned audits. After such an assessment, the HIA should excise professional judgment to decide whether the request should be prioritized and undertaken at the earliest possible time. Where a proposed audit is not considered to be of the highest priority, the HIA should advise the CEO/DC accordingly; and unless directed otherwise, take note of the request for action at an appropriate time in the future so that the Annual Audit Plan is not disrupted.

f. The HIA should review all previous audit reports, both internal and external, in order to better understand the strengths and weaknesses of the risk and internal control profile of the LA.

g. There should be active coordination and cooperation among all the HIAs and the IADs to ensure that the LAs get the maximum benefit from the IADs, which are expected to be operational in every LA. The conduct of joint or across-theboard audits (also called Horizontal Audits) by all IADs could help bring about significant improvements in risk management throughout the LAs. Such horizontal audits could include certain common types of operations, such as performance measurement and monitoring processes, financial management and payroll management. HIAs should, in collaboration with the Director of CIAU consider the possibility of conducting such audits using jointly developed common audit programmes. Such consideration should be an integral part of the planning process.

h. Follow-up of Management action on IAD reports and recommendations is an essential responsibility of the HIA. Adequate resources should be allocated, based on the needs of each IAD, for the follow-up activities.

i. Auditors are required to maintain their professional competence through continuous training. Training and staff development is a purposeful activity and helps build the competence and capacity of the individuals and the IAD. Subject to the composition of the IAD staff, HIAs should provide at least 80 hours annually per Auditor for training and staff development. A training plan should therefore be developed by the HIA.

j. The Audit Strategy and Annual Audit Plan should follow the fiscal year of the government. HIAs should submit the Internal Audit Strategy and Annual Audit Plans (including plans for second and third years) to the CEO/DC for the review and recommendations for the Board's approval at least thirty days before the commencement of the fiscal year. The approved Plans for the second and third years should be able to support budget requests for resources, including staff and other operating costs.

k. The Audit Strategy and Audit Plan are important and dynamic instruments of the HIA and provides direction to the IAD. The approved Audit Plan should be reviewed and up-dated at least once every six months to take account of significant changes and events. The Audit Strategy and Audit Plan should be reviewed and revised annually by following the planning process in this Chapter, including conducting risk assessments. The planning exercise could require significant effort in the initial years, but as experience is gained, the effort required should be reduced. It is proposed that initially HIAs should dedicate about 10% to 20% of their own time and about 10% of their staff time on the planning effort. Planning by its very nature also induces the HIA and the Internal Auditors to obtain better and in-depth knowledge of the LA that will assist in increasing the effectiveness of the audit function.

3.4 Resources

3.4.1 Resource Requirements

The amount of resources available determines the extent of work that will be undertaken by the IAD. Based on experience, resources dedicated to the IAD is very much dependent on the decisions made by the CEO/DC during the budgeting cycle. Hence the amount of resources available for the IAD is to a large degree inflexible and not guaranteed.

Notwithstanding the above, it is incumbent upon the HIA to identify the optimal amount of resources required to provide a reasonable level of internal audit services on a continuous basis based on a viable Internal Audit Strategy so that all major risks facing the LA are reviewed and reported on a cyclical basis over a period of three to five years. In presenting the Audit Strategy and the Annual Audit Plan, the HIA must prepare a reasonably comprehensive memorandum to the CEO/DC on the adequacy (or inadequacy) of resources that is dedicated to the IAD. Meeting targets or shortfalls in performance should be highlighted in the Audit Activity Reports.

3.4.2 Resource allocations

Total estimated resources available for each audit plan year should be allocated as shown in Table III-1 below.

3.4.2.1 TABLE III-1 RESOURCE ALLOCATION PLAN FOR FINANCIAL YEAR 20XX

Purpose	HIA	Deputy HIA	2 Internal Auditors	Total available person days	Travel funds
Total days	365	365	730	1460	
Less:					
1. Weekends and public holidays	(-x)	(-x)	(-x)	(-x)	
2. Annual Leave	(-x)	(-x)	(-x)	(-x)	
3. Estimated Sick leave	(-x)	(-x)	(-x)	(-x)	
Total available days	T	T	T	T	
Less:					
1. General Administration & liaison with CIAU on Professional practice and Policy guidance	-a	-a	-a	-A	
2. Staff development	-b	-b	-b	-B	
3. Follow-up of previous audits	-c	-c	-c	-C	
4. Annual Audit Planning	-d	-d	-d	-D	
Total available days for auditing	Y	Y	Y	Y	
Staff Allocation for Audit Engagements					
A. Provision for Ad-hoc unplanned work	-u	-u	-u	-u	-u
B. High Risk Areas					
(Examples)					
1. Procurement					
2. CDF					
3. Revenue Collection					
C. Medium Risk Areas					
1. Payroll					
2. Accounts Payables and Commitments					
D. Low Risk Areas.					
1. Staff advances					
2. Loans, Grants and Debt					

3.4.2.2 INTERNAL AUDIT MANUAL

The staff allocation for the individual engagements should be determined in accordance with the planning process outlined in Section 2.5 below.

The resource plan should be reviewed periodically when there are changes in the level of resources or when the resources used on one project far exceeds the planned resources.

3.5 Planning Process

The HIA should apply the Audit Strategy and Planning Principles to establish the Annual Audit Plan and the plans for the two ensuing years using the process outlined in this Section.

3.5.1 Identify Audit Universe and Auditable Areas

The HIA should identify the **audit universe -** i.e. all the areas, including financial and non-financial, that are subject to the control or the authority of the CEO/DC. Identifying the audit universe and defining an auditable unit are critical to developing both risk models and the audit plan.

The entities and elements comprising the audit universe should be grouped into units of **auditable areas**. An auditable area should:

a. Be able to produce meaningful findings for senior Management to understand and manage.
b. Be of such a size and scope that an audit engagement could be practically conducted within a reasonable timeframe or cycle of coverage.

Auditable areas can be determined and identified by:

a. Organizational structure – such as Directorates, Sectors and Offices. A Directorate may consist of several Sectors with different programmes and activities and may in itself be too large to be considered as one single auditable area because of the diverse functions performed by the various Sectors. Hence it may be preferable to identify each Sector as a primary auditable area.
b. Programme structure – the specific programmes, sub-programmes, activities or functions undertaken by the LA. Often the organizational structure may reflect the programme structure.
c. Systems and processes – systems and processes that may be common in all organizational units or those that cut across all organizational units. This would normally include support functions such as the accounting, payroll processes, procurement, human resources, information technology and other such functions.

The HIA should use professional judgment to determine a feasible or practical classification that would facilitate both the audit activity and management using any one or more of the factors mentioned above.

When auditable areas have been identified and established, the HIA should prepare a profile of each auditable area in the form shown in Table III.1. above. This will assist the HIA and the Internal Auditors better understand the auditable area and facilitate the planning process outlined in the following Section. The profile should be built up as more information is obtained through the planning process.

3.5.2 Review Organizational Goals and Operational Framework

Organizational goals and programme objectives - The HIA should obtain a full understanding of the LA's programmes and their objectives together with the related operational and capital budgets and staffing structures. This would require a thorough study of the Five Year Plan and the annual budget together with all the related documents that may have been prepared to support the Plan and the Budget. In addition, the HIA should also review the detailed operational strategies and plans that the LA itself may have prepared for the implementation of the activities and projects approved in the Five Year Plan and the Annual Budget. The knowledge gained through these reviews and past experiences should help the HIA better identify the likely key risks facing the LA.

The Public Finance Management Act and the Financial Regulations - The HIA should review the Act and the Regulations, as well as other directives issued by central agencies and directives issued by the CEO/DC including the Local Authorities Accounting and Financial Management Procedures Manual. This review should help identify key risks and the important controls, accountability mechanisms, and reporting responsibilities for which the CEO/DC and senior managers of the LA are responsible.

The HIA should obtain a full understanding of the internal accountability process of managers to the CEO/DC and also how these processes assist the CEO/DC's external accountability responsibilities, particularly to the central agencies such as the MoF, National Local Government Finance Committee, Ministry of Local Government and Rural Development and the Parliament.

The HIA should identify all the internal and external accountability reports such as programme performance reports and budget performance reports that are required to be prepared to better understand the control and reporting framework. This work will assist the HIA better understand what measures need to be taken to mitigate and control risks.

3.5.3 Review Prior Audit and other Reports

The HIA should review audit reports issued by both external and internal auditors on each of the auditable areas to understand the weaknesses and deficiencies that were observed. The review should also include Management's responses to recommendations and the actions taken to date. Based on the criticality of the identified risks and weaknesses in controls, the HIA should determine if the organization might benefit from another audit in the next year.

The HIA should also review other reports that may have been issued recently to external stakeholders. This may include performance and other reports issued by the LA itself. These may indicate issues and problems in achieving organizational goals and objectives.

3.5.4 Consult with Senior Management

Using the information obtained above, the HIA should conduct informed discussions with senior Management of the LA on what they consider to be the key risks to the LA, weaknesses and other problems that could hamper the LA's performance in achieving its objectives and which areas would benefit most from internal audit work.

3.5.5 Consult and Coordinate with CIAU and other HIAs

The HIA should discuss proactively with the CIAU and other HIAs the possibility of conducting audits jointly and simultaneously (horizontal audits) that would:

a. Benefit not only their own LA, but also the local government as a whole.
b. Reduce the overall audit effort.
c. Assist in improving the quality of planning and the conduct of audit engagements and increase the overall capacity of the Internal Audit function in local governments through exchanging information and learning from each other.

Areas for coordination and collaboration would include certain governance processes (such as programme objective setting, monitoring and measuring programme performance) and operational processes (such as payroll, accounting, budget management, contracts, procurement of specific range of goods and services, travel, payments controls, receipts control etc.). These processes are common to all entities and as such the risks related to these processes may also be common. Unified approaches to such risks would help the central agencies develop clearer policies and also establish better high-level controls.

If potential for such collaboration exists, then the audit objectives, scope of work to be performed and the timing of the cooperative effort should be agreed to so that these could be included in the Annual Plan.

3.5.6 Conduct Risk Assessment

The HIA must use risk assessment, among other factors, in establishing the annual Audit Plan. The HIA should first establish the extent to which Management has undertaken adequate formal risk assessments, documented and identified risks, and established appropriate mitigation measures and controls to address the risks. Where Management has undertaken this work, then the HIA should evaluate this work and determine if it can be relied upon as a basis for identifying the major risks confronting the organization and for preparing the Audit Plan accordingly.

Where Management has not performed any risk assessment or does not have any formal system to identify, analyze and manage risks, then the HIA should review each of the auditable areas. In conducting the risk assessments, the HIA should take into account the concepts, particularly with respect to inherent and residual risk, discussed in Section 2.3 Chapter 2. The HIA should use alternative methodologies to determine and identify risks and the measures that management may have taken to manage the risk. All the information that was collected in the previous steps in the process should be used for the purpose.

As the main purpose is to identify the key risks at the macro level, the HIA should also consider soliciting information from managers of each auditable area through simple questionnaires designed to solicit information on:

a. The clarity of the LA Directorate's understanding of its mandate and programme objectives.
b. What the manager considers to be the major risks to the achievement of their objectives.
c. What measures or controls have been put in place to mitigate those risks.
d. How and at what frequency performance is monitored and the effectiveness of the risk mitigation and control measures reviewed.
e. What form of accountability reports are issued and how the integrity and reliability of the reports are assured.

In addition to the above, the HIA may also use the results of the questionnaires and other information to conduct interviews with managers of selected LA Directorates, programmes or processes which in his judgment may encompass some critical operations and may contain undue key risks that may jeopardize the LA's operations.

3.5.7 Risk Matrix

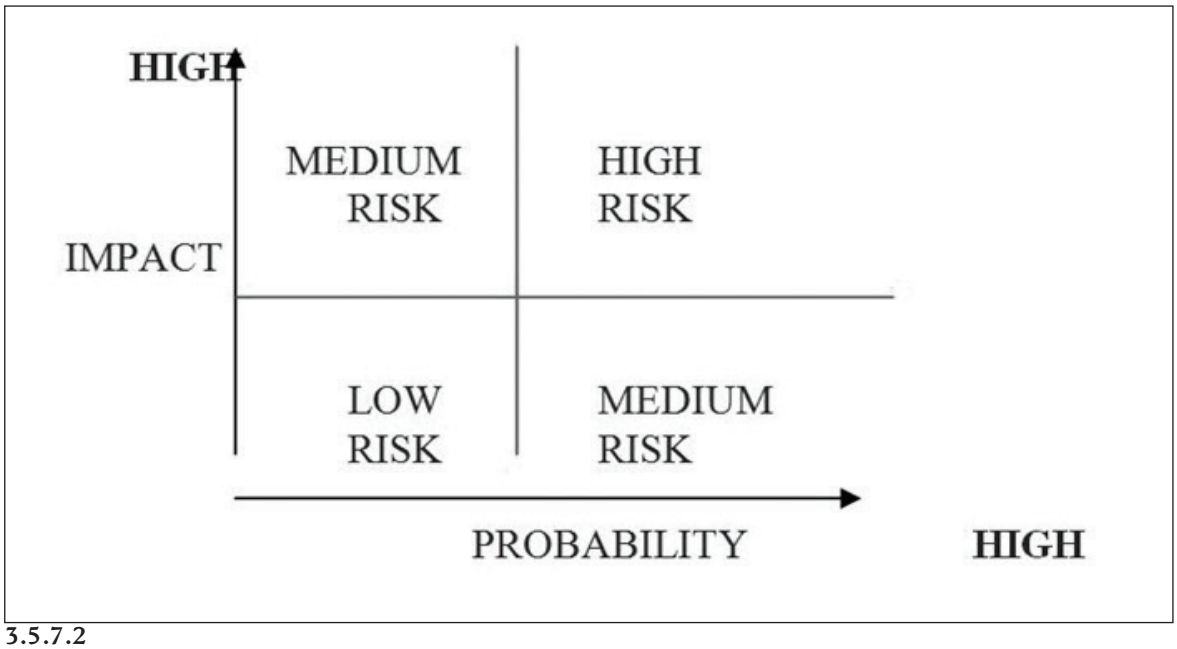
Assessment of risk could be qualitative or quantitative or a combination of both. Different audit organizations have used different models for the determination of risks and the ranking and prioritization of auditable areas. It is proposed that the IAD use the risk matrix in Table III -2 below to determine the relative risks that are present in each of the auditable areas within the LA serviced by an IAD. The Matrix is made up of two elements, the risk score and the attributes or factors against which risk is evaluated and scored as explained in Section 3.2.2 above.

Table III - 2: RISK MATRIX

(i)		Risk Factors							
		(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	
Risk Level	**Risk Score**	**Prior Audit Work**	**Complexity**	**Control Environment**	**Operating management**	**Changes**	**Sensitivity**	**Budget**	**Staff**
High	20	>7 years	Very High	Very weak	Low Perform.	New	Front Line	>25%	>25%
Medium	15	5-6 years	Medium	Weak	Limited Perform.	Many	Significant	25 to 15%	25 to 15%
Low	10	4- 3 years	Low	Moderate	Satisfactory	Some	Important	>15%	>15%

Risks need to be rated in order to rank them according to the degree of severity. Risk is assessed in terms of the likelihood or probability of an event happening, and the degree of the impact if that event happens. For the purposes of preparing the Annual Audit Plans, risks will be rated as High, Medium or Low. If the probability or likelihood of an event happening is high and its likely impact is also high, then the overall risk would be assessed as being high. Whereas, if the likelihood is low and the impact is also low then the overall risk of the event would be rated as low. Figure III-1 below illustrates the relationship between the two factors, which determine the severity of risks.

3.5.7.1 FIGURE III -1: RISK RATING



3.5.7.2

It should be noted that the above risk measurement is meant to reflect the residual risk i.e. the risk remaining after Management has taken measures to manage and control the risk. In this respect, HIAs should take into account the fact that although Management may have taken action to control certain key risks, the action may be inadequate or the controls may not have been implemented effectively. In such cases, the inherent risk may still remain high. In other instances, even though Management may have taken action to manage certain high risks areas, it may be necessary to still prioritize the audit of the area because of its significance to the overall organization in terms of its high inherent risk.

For the purposes of ranking risk in the Annual Planning process, High Risk, Medium Risk and Low Risk will be assigned scores of 20, 10 and 0 points respectively. An auditable area that has been assessed as being of high risk against each of the attributes in columns (i) to (viii) in Table III-2 above will end up having the highest possible score of 160, whereas one that is consistently rated low will have a score of zero.

In the above Risk Matrix, risk is evaluated against the following eight attributes or factors:

a. **Prior audit work** – The period since the last audit was carried out is an absolute factor. Auditable areas not audited for more than four years should be rated as High Risk; those not audited between three and four years as Medium Risk and others as Low Risk. The findings from previous audit work will likely affect scores against other factors – such as the quality of the control environment and not against this factor.

b. **Complexity** – Potential for errors to go undetected and/or business objectives not met because of a complicated environment. Rating depends on the extent of automation, complex calculations, interrelated and interdependent activities, dependency on third parties, highly technical demands, etc. This

should also take into account the relative size of the activity within the universe and the potential exposure and the probability of deficiencies.

c. **Control Environment** - Represents the collective policies, procedures, routines, physical safeguards and employees in place. Essential to a favorable control environment is tone at the top, good ethics, reliable systems, adherence to documented policies and procedures, promptness in detection of errors, adequate staffing and controlled turnover of personnel. Conversely, lack of supervision, lack of documented systems, high transaction error rates, unmanageable backlogs of work, high turnover of staff and presence of a high level of nonroutine transactions are symptoms of a poor control environment.

d. **Operating Management** – Reflects confidence placed in the competence and integrity of Management measured by past audit interaction, experience of Management in the auditable area's work environment, and perceptions of quality/ level of staffing.

e. **Changes in People/Systems** – Change usually occur to effect improvement in the long term but often have short-term offsets that require increased audit coverage. Changes include reorganizations, modifications in business cycle, rapid growth, new systems, new rules and regulations and personnel turnover.

f. **Sensitivity** - An assessment of the inherent risk associated with what could potentially go wrong and what the related reaction would be. It could involve risk connected with loss or impairment of assets; risk connected with undetected error, including liabilities not being systematically recognized; or risk of adverse publicity, legal liability, etc.

g. **Budget** – This is the total resource allocated for the auditable area. Directorates and programmes that receive relatively higher proportion of the total LA's resources are likely to have a greater impact, positive or negative, upon the whole LA.

h. **Staff** – Staffing levels would be an indicator of the level of activity within an organizational unit. The level of the budget alone may not be a good indicator. Staffing levels may also be an indicator where opportunities for efficiency gains exist, such as modernizing or automating processes etc.

In the model, each one of the factors discussed above has been accorded the same weightage or level of importance. For instance, Prior Audit Reports, Budget and Staff are given the same level of importance as Control environment. However, if it is considered that Control Environment should be given a greater weightage in relation to other factors, then the total score accorded to this factor can be increased by the factor of importance. If it is considered that this factor should be considered twice as important when compared with other factors, then the gross potential scores for this factor should be simply doubled. In such a case, Control Environment would have a greater weight in the risk ranking. It would be the same for other factors as well. This is a matter of judgment. The HIAs and CIAU should agree on the weight to be accorded to each factor.

The risk factors included in this model are not necessarily exhaustive. This model should be modified, where necessary, to meet local conditions. For instance, the factor for budget could be divided into two parts – to reflect development or capital expenditure, which may bear higher risks as opposed to operating or recurrent expenditure. However, while errors in capital expenditure could be one-off, errors in operating expenditure could also be significant if such errors persist for a prolonged period. In some entities, where revenue collection could be

a significant activity, another additional factor for revenue could be included. HIAs should use their judgment to determine if additional factors need to be included; and if such factors are indeed necessary, then the criteria to be used in determining the level of risks should also be established.

3.6 Annual Audit Plans

3.6.1 Select Audit Engagements for inclusion in Audit Plans

The HIA, after collecting all the necessary information and is reasonably assured that all the necessary steps have been completed satisfactorily, should:

a. Rank all the auditable areas according to their degree of risk.
b. Determine the level of resources that will be required for the performance of each audit.
c. Select those areas that should be prioritized and included as potential engagements in the Annual Audit Plan for the next year and in the Annual Plans for the next two years taking into account:

   I. The Internal Audit Strategy.
   II. The staff resources available as determined in Section 2.4.2 above.

3.6.2 Establish preliminary Audit Objectives, Scope and Timing of Audit Engagements

For each of the audit engagement to be included in the Annual Audit Plan and the Plans for the next two years, the HIA should prepare in brief:

a. The reasons why the engagement was selected.
b. The Preliminary Audit Objectives to be achieved in the engagement and the Scope of the Audit, noting that both the Objectives and the Scope could be subject to further refinement when the detailed engagement planning is undertaken.
c. When the audit engagement is to be undertaken – at least the month in which it will commence and the month in which it will be completed.

3.6.3 Plan Format

The Annual Audit Plan and the Audit Plans for the next two years should be presented in two parts:

a. **Part I - Resource Allocation Plan** - This part should be in the form set in Table III-1 in Section 3.4.2 above. This part shows how it is proposed to utilize resources and will include all the audits or engagements to be undertaken.

b. **Part II – Detail Annual Audit Plan** - provides details of all the planned audits or engagements, during the first year and the next two years as shown in the Table III-3 below. The audit subjects should be shown in the same sequence as in the Resource Allocation Plan summary for the Annual Audit Plan and the Annual Plans for the next two years.

Table III-3: Detailed Annual Audit Plan for year 20XX

Audit Subject 1	Description of the auditable area
a) Risk level	
b) Reasons for inclusion in Annual Audit Plan	
c) Audit Objective	
d) Audit Scope	
e) Timing	
f) Resources	
Audit Subject 2	
a) Risk level	
b) Reasons for inclusion in Annual Audit Plan	
c) Audit Objective	
d) Audit Scope	
e) Timing	
f) Resources	

3.6.4 Submission of Annual Audit Plan to the CEO/DC

The HIA should present the Annual Audit Plan and the Audit Plans for the next two years to the CEO/DC for review and recommendations for the Board's approval. These should be submitted together with a covering memorandum explaining briefly:

a. The basis and the processes used to prepare the Plans.
b. The adequacy or inadequacy of the risk management processes within the LA.
c. The adequacy or inadequacy of resources dedicated for Internal Audit and the consequent constraints on the Audit Plans and activities and the likely impact and risks to the LA of not providing adequate internal audit services.

The HIA should also seek to meet with the CEO/DC and explain the proposed Audit Plans in person and obtain his recommendations for the Board approval. **ANNEX III-1: PROFILE OF AN AUDITABLE AREA OR UNIT**

a. **Background**: The auditable unit and its structure, its goals, its products or services, its environment, and its stakeholders.
b. **Objectives**: The auditable unit's expected accomplishments or contributions.
c. **Activities**: The principal tasks that the auditable unit performs or administers to accomplish its objectives.
d. **Outputs:** The products, goods, or services that are produced or directly controlled by the auditable unit and distributed inside and outside the department.
e. **Expected Results**: The intended accomplishments or longer-term outcomes of the auditable unit, expressed in quantitative or qualitative terms.

f. **Resources**: The authorized operating, capital, transfer payment and salary expenses devoted to the auditable unit.
g. **Systems**: The major system(s) used by the auditable unit in support of its key inputs, processes, and outputs.
h. **Previous audits or reviews**: The summarized results, including follow-up action taken, of any previous internal audits or reviews conducted on the auditable unit.
i. **Major Changes**: The significant changes, made in prior years or anticipated, that have affected, or may affect, the auditable unit.
j. **Other Factors**: The constraints or other considerations that may have an influence on the outputs of the auditable unit or on the way it operates.
k. **Risk ranking**: The results of the internal audit activity's assessment of the auditable unit's risks.

CHAPTER 4 ASSIGNMENT PLANNING AND CONDUCTING INTERNAL AUDIT ENGAGEMENTS (FIELDWORK)

IIA Standard 1200 - Proficiency and Due Professional Care:

Engagements must be performed with proficiency and due professional care.

IIA Standard 1220 - Due Professional Care:

Internal auditors must apply the care and skill expected of a reasonably prudent and competent internal auditor. Due professional care does not imply infallibility.

IIA Standard 2200 – Engagement Planning:

Internal auditors must develop and document a plan for each engagement, including the engagement's objectives, scope, timing and resource allocations.

IIA Standard 2201 - Planning Considerations:

In planning the engagement, internal auditors must consider:

- *The objectives of the activity being reviewed and the means by which the activity controls its performance;*
- *The significance risks to the activity, its objectives, resources, and operations and the means by which the potential impact of risk is kept to an acceptable level;*
- *The adequacy and effectiveness of the activity's management and control processes compared to a relevant control framework or model; and*
- *The opportunities for making significant improvements to the activity's risk management and control processes.*

IIA Standard 2210 – Engagement Objectives:

Objectives must be established for each engagement.

IIA Standard 2220 – Engagement Scope:

The established scope must be sufficient to satisfy the objectives of the engagement.

IIA Standard 2230 – Engagement Resource Allocation:

Internal auditors must determine appropriate and sufficient resources to achieve engagement objectives based on an evaluation of the nature and complexity of each engagement, time constraints, and available resources.

IIA Standard 2240 – Engagement Work Program:

Internal auditors must develop and document work programs that achieve the engagement objectives.

IIA Standard 2300 – Performing the Engagement:

Internal auditors must identify, analyze, evaluate, and document sufficient information to achieve the engagement's objectives.

2310 – Identifying Information

Internal auditors must identify sufficient, reliable, relevant, and useful information to achieve the engagement's objectives.

IIA Standard 2320 – Analysis and Evaluation:

Internal auditors must base conclusions and engagement results on appropriate analysis and evaluations.

IIA Standard 2330 – Documenting Information:

Internal auditors must document relevant information to support the conclusions and engagement results.

4.1 Introduction

Different internal audit organizations use a variety of methods, terminologies and steps for planning and conducting internal audits. The methodologies and processes to be used in planning and conducting an audit engagement by the IAD are outlined in this Chapter.

The following Practice Advisories issued by the IIA, which provide guidance on engagement planning and fieldwork, should be reviewed together with the relevant auditing standards.

The Annual Audit Plan, when prepared and approved in accordance with the processes outlined in Chapter 3, would have identified a portfolio of potential audit engagements. The objectives and scope of the audit engagements contained in the Annual Plan are generally based on preliminary information obtained during the macro planning process, particularly what are considered to be the key risks to the organization. As additional and more detailed information on the auditable area encompassed in the proposed audit engagement is obtained

through the engagement planning process, the objectives and scope of the engagement would be continuously refined. This process is aimed at providing a more precise focus on significant and material risks and issues relating to governance, risk management and control processes in the auditable or subject area.

In planning and conducting the engagement, the HIA should be careful to minimize Audit Risk, mentioned in Section 2.3.4 of Chapter 2. Audit Risk is the possibility that audit findings, conclusions, recommendations, or assurance may be improper or incomplete, as a result of:

a. Evidence that is not sufficient and/or relevant.
b. Conclusions based on a weak internal control structure that is susceptible to manipulation.
c. The chance of not detecting a material problem due to inappropriate methodology.
d. Reliance on information that is not properly verified.
e. Inadequate cooperation from the auditees' agencies.
f. Lack of professional competency.
g. Working papers

Audit risk can be reduced by clearly defining the audit objectives and the scope of work of an audit engagement and applying proper methodology and audit steps in collecting evidence that is necessary to support all audit findings and conclusions.

HIAs should follow the planning processes outlined below to minimize audit risks and ensure that resources and efforts are devoted to key areas that can have a significant impact on the performance and results of the program or activity being audited. At the end of the planning phase, the HIA should be able to clearly state what will be audited, why it will be audited, and how it will be audited. This will ensure that the conduct of the audit itself is properly directed to gathering the necessary evidence to form conclusions in relation to the audit objectives.

4.2 Initiating the Engagement

As a first step in initiating an audit engagement, the HIA should formally notify or inform the Auditee in writing about the proposed audit engagement. The Auditee is normally the most senior manager directly responsible or accountable for the program, activity, organization or initiative. This may be a head of a Directorate, Sector, Office or an organizational unit. In some cases, particularly in crosscutting or 'across the board' audits, there may be more that one Auditee. Subject to the local arrangements, the notification could be made direct to the Auditee(s) concerned and copies of the notification could be forwarded to the higher level Managers within the organizational hierarchy to keep them informed of the audit activity.

The **Audit Notification** should normally:

a. Inform the Auditee of the:

- Purpose of the engagement based on the preliminary objectives and scope together with any specific considerations or concerns.
- Names of the auditors assigned to the audit.

- List of schedules, documents required.
- Time frame for the start and completion of the audit engagement.

b. Request the Auditee to:

- Appoint a primary focal or contact person to facilitate the coordination of audit work.
- Arrange an opening meeting to discuss the audit engagement

In the **Opening Meeting** with the Auditee, the HIA should inform, discuss, clarify or seek:

a. The known details of the program, activity or organization to be audited, e.g. mandate, resources, and structure.
b. The Auditee's responsibilities in the audit process.
c. Information and copies of documents deemed to be important to acquiring a good understanding of the Auditee's activities, including any recent internal and external developments that may have an impact on the auditable area and internal and external reports of any review conducted in respect of the audit area or other related areas.
d. To identify, at least on a preliminary basis, all the relevant staff and others who will need to be contacted and interviewed by the Auditors.
e. Any suggestions from the Auditee with respect to the engagement particularly in relation to the audit objectives, scope and audit approach.
f. Any concerns that the Auditee may have with respect to the Audit Engagement, including the timing of specific work so as to avoid any undue disruption of the Auditee staff's work.

4.3 Planning the Audit Engagement

The planning phase normally consists of three distinct, but often overlapping, activities, i.e. gaining an understanding of the nature of the program, activity, organization or initiative being audited; determining and assessing risks; and determining the most appropriate audit objectives, scope and criteria to be employed as outlined below.

4.3.1 Understanding the Audit Area

The Internal Auditor needs to develop a sound understanding of the program, activity, organization or initiative being audited, including its management practices, business processes, policies and procedures, and external and internal environments, focusing attention on all important aspects of risk management, control, and governance processes for the program, activity, organization or initiative being audited. As part of this process the Internal Auditor should:

a. Review key documents that are necessary to gain an understanding of the audit subject and this would normally include:

- Relevant laws and regulations.

- Policy, procedures and standards, manuals and directives.
- Results of previous audits or evaluations by the Internal Auditors, and self-assessments by the Auditee.
- Organization charts.
- Listings of key personnel.
- Programme or organizational plans and objectives.
- Budget and other financial allocations and actual performance for the last two or three years.
- Operational and financial data and related reports to obtain an understanding of the nature of transactions, and the volume of transactions.
- Job descriptions and delegation of authority instruments.
- Process and system maps or flowcharts.
- Management meeting reports or minutes.
- Risk assessments.
- Management studies or reports

b. In addition to reviewing documentation and analyzing financial and non-financial performance information, consider and where appropriate:

- Visit sites and observe operations.
- Interview management, field staff, central agency representatives or subject matter experts with respect to governance, risk management and control issues as well as other operational issues relating to programme efficiency and effectiveness.

c. The Internal Auditor should prepare or up-date the Auditable Unit Profile (Annex III.1) that was prepared when establishing the Annual Audit Plan.

4.3.2 Assessing Risks

The risk assessment process provides a structured means of evaluating information and applying professional judgment as to the most important areas for audit examination. It should be noted that in most cases the Audit Engagement is being initiated only because some key risks that were already identified in the planning process prompted its inclusion in the Annual Plan. The Internal Auditor should review the criteria and documentation that went into the decision to include the engagement in the Annual Plan in the first instance. In other cases, a request from senior management may have prompted the audit.

In such cases, the reasons advanced by senior management should be used to guide the risk assessment process. Chapter 2 of this Manual, which outlines risk management and risk assessment processes, should be reviewed when carrying out the preliminary risk assessment.

A detailed risk assessment is undertaken during the planning phase of the engagement to confirm that the initial objectives, scope and lines of enquiry have indeed focused on the most important risks associated with the program or activity being audited. As a first step in the process, the Internal Auditor considers if Management has conducted risk assessment and has established procedures to manage the risks. If so the Internal Auditor should review:

a. The reliability of management's assessment of risk.
b. Management's process for monitoring, reporting, and resolving risk and control issues.
c. Management's reporting of events that exceeded the limits of the organization's risk appetite and management's response to those reports.
d. Risks in related activities relevant to the activity under review.

If Management has not conducted risk assessment on its own or has not properly documented the process, then the Internal Auditor should conduct an in-depth assessment. Internal Auditors should use the information obtained through processes mentioned in Section 4.3.1 above, and conduct detailed assessment by using procedures already outlined in Section 3.5.6 in Chapter 3 and focusing close attention to the specific operations under review. The assessment should seek to:

Identify the risks associated with the achievement of the Auditee's objectives and expected results, including the prevention of fraud.

Assess the relative significance of the risks and likelihood of each risk occurring and the impact should it occur.

Determine whether management's assertions or its plan of controls are likely to prevent or mitigate the occurrence of the identified risks, particularly the key risks.

Internal Auditors should use the template in Annex IV-1 to document the engagement risk assessment.

4.3.3 Assessing Internal Controls

Control is any action taken by Management or its staff to manage risk and enhance the likelihood of achieving established goals and objectives. Controls minimize both the likelihood of risks materializing and the likely impact of the risk should it materialize. It also safeguards assets and protects reputation and human resources. Internal Auditors should review Chapter 2 of this Manual, which discusses the many aspects of Internal Controls. Using the guidelines, the Internal Auditor should gain an understanding of the Auditee's Internal Control Framework and general approach to controls and monitoring. Refer to PA 2200-2 paragraphs 4 and 5 on the nature of key controls and possible approaches for testing them.

The Internal Auditor should first review the Annual Plan documentation to determine if any specific control weaknesses have already been identified in respect of the audit area. Following this and after obtaining a clear understanding of the key risks to the achievement of organizational objectives, Auditee's control objectives, and the Auditee's Internal Control Framework, the Internal Auditor should:

a. Identify and document the related controls that Management asserts have been put in place. The documentation could be in narrative form – i.e. a sequential description of every step in the control process or in the form of a Flowchart (using Visio, Excel or Word). Many organizational units may have documented their control processes in narrative or flowchart form. Some of these may also be contained

in job descriptions. Internal Auditors can use such documentation, but should confirm with Management that it is current and actually reflects the process.

b. Where appropriate, the Internal Auditor should conduct some preliminary tests to determine if the internal controls are working as designed. Such tests could be in the form of "walk through" tests, which uses a small sample of transactions and tests every step of the documented control process. In testing controls, the Internal Auditor should pay particular attention to the extent to which it might be possible to rely upon detective or monitoring controls, as these may reduce the necessity for extensive testing of preventive controls. For example, a manager may have established a quality review team to review a sample of files or transactions on a regular basis. If this monitoring activity is tested and considered to be reliable and as being capable of detecting material errors, then testing a small sample of original files or transactions through the entire process should be sufficient to provide the Internal Auditor with sufficient assurance. Refer to Chapter 5 of the Manual on sampling techniques.

c. After documenting and, where appropriate, testing the control processes, the Internal Auditor should evaluate the effectiveness of the control in mitigating every risk identified in Section 4.3.2 above. The control reviews should be relevant to the audit objective and be tailored to the specific client and the client's objectives. For example, if the audit is being done on the procurement function, then the Auditor's reviews should address risk in relation to: (i) the quality of goods; (ii) timely delivery; (iii) proper quantity of goods; and (iv) adherence to competitive practices, etc.

d. Assess the cost efficiency of the internal controls and determine if the risks warrant such controls.

4.3.4 Preliminary Conclusions - Possible Suspension of the Audit

After concluding the risk and internal control assessments, the HIA should undertake a preliminary review to determine if the audit should proceed. The analysis may indicate a satisfactory or unsatisfactory condition. The HIA may decide to close or suspend the audit as follows:

a. The assessments and limited tests may indicate that the Auditee has identified risks and has established strong internal controls and they are operating effectively. As a result, the probability of finding any significant issue that may be useful to Management is minimal or negligible. In order to use scarce audit resources more usefully, the HIA can suspend the audit and report the audit conclusion to the CEO/DC and Senior Management.

b. There is an absence of even basic controls and the Auditee accepts the need for immediate improvement action. Unless, fraud is suspected, the HIA can recommend that the Auditee seek assistance to establish the basic elements of a proper management control framework. Under this circumstance, the HIA may use professional judgment to report the situation to the CEO/DC with a recommendation that proper management controls are established within a defined period and until then the audit be deferred or suspended.

In all other cases, the HIA should proceed to the next step in the planning phase.

4.3.5 Review and Refine Audit Objectives

Audit objectives are what the auditor intends to accomplish. It identifies the subject matter and the expected outcomes. Often, the objective can also be thought of as questions the auditor seeks to answer.

Objectives may be focused on key generic internal auditing outcomes, e.g. assurance with respect to risk management, controls, governance, or may be focused on specific high-risk issues or concerns identified during the planning phase. Objectives should therefore be carefully considered and clearly stated in such a way that a conclusion with respect to each is possible.

Once an understanding of the program or activity has been acquired and the assessment of risks has been completed, including any limited testing of controls, the Internal Auditor and the HIA should evaluate each preliminary Audit objective and determine if it is adequate to cover all the significant issues that need to be addressed in the subject area. Based on this evaluation, the Internal Auditor and the HIA should make such amendments to the audit objectives as are necessary.

In some cases, the audit objective may seek to answer multiple questions or address multiple issues within one area. The Internal Auditor and the HIA should use their professional judgment to determine if it would be more optimal to classify each of the questions or issues as separate audit objectives. Alternatively, the audit objective could be retained as one, but supported by two or more sub-objectives. The accomplishment of the sub-objectives would be seen as accomplishing the main objective as a whole. As stated, above, care should be taken in defining the objectives so that a clear conclusion can be made in respect of each.

4.3.6 Review and Refine Scope of Audit

Scope is the:

Areas, processes, activities, or systems that will be the subject of the audit and to which the audit objective and the conclusions will apply. This could cover one or more organizational units and geographical locations. However, care must be taken to clearly define this.

Time period covered by the audit, for example, the period or fiscal year during which files or transactions to be examined were originally prepared.

Scope constitutes the universe or population with respect to the particular audit. Reviews, tests, and analysis will be confined to those elements that form part of the population. In some cases, the boundaries may be unclear. For instance, in an audit of "payment of all invoices and claims by the Treasury", the audit is not focusing on the events that gave rise to the invoice in the first place – such as whether a procurement invoice relates to a properly procured service or goods. In such instances, the scope must be clearly defined and also clearly exclude those systems that may be associated but are not the subject of audit.

At this point, it is essential that the Internal Auditor needs to carefully consider whether the Scope established in the first instance is reasonable to accomplish the audit objective. The scope limits the applicability of the audit objectives. For instance, if testing and review is con-

fined to only one month, the findings though can sometimes be extrapolated using meaningful analysis, can in general only be confined to that month. Sometimes, during the preliminary review phase, Internal Auditors may have reason to believe that certain abnormalities may extend further over a period of time or to other organizational and geographical areas. Such instances should be carefully considered and the Scope should be refined, as is necessary, taking into account its likely impact on the audit objective and the subsequent findings.

4.3.7 Define and Establish Audit Criteria

Every audit objective either explicitly or implicitly implies an Auditee to have attained a certain level of performance. Audit Criteria are desired standards of performance for the programme or operation, against which the Internal Auditor measures or evaluates the activity or performance of the Auditee. Criteria may be in many forms, and determined by, but not limited to the following:

a. Acts of Parliament, Rules and Regulations.
b. Policies and targets defined in programme documents submitted to the Parliament, Cabinet and central agencies.
c. Best practices within Government of Malawi or standards established by national and international institutions.
d. Technically developed standards or norms.
e. Contract or grant terms.
f. Standards that the Auditees themselves would have established to evaluate their performance.
g. In some instances, criteria can be common sense. For instance, an audit seeking to determine if there is an effective control over physical properties, would establish, among others, the criteria that an independent party regularly checks the existence of the properties.

It is, therefore necessary for the Internal Auditor to establish Criteria against which each objective or sub-objective will be measured. Audit criteria should be reasonable and attainable standards of performance and controls that can be used to assess and measure compliance, the adequacy of systems and practices, and the economy, efficiency and cost effectiveness of operations. Audit criteria provide a basis for developing audit observations and formulating conclusions.

Criteria suitable for audit purposes must be appropriate to the nature of the audit and must be relevant, and reliable. The HIA must review and discuss the proposed audit criteria with the Auditee, particularly when there are no generally accepted criteria, to obtain an acknowledgement that the criteria are suitable for the audit. If agreement on the audit criteria cannot be reached, this should be reflected in the planning documentation, with an explanation as to why the auditor believes the criteria remains appropriate.

4.3.8 Establish Audit Methodologies and Audit Programmes

Once the audit objectives, scope and criteria have been clearly established, the HIA needs to design a methodology or an approach to carrying out the audit that will provide the most

meaningful result in the most cost-effective manner. The efficiency and effectiveness of an audit depend largely on how well the audit program has been designed and executed. Therefore, the audit methodology should be properly designed to obtain sufficient and appropriate audit evidence so that conclusions can be drawn in respect of each of the audit objectives.

The key component of an effective audit program is the tests and procedures to be followed in gathering and analyzing audit evidence. The tests and procedures should be structured and described so that it is clear to which audit objective and to which audit criterion each procedure is directly linked. The nature of evidence and the methods for collecting the evidence is outlined in Chapter 5. The HIA and Internal Auditors should review the guidelines when designing the Audit Programme.

In developing the audit programme, Internal Auditors should bear in mind that substantial evidence will be required to reach a finding or conclusion with a high degree of confidence in respect of the following important elements related to the Audit Objective and Criteria:

Condition - The condition is a factual statement that describes the state of the audited area based on evidence collected from the audit. The Internal Auditor will compare the condition (what was found) with the audit criteria (what is expected or the desired state) to arrive at conclusions. It answers each audit objective either positively or negatively. The condition describes what the Auditee did or is doing – i.e. the actual state of affairs. In determining the 'condition', the Auditor should collect background information about the Auditee's systems and procedures and a description of how the systems and procedures are put into practice.

Cause – if the condition is different from the criteria (desired or expected state), sufficient evidence will be required to determine the cause of the deviation of the existing state from the criteria. In order to make effective audit recommendations to correct a defective condition, the Internal Auditor needs to be able to identify and understand the root causes for the condition, although there may be more than one cause.

Therefore, the underlying or root cause of the condition, which most likely could be due to weaknesses associated with policies, procedures and practices established by management, non compliance with 'hard controls' such as laws, regulations or with 'soft controls' such as poorly trained, unqualified or inexperienced staff. Remedying the cause should prevent recurrence of the condition. Cause identification could include the following:

- Specific actions or inactions by officials. – e.g. risks were not properly identified.
- Failure to establish effective "hard and soft" controls.
- Lack of clear directions or instructions, misunderstanding or no understanding, incompetence and a variety of other reasons.
- Management override of controls and collusion by staff.

Effect – of the risk or exposure and the consequent actual and likely impact of the deficiency on the organization. Where possible, Internal Auditors should:

- Express the impact in quantitative terms.
- State the impact of the deficiency or adverse condition on the relevant programme or activity in terms of achieving its objectives.

- Comment on whether the impact on the program or function is ongoing or represents a one-time occurrence.

Taking the above into account, the Internal Auditor and HIA should design and establish a detailed **Audit Programme** (a plan of action) consisting of audit tests and procedures in respect of each audit objective – basically to collect sufficient and appropriate evidence with respect to the Condition, the Cause and the Effect outlined above. The design of the Audit Programme should reflect the exercise of due care and compliance with professional standards and policies.

The Audit Programme should specify:

a. What is to be done – i.e. the specific areas that are to be reviewed.
b. How is it to be done – for example, by selecting and testing a random or representative sample of transactions for specific attributes, interviewing specific staff, soliciting information through questionnaire, substantive tests etc.
c. Why is it being done – i.e. the work should be related it to the objective and criteria.
d. When is it to be done.
e. Who in the audit team will perform each of the programmed tasks.

The Audit Programme should be flexible for the use of initiative and sound judgment in deviating from prescribed procedures or extending the audit work where warranted.

The HIA should use the checklist provided in Annex IV-2 to review the relevance and adequacy of an Audit Programme.

4.3.9 Planning Stage Documents

The HIA and the Internal Auditor should ensure that the documents, data, reports etc. collected throughout each stage of the planning phase are properly marked and referenced as part of the Working Papers to support the various decisions made during the planning process. This should particularly include:

a. Significant audit issues and the reasons for pursuing them further (e.g. the results of the risk and internal assessment).
b. Audit objectives.
c. Audit scope, i.e. the areas, activities, systems, or processes to be examined, together with the rationale for not pursuing any related ones.
d. Audit criteria against which assessments will be made.
e. Approach or methodology that will be used for the engagement
f. The projected timeline for the audit and resource requirements.

4.4 Conducting the Audit Engagement (Fieldwork)

The purpose of the conducting the audit engagement is to gather sufficient, appropriate audit evidence to reach a conclusion on each of the objectives identified in the planning phase. The Internal Auditor should execute all the tasks on the basis of Audit Programmes prepared at the end of the Planning Phase of the Audit Engagement.

4.4.1 Entry Meeting

Prior to commencing the fieldwork, the HIA should convene a meeting with the Auditee and other senior staff to discuss the next stage of the audit. The agenda for the meeting should include the following:

a. **Introductions** – identifying members of the audit team and their areas of responsibility as well as key Auditee staff and their areas of responsibility.
b. **The audit objectives and scope** - including any limitations or exclusions.
c. **The audit criteria** – to be used in evaluating the audit objective – normally related tothe achievement of the organizational and operational objectives.
d. **The audit process** - the approach or methodology adopted for the audit, the schedule (audit timing), and the locations where the audit will take place.
e. **Expectations** – that the Internal Auditor has for Auditee cooperation and involvement and the Auditee has in terms of professional conduct and respect of the Auditee's environment.
f. **Debriefing process** - on the audit findings and the reporting process.

After the entrance meeting, audit team members will normally meet individually with the supervisors responsible for the activity, organization or program for which they have been assigned responsibility. This meeting can be used to gain an understanding of how the supervisor's responsibilities are carried out, to obtain access to required documentation, and to meet other staff.

4.4.2 Monitoring Quality of Execution and Progress of Work

As the execution of the work programme proceeds, it may become necessary to make certain revisions. Internal Auditors should be sensitive as to the purpose of the work programme and what it expects to achieve. When in doubt, this should be reviewed as early as possible in the audit process in order to minimize wasted effort.

Likewise, the scope of the audit may also occasionally be required to be amended in order to capture useful additional evidence. In addition, the extent of testing (for example instead of testing a sample of 50, it may be necessary to sample 100) may also be required to be extended. This may particularly be necessary when a fraud or other serious deficiencies, such as misinterpretation of a rule, is suspected and it may become necessary to fully quantify the effect of that deficiency.

When there is adequate evidence to substantiate that a fraud has indeed taken place, the Internal Auditor should consult with the HIA on the steps to be taken – this should include the necessity to protect the evidence and inform appropriate levels of senior management.

Internal Auditors should take care to ensure that changes to the audit programme do not impact the audit objective, the audit criteria or time schedules. Internal Auditors should consult with and obtain the approval of the HIA for any changes in the work programme.

Internal Auditors should ensure that evidence is properly recorded in appropriate worksheets, supported with copies of documents when deemed necessary. Further guidance on preparation of Working Papers is provided in Chapter 5.

As the work progresses, the Internal Auditor should complete in respect of each Audit Objective or Sub-objective the Audit Observation Worksheet provided in Annex IV-3. While doing so, the Internal Auditors should continuously evaluate the evidence being collected to make a conclusion on the 'condition'. And if the 'condition' is considered to be defective, they should consider whether the evidence would be sufficient to determine the cause and the effect. If additional testing and evidence is considered to be necessary to minimize audit risk, then the HIA should be consulted as stipulated in this section above and action taken accordingly.

4.4.3 Developing Recommendations

Recommendations describe the course of action management should follow to rectify deficiencies by addressing underlying causes. These may include weaknesses in systems and/or controls. After identifying a defective condition and the underlying causes, Internal Auditors should formulate recommendation(s) for corrective actions. Recommendations should not be developed in a vacuum but should be discussed with the client, considered in the light of best practice, and take into account costs and other factors in the client's working environment.

Recommendations should be action-oriented, convincing, well supported, and effective. When appropriately implemented, they should get the desired beneficial results. Recommendations should be:

a. **Properly directed** –to those who have responsibility and authority to act on them. It must be clear who should be responsible for any corrective action.
b. **Brief** - without indicating specifically all the actions that are necessary for corrective action. For instance, the Auditor should not have to tell the client how to develop a system, but they should be specific about the system that needs improvement and the objectives that should be achieved by the change.
c. **Convincing** - and well supported by facts and should flow logically from the findings.
d. **Effective -** so as to provide reasonable assurance that the proposed recommendation will correct an identified problem or remove a root cause and will result in significant improvements within the foreseeable future.
e. **Cost Effective** - so that it will be readily embraced by Management. Recommendations should be made only after the costs of acting on them have been considered. Offsetting costs should be considered. Favorable consideration of a recommendation is more likely if the report makes it apparent that the recommendation was made with knowledge of offsetting costs. Recommendations

that the client must comply with rules and regulations should propose the least costly basis for effective compliance. In other instances, a Regulation or Rule may no longer be relevant or the cost of implementing may far outweigh the likely benefit. In such cases, the Internal Auditor should recommend that the regulation or rule be amended or removed, as appropriate. In making such a recommendation, due diligence should be exercised carefully taking into account all possibilities.

4.4.4 Liaison with the Auditee and other Senior Staff during Fieldwork

Throughout the audit, the HIA should have discussions with the Auditee and the senior staff of the Auditee to review and discuss observations and findings and potential recommendations. This helps ensure that all pertinent information has been considered in developing conclusions and provides an opportunity for the audit team and the Auditee to work to develop effective solutions to identified deficiencies. This process is likely to result in more prompt corrective actions. At the end of the audit, this informal communication process is formalized through closing or exit meetings and written reports.

4.4.5 Completion of Fieldwork and Exit Meeting with Auditee

Upon completion of the fieldwork, the HIA and the Internal Auditors should consider if all the necessary evidence to support findings have been properly analyzed, evaluated and recorded in the Audit Observation Worksheet (Annex IV-3). The Checklist in Annex IV-4 will facilitate such a review.

At this stage, the HIA should convene a formal exit meeting with the Auditee and other senior managers as necessary and appropriate to discuss all significant audit findings and conclusions before the Audit Report is drafted. This formal debriefing helps ensure that:

a. There are no “surprises” with respect to reporting results.
b. There have been no misunderstandings or misinterpretations.
c. The Internal Auditor has considered all relevant evidence and becomes aware of any corrective action that has already been initiated by the Auditee.
d. The likelihood of the Auditee embracing the audit findings and the proposed recommendations is increased.

The debriefing meeting may also be used to discuss points that are of interest but are not significant enough for inclusion in the written audit report. These findings of lesser significance may be addressed in a management letter to the Auditee.

Chapter 6 provides guidelines on the reporting the results of the audit.

4.4.5.1 ANNEX IV-1: TEMPLATE FOR DOCUMENTING ENGAGEMENT RISK ASSESSMENT

a. **Audit entity objectives:** The key objectives of the audit entity, including those that may not be specifically stated but address the entity's obligations to account for results achieved and for the efficient and effective use of resources.
b. **Key risks:** The events or circumstances that could significantly prevent the audit entity from achieving its organizational and operational objectives.
c. **Effect:** Each risk is evaluated as to whether the effect on achievement of objectives would be low, medium, or high should it occur.
d. **Likelihood:** Each risk is evaluated as to whether the likelihood that it will occur is low, medium, or high.
e. **Risk exposure:** The audit will normally focus on the risks with a combined effect and likelihood assessment in the medium or high exposure range.
f. **Summary of key control considerations:** From the engagement planning, the known control processes associated with the risks with a medium or high exposure is documented. A preliminary assessment should be made as to whether or not the control appears to adequately mitigate the risk. This assessment will guide the extent of testing to be undertaken. (A reference to the documentation supporting the identification and assessment may be included.)
g. **Inclusion in audit:** An indication as to whether or not the risk should (and can) be addressed in the objectives and scope of the audit.
h. **Engagement objectives and scope:** Considering the audit entity objectives, the identified medium to high risks, and the availability of resources, whether the preliminary audit objectives and scope should be amended.

4.4.5.2 ANNEX IV-2: CHECKLIST FOR REVIEWING AN AUDIT PROGRAMME

CONSIDERATIONS

a. Is it clear which audit objective and which related criteria each section of the audit program is intended to address?
b. Does the audit program cover all the audit objectives and all the criteria related to each audit objective?
c. Is the nature of evidence to be sought clear and appropriate for the expected audit accomplishments, e.g. to provide an assurance opinion or conclusion?
d. Is the evidence to be sought available?
e. Have the methods to be used to gather, analyze, and evaluate the evidence been clearly identified and are they appropriate, e.g. costeffective, relevant, to generate sufficient reliable evidence?
f. Can the methods be completed in the allocated time frames, and is there sufficient flexibility built in to allow for unexpected opportunities or issues?
g. Do the Internal Auditors have the capability to gather, analyze, and evaluate the evidence sought?
h. Can the evidence to be gathered support the conclusions on other criteria, either related to the same objective or to another objective?

i. Can the evidence to be gathered be sufficient to form a conclusion or an opinion on the condition (positive or negative) of the activities, operations and programmes, processes that the subject of audit.
j. If the condition is found to be deficient, would it be possible to identify the root causes of the condition.
k. Would it be possible to determine the effect or impact of a defective condition on the subject area or the organization.

4.4.5.3 ANNEX IV-3: AUDIT OBSERVATION WORKSHEET

	Working Paper Reference
Audit objective:	
Activity or function examined (scope):	
Audit criterion:	
Audit Tests/ Procedures applied	
Audit observation:	
Supporting evidence:	
Cause:	
Effect:	
Potential recommendations:	
Management comments:	
Prepared by: Approved by: Date: Date:	

ANNEX IV-4: CHECKLIST FOR REVIEWING AUDIT OBSERVATIONS AND SUPPORTING EVIDENCE

A. Key Considerations: Audit Observation Worksheets
1. Is the observation clear, i.e. does it provide sufficient information in a logical order to encourage positive management reaction?
2. Does the observation clearly address a criterion (and its related objective) of the engagement?
3. Is the cause of the problem or situation clearly defined?
4. Is the impact or significance (effect) of the situation clear, and does it justify remedial action?
5. If the recommendations were implemented, would the situation causing the observation be resolved?
6. Is the recommendation within the Auditee's capacity or capability to implement?
7. Can the recommendation be implemented cost-effectively?
8. Is the individual (or position) to whom the recommendation is addressed clear, and does the individual have the necessary authority to implement it?
B. Key Considerations: Evidence
1. Is the evidence supportive of the observation, and is it sufficient to lead to an opinion or conclusion on assurance?
2. Are observation sheets cross-referenced appropriately to the supporting evidence, e.g. cause-effect analysis, impact analysis?
3. Does the cross-referenced documentation demonstrate that the internal auditor has identified, analyzed, and evaluated sufficient information to achieve the engagement objectives, e.g. every program step has been completed or reasons for omission are clearly documented and appropriately approved?

CHAPTER 5
AUDIT EVIDENCE AND WORKING PAPERS

IIA Standard 2300 – Performing the Engagement:

Internal auditors must identify, analyze, evaluate, and document sufficient information to achieve the engagement's objectives.

IIA Standard 2310 – Identifying Information:

Internal auditors must identify sufficient, reliable, relevant, and useful information to achieve the engagement's objectives.

IIA Standard 2320 – Analysis and Evaluation:

Internal auditors must base conclusions and engagement results on appropriate analyses and evaluations.

IIA Standard 2330 – Documenting Information:

Internal auditors must document relevant information to support the conclusions and engagement results.

5.1 Introduction

Evidence is the data and information which auditors obtain in the course of an audit engagement to document findings and support opinions and conclusions. Evidence gives an auditor a rational basis for forming judgments. Hence, a considerable amount of the auditor's work consists of obtaining, examining and evaluating evidential matter. The measure of the relevance, reliance and validity of evidence for audit purposes lies in the nature of the evidence and the judgment of the auditors.

An important purpose of the working papers is to document and arrange the evidence that is collected through the course of an audit engagement to support audit opinions and reports.

5.2 Evidence

5.2.1 Concepts relating to Audit Evidence

Audit evidence provides the foundation for any audit report or opinion. It is therefore important that auditors understand the nature of evidence and its critical role in the entire audit process. The more important characteristics associated with good evidence are:

a. **Relevance** - refers to the relationship of evidence to its use. e.g. information used to prove or disprove an issue is relevant if it has a logical, pertinent and sensible relationship to the particular issue that is the subject of the audit. Information that is irrelevant should not be included as evidence or made part of the working papers. Questions that test the relevancy of evidence include the following:

   I. Is the evidence related to such factors as background, condition, criteria, effect or cause?
   II. Does the evidence make an asserted finding, conclusion or recommendation more believable?

b. **Reliability** - refers to the appropriateness, soundness, trustworthiness or credibility of the sources of information and the techniques used to obtain the information. Generally, evidence is more reliable if is obtained or developed from:

   I. A credible independent source other than from the Auditee.
   II. A good system of internal controls rather than that obtained from a source where such control is weak or unsatisfactory.
   III. Direct physical examination, observation, computation and inspection rather than indirectly.
   IV. Documentary rather than oral and original documents rather than copies.
   V. Testimonial evidence obtained under conditions where persons may speak freely rather than testimonial evidence obtained under compromising conditions (e.g., where the persons may be intimidated).

c. **Sufficiency** - relates to quantity. There should be enough factual and convincing evidence to evaluate so that a reasonably informed and unbiased person would agree with the auditor's findings and conclusions. Determining the sufficiency of evidence requires professional judgment. When considering the adequacy of evidence, the auditor should keep in mind that:

   I. The audit is seeking reasonable, but not absolute, conclusions.
   II. Incomplete data may result in inability to reach reasonable conclusions.
   III. Examination of extensive evidence may be uneconomical, inefficient and ineffective.
   IV. Evidence should be reasonably representative of the population being reviewed or addressed.

5.2.2 Types of Audit Evidence

Evidence used to support audit conclusions can be classified as follows:

a. **Physical** - consists of direct observation and inspection of people, property and events. Such evidence may be documented in the form of memoranda summarizing the matters inspected or observed, photographs, charts, or other types of physical evidence. When possible, important inspections or observations should be made by a team of two auditors and witnessed by the entity's representative.

b. **Testimonial** - consists of evidence normally received orally from the

Auditee or Auditee staff in response to inquiries or through interviews. Statements important to the audit should be corroborated when possible with additional evidence, preferably documentary. Also, testimonial evidence needs to be evaluated from the standpoint of whether the individual may be biased or only has partial knowledge about the matter under audit. Uncorroborated testimonial evidence is the weakest form of evidence.

c. **Documentary** - is evidence that exists in some permanent form such as records, purchase orders, invoices, memoranda, and procedure manuals.

d. **Analytical** - is evidence obtained through analysis or verification of information. Analytical evidence can consist of:

I. Computations (anything reducible to numbers)

II. Comparisons with:

i. Prescribed standards
ii. Past operations
iii. Other operations, transactions or performances
iv. Laws or regulations and legal decisions
v. Evaluations of physical, documentary or testimonial information

In general, evidence accumulated from different sources and of different types is strongest. The determination of when it is necessary to gather corroborating evidence from different sources or of a different nature is a matter of professional judgment. Factors that may be taken into consideration when deciding whether or not to seek additional evidence include:

a. Is there a high degree of consistency among the evidence already collected (i.e. the lack of contradictory evidence)? If there is no contradiction, the need for additional evidence is decreased; if not, the need is increased.

b. Is there a high degree of risk, significance or sensitivity associated with the matter to be reported? If so, additional evidence may reinforce the internal auditor's conclusion; if not, existing evidence may be sufficient to gain acceptance of the conclusion.

c. Is the cost of obtaining additional evidence worth the benefits to be obtained in terms of supporting the finding? If it is costly, additional effort should be carefully considered. Otherwise, proceed.

5.2.3 Methods of Obtaining Evidence

Audit evidence can be collected using a variety of tools and techniques. Different tools and techniques have various strengths and weaknesses. For example, one may require a high degree of technical skill while another a high degree of interpersonal skill; one may be expensive but reliable, another inexpensive but less reliable. The Head of Internal Audit should consider the most appropriate as well as the most practical and cost-efficient method for collecting relevant information. The following paragraphs describe some common methods of creating or gathering audit evidence.

5.2.4 Interviews

Interviews – are a frequently used technique to gather testimonial evidence and opinions. Interviews can help to define the issues, furnish evidence to support audit findings, and clarify positions between the Auditor and the Auditee on audit observations and recommendations. Interviews can also be used to solicit the opinions and experiences of stakeholders or recipients of the Auditee's products or services. Adequate preparation and good skills are needed to use interviews effectively in building or confirming audit evidence.

5.2.5 Audit Testing

Testing implies the evaluation or measurement of transactions or processes to determine its qualities or characteristics. The particular transaction or element to be tested is put on 'trial'. Audit tests are developed and conducted for either compliance or substantive verification purposes as follows:

a. **Compliance tests** are typically designed to assess the adequacy and effectiveness of specific controls.
b. **Substantive tests** on the other hand are designed to conduct detailed examination of selected transactions for a specific purpose. For example, a substantive test may include evaluation of all payments made against a particular procurement contract and related files to determine if the payments were properly made. Substantive tests are also typically used to reduce audit risk. For example, a population of payment transactions may contain a large number of small value transactions and a small value of high value transactions. The small value transactions could be tested through testing a small sample of transactions. If the risks associated with the larger value transactions are considered high, substantive testing of all transactions exceeding a predetermined value would be conducted. Such testing may help the auditor cover a larger value of the total population. In practice, the substantive test can also serve as a compliance test.

5.2.6 Sampling

It is rarely feasible to test every item within an entire population because of prohibitive costs and the time required. Instead, auditors select a sample of items from within the population and conduct such tests as are necessary on the items contained in the sample to make conclu-

sions about or determine the parameters and characteristics (attributes) of the whole population.

The objective of sampling is to gather data based on tests of a limited number of people, things, processes, transactions, documents, etc. that represent the larger group or population. In order to serve a useful purpose, sampling needs to be properly planned to ensure that the sample in fact represents the population that is the subject of the audit. Unless the sample represents the population, sampling by itself accomplishes little. Where a sample does not effectively represent the population, then the conclusions drawn from the tests conducted will only represent or relate to the items that are tested and not the population.

Generally, two types of sampling are used by Auditors:

a. **Judgmental (purposeful) sampling -** This form of sampling is flexible and can be applied in many circumstances within a short time frame. The size of the sample and the method of selecting the sample are determined by the Auditor using professional judgment and subject to the purpose of the tests to be performed or the nature of the audit evidence required. The word 'judgmental' is only applied to the whole method and the size of the sample. Auditors have to still exercise objectivity in selecting the items to be included in the sample.

   The Auditor should realize the limitation of this sampling method. Although, care is taken to ensure that the sample is representative and the samples are selected objectively, the results derived from the testing cannot be reliably extrapolated or projected to the entire population because the size of the sample and its selection methods are not mathematically determined. If the results are extrapolated, audit risk is increased. Where deficiencies are found in testing a judgment sample, the Auditor can conclude that a reportable condition (adverse) exists relating to the population. When reporting the adverse condition, the Auditor should mention in the report the type of sampling used, the size of the sample and the number of instances of errors.

b. **Statistical sampling** - is based on probability theories and mathematical calculations. The results of tests conducted using statistical sampling can be more reliably extrapolated or projected to the whole population with the desired degree of confidence. This sampling method would be particularly useful when the population is large and contains homogeneous elements. There are also limitations to the use of the technique. The use of this technique would require specialized knowledge and skills.

In some circumstances, to improve the effectiveness of sampling and reduce audit risk, the Auditor could break the sample into two or more sub-samples. In such a case, the population is classified into the number of sub-populations as desired and samples are drawn from each sub-population. In order to be able to use this method, the population itself must easily lend itself to sub-division so that a proper reprehensive sample can be selected. This is termed as Stratified sampling. Stratified sampling is particularly useful when the population is composed of items that vary significantly in size, either in value (amount) or characteristic. It can also be used where the population is distributed over more than one office or geographical regions, with the proviso that they are all subject to the same processing and control rules.

In such cases, the Auditor can also make some conclusions over each sub-sample as well the sample as a whole.

When the Auditor decides to conduct tests using samples, then the Auditor should prepare and attach to the relevant Audit Programme a Sample Plan. The plan should indicate the attributes or characteristics to be tested, the size and nature of the population, the size of the sample and finally the method of selection of the sample. Worksheets should also be prepared to show each item in the sample, the attributes tested against each item and the results of the tests.

5.2.7 Surveys

Surveys are structured approaches to gathering information from a large population. Examples of survey use would include efforts to obtain input from all the members of the Auditee on the perceived opportunities for training and development or to obtain opinions from recipients of services (either internal or external) on the quality and timeliness of services provided. Whether the survey is administered in person, by telephone, by internet, or by mail, the key element is the existence of a structured, tested questionnaire.

5.2.8 Inspection

Inspection consists of confirming the existence or status of records, documents or physical assets. Inspection of physical assets provides highly reliable evidence of their existence or condition. Inspection of records could confirm the existence of source documents for data entry, e.g. program participant questionnaires or evaluations.

5.2.9 Flowcharting

Flowcharting is the graphic representation of a process or system and provides a means for analyzing complex operations, e.g. key control points, redundant activities. A system flowchart would provide an overall view of the inputs, processes and outputs while a document flowchart would depict value adding activities and critical controls.

5.2.10 Observation

Like inspection, observation entails personally verifying or attesting to a process or procedure, e.g. the application of controls by members of the Auditee's staff or the manner in which clients are treated. Many service transactions and internal control routines can only be evaluated by seeing the Auditee perform them. Whenever possible, two or more auditors should be present to make observations in order to provide additional support to the observations.

5.2.11 Analytical Procedures

Analytical procedures often provide and efficient and effective means of obtaining evidence. Analytical procedures involve studying and comparing relationships among both financial

and non- financial information as well as analysis and verification of information obtained through other means. IIA Practice Advisory 2320-1: Analytical Procedures provides guidance on the use of analytical procedures. Analytical procedures can be performed using monetary amounts, physical quantities, ratios or percentages and may include:

a. Comparisons with:

   I. Prescribed standards, budgets, plans and forecasts.
   II. Past or period to period operations.
   III. Other related operations, transactions or performances
   IV. Similar operations in other organizations.
   V. Laws and Regulations.
   VI. Physical, documentary or testimonial evidence.

b. Studying relationships between financial and appropriate non- financial information (e.g. project expenses against project progress reports, payroll expenses against the movement of number of employees in the establishment, etc.)

Analytical procedures, as mentioned, can corroborate the reasonableness of evidence obtained by other means. It may also point to unexpected results or relationships – for example a wide variance in project physical progress compared with expenses or significant increases in expenses compared with past periods. In such cases, the Auditor needs to obtain additional information either through soliciting explanations from Management or through performing additional audit procedures to determine if the deviations are as a result of fraud, errors, change in conditions or other problems. Deviations of expected results that cannot be properly explained and if such deviation is likely to jeopardize the achievement of organizational objectives and or reputation should be included in Audit Reports.

5.2.12 Confirmation

Confirmation involves a request seeking corroboration of information obtained from the Auditee's records or from other less reliable sources. e.g. the request for bank statements directly from a bank to confirm the cash balance recorded in the entity's cashbook. Such confirmations are normally obtained in writing and directly from the provider of the information. A newspaper may have reported a substantial loss of assets in a government agency. If such information is to be used, then it has to be corroborated by a confirmation by the entity concerned.

5.2.13 Control Self-Assessment and Risk Assessment (CSRA)

Increasingly, self-assessment is used as a tool by organizations to identify risks and effectiveness of controls. Internal Auditors encourage these assessments and sometimes participate in the assessment as facilitators. These assessments normally reflect the collective view of people who manage or operate an organization, business process or system. Such assessments can be useful, provided the assessment is transparent and all employees of the entity are free to express their views without fear of repercussions. Such self-assessments include the following principal types:

a. **Control Self-Assessment -** is normally focused on having members of a working group chosen from within the entity to identify and assess the controls that govern their activities. The process is usually an iterative one, wherein an effort is made

to identify all controls and then focus on the ones that are most important or may be questionable in terms of their effectiveness. In many instances, the process of control self-assessment can be a learning opportunity for the group and can lead to the taking of immediate action by management to address the identified areas of concern. In terms of the conduct of an audit, control self assessment can be a very efficient and helpful process during the planning phase of the audit by identifying potential control weaknesses. The auditor cannot rely upon the results of a self assessment alone but must always conduct sufficient testing to provide assurance as to whether a control is working as intended or not.

b. **Risk Self-Assessment** - Risk self-assessment is similar to control selfassessment in terms of the process, but may often be focused on having peer groups or knowledgeable stakeholders identify the risks associated with one or a group of programmes, activities, or initiatives. For example, senior management may participate in risk self-assessment to identify the key risks facing the organization while a group of regional program officers may come together to identify the risks associated with a new program initiative.

In terms of the conduct of an audit, any form of self-assessment can be a valuable tool to identify potential risks and also to determine whether appropriate action has been taken to address the risks. It can increase the level of risk awareness among the staff of the entity. Such awareness increases the potential for the achievement of organizational objectives. However, the auditor must be satisfied that the process has been as complete and independent as possible. The auditor must ensure that all potential risks have been identified and evaluated. However, the auditor cannot entirely rely upon the self- assessment alone, but must always conduct sufficient testing to provide assurance as to whether all risks have been identified and controls are working as intended. The auditor cannot abdicate that responsibility.

5.3 Documenting Audit Evidence – Working Papers

5.3.1 Purpose of Working Papers

Working papers are the repository for the accumulated audit evidence and supporting documentation for the entire audit process from planning to reporting. Working papers document the information obtained, the analyses and evaluations made by auditors and support the conclusions and results. Working papers:

a. Document whether the objectives of engagements were achieved by providing a complete audit trail and demonstrating in detail how the engagement was planned and performed with proof of work carried out.

b. Provides documentary evidence to support the accuracy of work done, particularly to demonstrate the completeness of Audit Reports and other audit memoranda with support for every finding and conclusion.
c. Provide a demonstrable link between reports issued and the work performed, and support the findings, conclusions and recommendations.
d. Help auditors respond to questions about coverage or results
e. Facilitate and provide a basis for independent supervisory as well as quality assurance reviews.
f. Facilitate third party reviews – particularly by External Auditors.

5.3.2 Standards for Good Working Papers

General guidelines for the preparation of working papers are:

a. **Completeness and Accuracy** – Working papers should be complete, accurate and support observations, conclusions, and recommendations. They should also show the nature and scope of the work performed, including details of all evidence gathered from the various audit processes.
b. **Clarity and Understanding** - Working papers should be clear and understandable without the need for supplementary oral explanations. With the information the working papers reveal, a reviewer should be able to readily determine their purpose, the nature and scope of the work done and the preparer's conclusions.
c. **Relevance** - Information contained in working papers should be limited to matters that are important and necessary to support the objectives, scope and related audit criteria, condition, effect and recommendation.
d. **Logical Arrangement** - Working papers should follow a logical order.
e. **Legibility and Neatness** - Should be legible and as neat as practical. Working papers prepared without due care are likely to lose the worth of the evidence.

5.3.3 Organization and Form of Working Paper File in IAD

The organization, design and content of a set of internal audit working papers will depend on the nature of the audit and will vary from organization to organization. It is proposed that the IAS, to the extent possible, apply a uniform organization and index in accordance with the scheme in Annex V-1. The scheme uses the following coding structure:

A1/WP-1/1 where:

A	Main Section of Working Papers File
1	Sub-section of Main Section of Working Papers File (As many Subsections can be added as are necessary – e.g. A1, A2. A3 and so on)
WP-1	Working Paper 1. (As many Working Papers as are necessary can be added to each sub-section - e.g. – WP-2; WP-3; WP-4).
WP-1/1	Sub-working Paper for Working Paper-1 (as many sub-working papers as are necessary can be added to support the working paper. e.g. - WP-1-2; WP-1-2; WP-1-3 etc.)

It is important that the Main Sections and Sub Sections be retained in all Working Files as in the proposed scheme. In addition, a separate Working Paper as shown in Annex IV-3 should

support each Audit Objective. If an Audit Objective needs to be sub-divided into sub-objectives, then a separate working Paper should be prepared for each sub-objective.

Each Working Paper should be prepared in the same form as shown in Annex V-2, showing the subject matter, the purpose of the working paper and the name of the preparer and the reviewers.

Working papers should be properly cross-referenced. Cross-references should stand out clearly and provide direct and prompt access to information so that a reviewer can trace conclusions back to the original audit tests and the evidence gathered and vice versa. Cross-referencing of documents should follow the system established for the working paper file index. The extent of cross-referencing required may vary depending on the engagement. Good practice indicates, however, that, at a minimum, the following items should be cross-referenced:

a. Specific items in the audit report to the pertinent audit observation worksheet;
b. Audit observation worksheets to the supporting evidence;
c. Evidence that relates to other evidence; and
d. Audit program steps to the supporting evidence.

5.3.4 Review of Working Papers

All audit working papers should be reviewed to ensure that the information contained in the working paper file is relevant and supports the Audit Report and that all necessary auditing procedures have been performed. Evidence of supervisory review (i.e. review of the working papers by at least one senior member of the IAD should consist of the reviewer's initialling and dating each working paper after it has been reviewed. The review by the supervisor should focus on the following:

a. Ensuring that audit work has been carried out in compliance with professional standards.
b. Ensuring conformity with policies and procedures both for audit work and the preparation of working papers.
c. Ensuring consistent application of Due Professional Care - and professional judgment.
d. Confirming that planned or intended audit work has been completed.
e. Confirming that the evidence gathered and analyses performed support the conclusions reached.
f. Confirming that the necessary consultations with Auditees were carried out, recorded and that differences were resolved.
g. Ensuring that all significant risks, issues, observations and concerns raised (including possible irregularities) during the audit have been dealt with appropriately.

5.3.5 Retention of Working Papers

Working papers are formal records belonging to the Organization where the IAD is located. The Working Papers should be securely retained in accordance with the records retention policy of the LA, usually 7 years.

5.3.6 Checklist for Working Papers

Annex V-3 provides a specific Checklist for Reviewing Working Papers.

Internal Audit Manual

5.3.6.1 ANNEX V-1 AUDIT WORKING PAPERS INDEX

WP Section Reference	Subject	WP Sub-Section Reference	WP Sub-Section (example)	Working Paper	Working Paper (example)
A	Audit Management	A1	HIA Directions/ Instructions	A1/WP-1	Instruction 1
				A1/WP-2	Instruction 2
				A1/WP-3	Instruction 3
			HIA - Auditor Meeting Notes	A2/WP-1	Meeting on xx-xx-xx
		A2		A2/WP-2	Meeting on xx-xx-xx
				A2/WP-3	Meeting on xx-xx-xx
				A3/WP-1	Auditor 1
		A3	Auditor Time log/sheets	A3/WP-2	Auditor 2
				A3/WP-3	Auditor 3
B	Audit Report				
				B1/WP-1	Final Copy
		B1	Final Report	B1/WP-2	Draft with X reference
				B2/WP-1	Draft Clean Copy
		B2	Final Draft	B2/WP-2	Draft Final Changes
				B2/WP-2	Auditee Responses
				B3/WP-1	Draft Clean Copy
		B3	Initial Draft	B3/WP-2	Draft Changes
				B3/WP-1	Meeting with Auditee – Notes
				B3/WP-2	Auditee Responses
C	Auditee Liaison	C1		C1/WP-1	Meeting on xx-xx-xx
			Meeting Notes	C1/WP-2	Meeting on xx-xx-xx
				C1/WP-3	Meeting on xx-xx-xx
		C2			
				C2/WP-1	LETTER - 1

WP Section Reference	Subject	WP Sub-Section Reference	WP Sub-Section (example)	Work Paper	Work Paper (example)
D	Planning	D1	Audit Subject Details	D1/WP-1	Relevant Regulations and Rules
				D1/WP-2	Programme Organization Chart
				D1/WP-3	Programme Budget
				D1/WP-4	Expenditure reports
		D2	Risk Assessment	D2/WP-1	Management Risk pro le
				D2/WP-2	Management risk Perception
				D2/WP-1	Internal Audit Risk Assessment
		D3	Internal Control Assessment	D3/WP-1	IC owchart
				D3/WP-2	Key control Points
				D3/WP-1	Monitoring Process
				D3/WP-2	Internal Audit IC Evaluation
		D4	Internal Audit Programme	D4/WP-1	Evaluation of Risk and Control
				D4/WP-2	Review Objectives and Scope
E	Field Work	E1	Objective 1	D4/WP-1	Criteria Statements
				D4/WP-1	Audit Programme
				E1/WP-1	Objective Work Sheet
				E1/WP-2	Interview note
				E1/WP-1	Sample Selection note
				E1/WP-1	Test Summary
				E1/WP1-1	Detail Test Sheet
		E2	Objective 2	E2/WP-1	Objective Work Sheet
				E2/WP-2	Interview note
				E2/WP-1	Sample Selection note
				E2/WP-1	Test Work Sheet
		E3	Objective 3	E3/WP-1	Objective Work Sheet
				E3/WP-2	Interview note
				E3/WP-1	Sample Selection note
				E3/WP-1	Test Summary
				E3/WP-4/1	Detail Test Sheet

5.3.6.2

5.3.6.3 ANNEX V-2: FORM OF WORKING PAPER

NAME: e.g. EVALUATION OF RISKS	**WP Reference XXXXX**
PURPOSE: e.g. IDENTIFY AND EVALUATE RISKS IN PROCUREMENT PROCESS	
Prepared by: Signature: Date:	Reviewed by: Signature: Date:

5.3.6.4 ANNEX V-3: CHECKLIST FOR REVIEWING WORKING PAPERS

Key Considerations: Mechanics
1) Does the file contain a table of contents?
2) Are the working papers arranged in a logical fashion?
3) Is the file indexed consistently and appropriately?
4) Do all working papers include proper heading and reference numbers, dates prepared, preparer's initials, and an indication of supervisory review.
5) Do the working papers contain any extraneous or unnecessary pages or documentation?
6) Is the draft copy of the audit report cross-referenced to the applicable audit observation work sheets?
Key Considerations: Content
7) Does the file contain all information required as per any internal audit group standard working paper index?
8) Does the file contain copies of the audit programs and evidence that they were executed completely?
9) Are key management interviews documented?
10) Is the subsequent analysis of the results of carrying out the audit programs and the development of observations and conclusions clearly documented?
11) Are discussions with supervisory staff or management on the initial observations adequately documented?
12) Is the disposition of all of the audit observations and the logic behind those dispositions clearly documented?
13) Have all ongoing and final review notes been addressed?

CHAPTER 6 REPORTING THE RESULTS OF THE AUDIT ENGAGEMENT

IIA Standard 2400 - Communicating Results

Internal auditors must communicate the engagement results.

IIA Standard 2410 - Criteria for Communicating

Communications must include the engagement's objectives and scope as well as applicable conclusions, recommendations, and action plans.

***IIA Standard 2420** – Quality of Communications*

Communications must be accurate, objective, clear, concise, constructive, complete, and timely.

***IIA Standard 2430** – Use of "Conducted in Conformance with the International Standards for the Professional Practice of Internal Auditing"*

Internal auditors may report that their engagements are "conducted in conformance with the International Standards for the Professional Practice of Internal Auditing" only if the results of the quality assurance and improvement program support the statement.

***IIA Standard 2431** – Engagement Disclosure of Nonconformance*

When nonconformance with the Definition of Internal Auditing, the Code of Ethics, or the Standards impacts a specific engagement, communication of the results must disclose the:

- *Principle or rule of conduct of the Code of Ethics or Standard(s) with which full conformance was not achieved;*
- *Reason(s) for nonconformance; and*
- *Impact of nonconformance on the engagement and the communicated engagement results.*

***IIA Standard 2440** – Disseminating Results*

The Head of Internal Audit must communicate results to the appropriate parties.

6.1 Introduction

The purpose of the Internal Audit Report is to communicate to the CEO/DC and senior managers the results of the audit engagement. In order to achieve its purpose, the report must be:

a. **Accurate** - free from errors and distortions and based on underlying facts.
b. **Objective** - fair, impartial and in an unbiased tone based on a balanced assessment of all relevant facts and circumstances, noting where management has taken actions to correct deficiencies and pointing out exemplary performance.
c. **Clear and logical** - providing all significant and relevant information and avoiding unnecessary technical language to support conclusions and recommendations.
d. **Concise** - to the point and avoid unnecessary elaboration, superfluous detail, redundancy and wordiness. Only significant matters are brought to the report. Other issues should be dealt with through Management Letters and other communications.
e. **Constructive** - helpful to the Auditee and the organization and lead to improvements where needed.
f. **Timely** – opportune and expedient and allows appropriate corrective action to be taken early.

In order to convince Management to accept the audit findings and recommendations care should be taken to present the evidence in a persuasive manner without compromising the attributes outlined in the earlier paragraph.

6.2 Form of Internal Audit Report in the IAD

In order to be in conformity with the auditing standards and also ensure that there is a fair degree of uniformity within the IAD, the audit report should include the following elements:

Report Section	Contents
1. Executive Summary	An Executive Summary (ES) will not be required if the report is less than 5 pages. ES should be kept to no more than two pages, and include the following: a) A brief description of the audit objectives, and scope. The reason why the audit was performed – e.g. prioritization based on risk assessment or special request etc. Reference to audit standards. Audit approach and criteria used. Main findings may be presented in bullet form with reference to paragraphs in main report. Should include findings with respect to key risks and controls, governance, opportunities to improve efficiency and effectiveness, proper use of resources and fraud prevention. Refer to the number of recommendations made and number accepted by Management. In cases where recommendations are not accepted, brief mention of contents and why it is still relevant. List the audit recommendations and the management response. If there are many recommendations, then consider having them listed in an Annex to the ES. Where a recommendation is not accepted, then state why it is still relevant to the organization. A brief conclusion – on the significance of findings and impact on the organization. Refer to IIA Standard 2401-A1.

6.2.1 MAIN REPORT

Contents and index page (only if report is more than 20 pages)	**Show all major sections of report for easy reference. Include all annexure to the report.**
1. Introduction	
1.1 Purpose of Audit.	Mention the audit objectives in general without having to repeat verbatim the audit objectives. Mention that detail objectives are mentioned in Section 4. Explain the reasons for the audit - how the audit came to be selected. A brief description of the main objectives of the audit.
1.2 Scope of Audit	A description of: The program, activity, issue, organization, or system examined and its place within the LA. Any exclusion, if necessary, so as to make it clear what area was covered by the audit. The period covered by the evidence examined
1.3 Methodology or Approach	Describe briefly how the audit was conducted, such as: Interviewing responsible staff to identify risks and controls. Collecting evidence through tests and review of files and documents. Evaluating evidence to determine risks. Timing of the Audit – when it was done. Extent of consultation with Management and staff on findings and recommendations.
2. Background	Provide a brief description of the important aspects of the program, activity, issue, organization, or system examined – This should include its main objectives, budget and staff resources, prior significant history, recent organizational changes, parliamentary and External Auditors concerns if any.
3. Prior Audits	Mention when both the Internal and External Auditors last audited the area and whether all the recommendations have been implemented.
4. Observations and Recommendations	Each audit objective should be dealt with separately in one sub- paragraph as indicated below. All the objectives in the Engagement Plan and Audit Programme should be covered.
4.1 Objective 1	Condition – brief description of each of the significant observation and how these were found – by interview, observation, tests (random or judgmental samples) etc. Criteria – the expected standard used to measure the condition. Cause - of the condition, lack of adequate control, supervision, inadequate or unclear regulations, rules and procedures etc. Effect – What will be the risk or the impact on the organization if the condition - the root cause, is not eliminated. If possible the impact should be quantified based on the tests conducted and the basis for quantification stated. Recommendation - what should management do to remove root cause. Each recommendation must be numbered for follow up purposes. Management response to recommendation - agreed or not agreed and if not agreed, why. When the recommendation is agreed to, then state if the action plan to address the root causes are adequate. Reservations and concerns with respect to both should be highlighted in the report.
4.2 Objective 2	Same as above for 4.1 Where feasible, two objectives could be combined into one if the evidence used is mostly the same and it enables better understanding. Also if there are common recommendations for a number of objectives, then they should not be repeated, but reference should be made the recommendation.

Contents and index page (only if report is more than 20 pages)	Show all major sections of report for easy reference. Include all annexure to the report.
5. Conclusion.	There should be a summary statement with respect to: The adequacy or inadequacy of management of risk and internal controls. Compliance with laws and regulations. Efficiency and effectiveness. Safeguard of assets. Accuracy of reporting. Other higher results relative to engagement objectives. The HIA should evaluate and grade the overall condition as being good, satisfactory or unsatisfactory.

HIAs and Internal Auditors should apply their professional judgment in adopting the reporting format to the local requirements within the overall framework of the format outlined above and for valid reasons.

6.3 Reporting Process

6.3.1 General

The reporting process outlined below is designed to provide the Auditee sufficient opportunity to review the audit report and provide comments and suggestions so as to avoid or minimize any controversy with respect to the accuracy of the facts and the reasonableness of findings and recommendations. While sometimes disagreements may be unavoidable, transparency in the process lends credibility to the report and offers better possibilities of recommendations being implemented.

It should be noted that in the guidelines on the conduct of the audit engagement, provided in Section 4.4.2 in Chapter 4, it was suggested that as the audit engagement progresses, the Objective Worksheet be progressively completed in consultation with the Auditee and/or senior management staff. Adherence with the suggested process would greatly facilitate the preparation of the report and all subsequent processes.

HIAs should aim to issue the final audit report within thirty days after the completion of the fieldwork of the engagement, unless there are compelling reasons for any further delays. The HIA and the Internal Auditors should therefore organize their work along this objective and also take into account the need to provide sufficient time for the Auditee to review and provide comments on the report and develop action plans to implement recommendations.

HIAs should implement this reporting process to the extent possible, while adapting to local conditions.

6.3.2 First Draft Report

If the processes mentioned in this Section are followed, then the Auditee would have basically agreed with most of the findings, conclusions and recommendations when fieldwork is

completed and the exit meeting is held. HIAs should use the momentum of the exit meeting to issue the first draft of the report not later than ten days after the exit meeting. When forwarding the draft report, the HIA should request the Auditee to confirm the accuracy of the facts contained in the report.

The HIA could present the first draft formally with a memorandum or informally to the Auditee, depending on the local circumstances. However, the process should be properly documented in the working papers and it would be preferable to obtain a written response of agreement or disagreement from the Auditee to prevent any subsequent controversy.

The HIA should evaluate all comments and suggestions received from the Auditee on the first draft and where these are reasonable, make such changes as are necessary to the draft report.

It is possible that the Auditee may disagree with certain reported findings and conclusions and this disagreement may still persist even after further discussions and sharing of evidence and other relevant information. In order to ensure that senior management and others would agree with the audit conclusions and recommendations, the HIA should once again review all evidence supporting the findings and recommendations. In some instances, it may be necessary to conduct more tests to obtain additional evidence to buttress the findings. If such review and additional actions, if any, confirms the validity of the draft report, then the HIA should discuss with the next level of Management to resolve the differences. If this process does not result in the resolution of the differences, the HIA should proceed to the next step in the reporting process, but clearly note in the draft report the points of disagreement.

6.3.3 Second Draft

Upon completion of the changes, the second draft should be formally provided to the Auditee, the main purpose of this second and final draft is to request the Auditee to provide a formal plan of action for implementing the audit recommendations. This plan of action should normally be attached to the final report. The HIA should provide to the Auditee a form as in Annex VI-1 to facilitate the preparation of the action plan. The plan should clearly indicate in respect of each recommendation the persons responsible for the implementation and the date by which the implementation will be completed. In some cases, the implementation may be subject to availability of additional resources or other conditionality such as reorganization, and such cases should be noted in the plan.

In some cases, the recommendations may be addressed to higher-level management, including possibly the CEO/DC. In such cases, the second draft report should also be addressed to these parties, requesting them to review the recommendation in the light of the audit observations and provide comments on the recommendations and an action plan on the recommendations.

The HIA should review the proposed plan of action to determine if the proposed actions would in fact remove all or most of the root causes relating to the unsatisfactory condition. The HIA should also evaluate the capacity and competence of the Auditee to implement the proposed action plan. The HIA should:

a. If the action plan is considered inadequate, draw the attention of the Auditee or senior managers concerned on the inadequacies and also provide possible solutions.

If the Auditee or the persons concerned do not amend the action plan to address the inadequacies, then the HIA should reflect this concern in the Audit Report.

b. If it is considered that there is a risk of not fully implementing the action plan due to lack of authority, incapacity or lack of adequate resources, particularly in terms of staff competence or for other reasons, then the HIA

c. should note such reservations in the final report and draw the attention of the CEO/DC to the inadequacies. Similarly, comments can also be made if the time frame for correcting the condition is considered to be unreasonable and is likely to leave the LA unduly exposed to risks for too long.

6.3.4 Final Report

The HIA should ensure that all comments received on the second draft report are properly taken into account in the final report. Once completed, the Final Report should be issued to the CEO/DC.

In presenting the Report, the attention of the CEO/DC should be drawn to the areas of disagreement with senior managers, including both the substance of the report, the recommendations and the related action plan. The CEO/DC should be requested to resolve these differences. This could be done using a separate memorandum attached to the report.

The CEO/DC should also be requested to issue the report to all relevant senior managers, and unless there is disagreement, issue a directive that the recommendations be implemented in accordance with the action plans. In the directive, the senior managers should also be asked to report to the CEO/DC the action taken to complete the audit recommendations within a specified time frame. A copy of such reports should be provided to the HIA for follow-up action.

6.4 Presentation Styles

Presentation could vary from individual to individual. While it is not intended to curb individual initiatives, in the interest of ensuring clarity of the Audit Reports, Internal Auditors should ensure precision and simplicity in presentation styles. The following are some indicators for better presentation.

Terminology with Clarity	**Audit reports should use consistent terminology to convey the messages with precision. When reviewing reports, look for inconsistencies such as the following examples of interchangeable terms: personnel administration, human resources management and personnel management; objective, purpose and goal; staffing and resourcing; personnel disciplines, functions, activities, areas, aspects and practices.**
Factual and Objective	The report must be scrupulously factual and every categorical statement, figures and references must be based on hard evidence. Statements of fact must carry the assurance that auditors personally observed or validated the fact. If auditors rely on the representations made by management, the report should state the source.
Background Information	Set the stage when reporting on observations by giving proper background information. The background is sometimes essential to the understanding of a process or a condition. Background information is usually placed in the introduction.

Terminology with Clarity	**Audit reports should use consistent terminology to convey the messages with precision. When reviewing reports, look for inconsistencies such as the following examples of interchangeable terms: personnel administration, human resources management and personnel management; objective, purpose and goal; staffing and resourcing; personnel disciplines, functions, activities, areas, aspects and practices.**
Sentence Length	Long sentences can blur the precision and clarity of text. Auditors should try to limit length of sentences in business writing. In editing reports, one should look closely at sentences with more than 20 words
Active Voice	Auditors should as far as possible use active rather than passive sentences that directly address the key points. Active voice helps reduce the length of the reports as well. Sentences should be short, to the point, and clear.
Intensifiers	These are words like: clearly, special, key, well, reasonable, significant and very. Their use should be limited because they frequently lack precision, reflect personal values and fill space for no real purpose. Intensifiers raise questions such as "significant compared to what?" and "clearly according to whose criteria?"
Bullets	Report writers can use bullets to break up dense text and shorten sentences, focus attention, save words and improve logic and flow. The use of bullets is highly recommended when observations are lists of standards, samples, activities, facts and results.

6.5 Audit Closure

HIA should close the audit engagement when the final report is issued. The HIA should ensure that the Working Papers are completed and properly filed. As part of the closing process, the HIA:

a. Should conduct a performance review together with the Internal Auditors involved in the engagement to identify what worked well and what did not and determine how future work processes can be improved.
b. Update the profile of the entity.
c. Identify and take note of issues that should be input into the next cycle of annual planning.

6.5.1 ANNEX VI-1: AUDITEE RESPONSE AND ACTION PLAN ON RECOMMENDATIONS

Audit Recommendation	Auditee Comments and Action Plan	
Recommendation 1: Text of recommendation	Agreed / Not agreed with Recommendation. Not Agreed with recommendation because: Reason 1. Reason 2. Etc.	
	Plan of action: (If the action is dependent on any conditionality such as approval of higher authority or need for additional resources, state details under each step)	
	Action Steps	Complete by date:
	Step 1	
	Step 2	
Recommendation 2:		
Completed by: Signature: Date:		

CHAPTER 7 MONITORING AND FOLLOW-UP PROCEDURES

IIA Standard 2500 - Monitoring Progress

The Head of Internal Audit must establish and maintain a system to monitor the disposition of results communicated to management.

7.1 Itroduction

The Auditing standards require Internal Auditors to monitor and report to the CEO/DC whether Management has taken effective action to implement remedial measures as per audit recommendations. The Internal Auditor has to also determine and report whether the measures taken have successfully removed the underlying causes that were the subject of the audit report. In order to accomplish these requirements, HIAs should establish a system to monitor and follow-up processes.

Management is responsible for implementing the audit recommendations that have been made by the HIA or the External Auditor. Organizations with good management practices should have established processes and procedures to manage the implementation of recommendations made both by the internal auditor and the external auditor. For instance, a specified individual at a sufficiently senior level in the organization or a committee of senior officers should be tasked with the responsibility to:

a. Review all audit recommendations, evaluate their impact on the organization and assign implementation responsibilities to specific line managers or others.
b. Review proposed action plans.
c. Ensure, where necessary, the availability of adequate resources to implement accepted recommendations.
d. Receive and review regular progress reports on progress made in the implementation process.
e. Report regularly to the CEO/DC on actions taken, and when necessary request resolution of issues and problems, including availability of resources.

In organizations where such a system exists, the Internal Auditor can use the system to monitor the status of implementation and does not have to duplicate the system. However, in the absence of such a system, the Internal Auditor will have to undertake full responsibility for the monitoring function and recommend that management establish an appropriate system.

If the guidelines for reporting in Chapter 6 were adhered to closely, then at the time of issuing the Final Report, the HIA would, in most cases, already have Management's proposed action plan and implementation timelines. If action plans were not agreed to at the Final Report stage, the HIA should persist until one is obtained. The action plan would provide the basis for all subsequent follow-up processes.

7.2 Classifying the Status of Implementation

HIAs and IADs should use a standardized classification system for monitoring and reporting the status of implementing the recommendations. A uniform system will also help consolidate the status across all IADs, particularly if higher authorities request such information. The classification of the status shall be as follows:

7.2.1 Table VII-1 – Status of Implementation of Recommendations

Status	Condition
1. Not started	Determine reasons for delay
2. In progress	Determine stage of progress and when completion is expected.
3. Implemented, not verified	The Auditee has reported completion but the IAD has not verified that underlying causes have been actually eliminated.
4. Implemented and verified	The Auditee has reported completion and the IAD verified its completeness.
5. Implemented and verified, but not satisfactory	IAD has verified that the underlying causes have not been eliminated.
6. Cancelled	Recommendation cancelled on mutual agreement with IAD because changed circumstances have made it irrelevant
7. Rejected	Auditee has rejected implementation and has decided to assume responsibility for risk.

7.3 Data Base of Audit Recommendations

HIAs should maintain a database of recommendations to facilitate monitoring, reporting and follow-up process using a computerized spreadsheet in the form shown below:

7.3.1 Table VII-2 – Database of Audit Recommendations

Recommendation	Status as at				
	date	date	date	date	date
Report 1 – Title of Report					
Recommendation 1(The recommendation should be verbatim)	1 Note	2	3	4	5
Recommendation 2					
Recommendation 3					
Report 2 –Title of Report					

Note: the numbers indicate the status of implementation as assigned in 7.2 above.

The database should be filled using the number in the first column in Table VII-1 above on the basis of progress reports received from Auditees / Managers. Reports on the implementation of recommendations should be issued on the basis of the information available in the database.

7.4 Monitoring Process

Monitoring is based on Management's assertion with respect to the status of implementation.

HIAs should request the CEO/DC to issue directives to all senior managers, who are responsible for the implementation of the action plan along with a list of outstanding recommendations to submit reports on the implementation status.

Where the number of reports and outstanding recommendations are of a manageable size, the HIA may chose to meet with the responsible officers to inquire and record the progress made.

7.5 Follow-up Process

Follow-up is a process by which internal auditors:

a. Evaluate the adequacy, effectiveness, and timeliness of actions taken by Management on reported observations and recommendations.
b. Ascertain whether actions taken on observations and recommendations remedy the underlying conditions.
c. Determine whether senior Management has assumed the risk of not taking corrective action on reported observations.

The HIA should determine the nature, timing, and extent of follow-up, considering the following factors:

a. Significance of the reported observation or recommendation.
b. Degree of effort and cost needed to correct the reported condition.
c. Impact that may result should the corrective action fail.
d. Complexity of the corrective action.

e. Time period involved.

The Annual Audit Plan should provide resources for follow-up activities.

Where the HIA judges that Management's written response indicating that action has been taken is sufficient when weighed against the relative importance of the recommendation and the factors mentioned above, then the follow-up may be undertaken during the next planned audit engagement. In all other cases, the HIA should schedule and implement a proper verification of Management's remedial actions at the earliest possible time. The HIA should use his professional judgment in determining the extent of action required to undertake the verification.

The HIA should plan the verification using the same process as an engagement but confine the verification work specifically to the targeted areas. The HIA should also report the results of the verification to the senior managers and the CEO/DC.

The HIA should ensure that all follow-up actions are appropriately documented in the same manner as an audit engagement.

CHAPTER 8 QUALITY ASSURANCE AND IMPROVEMENT

IIA Standard 1300 - Quality Assurance and Improvement Program:

The Head of Internal Audit must develop and maintain a quality assurance and improvement program that covers all aspects of the internal audit activity.

Interpretation:

A quality assurance and improvement program is designed to enable an evaluation of the internal audit activity's conformance with the Definition of Internal Auditing and the Standards and an evaluation of whether internal auditors apply the Code of Ethics. The program also assesses the efficiency and effectiveness of the internal audit activity and identifies opportunities for improvement.

IIA Standard 1310 - Requirements of the Quality Assurance and Improvement Program:

The quality assurance and improvement program must include both internal and external assessments.

IIA Standard 1311 - Internal Assessments:

Internal assessments must include:

- *Ongoing monitoring of the performance of the internal audit activity; and*
- *Periodic reviews performed through self-assessment or by other persons within the organization, with sufficient knowledge of internal audit practices.*

IIA Standard 1312 - External Assessments:

External assessments must be conducted at least once every five years by a qualified, independent reviewer or review team from outside the organization. The Head of Internal Audit must discuss with the board:

- *The need for more frequent external assessments; and*
- *The qualifications and independence of the external reviewer or review team, including any potential conflict of interest.*

IIA Standard 1320 - Reporting on the Quality Assurance and Improvement Program:

The Head of Internal Audit must communicate the results of the quality assurance and improvement program to senior management and the board.

IIA Standard 1321 - Use of "Conforms with the International Standards for the Professional Practice of Internal Auditing":

The Head of Internal Audit may state that the internal audit activity conforms with the International Standards of Internal Auditing only if the results of the quality assurance and improvement program support this statement.

IIA Standard 1322 - Disclosure of non-conformance:

When non-conformance with the Code of Ethics or the Standards impacts the overall scope or operation of the internal audit activity, the Head of Internal Audit must disclose the nonconformance and the impact to senior management and the board.

8.1 Introduction

The Internal Audit Service in Malawi is a professional service, which is subject to both the Government of Malawi policies and the Definition of Internal Audit, the Code of Ethics for Internal Auditors and the Auditing Standards that have been adopted by the Government. The Auditing Standards require the implementation of a Quality Assurance and Improvement Programme (QAIP) to ensure conformance with the Definition of Internal Audit, the Code of Ethics for Internal Auditors and the Auditing Standards.

The Auditing Standards and the Practice Advisories provide the basis for this section of the Audit Manual. HIAs and Internal Auditors should carefully review and understand the Practice Advisories in the context of the relevant Auditing Standards.

8.2 Quality Assurance and Improvement Programme (QAIP) - Nature and Objectives

8.2.1 Responsibility for QAIP

According to auditing standards, the HIA is responsible for developing and maintaining a quality assurance programme (QAIP) so as to provide reasonable assurance to the CEO/DC and other stakeholders that the internal audit activity:

a. Performs in accordance with the Internal Audit Charter, which is consistent with the Definition of Internal Auditing, the Code of Ethics, and the Standards.
b. Operates in an effective and efficient manner.
c. Is perceived by the stakeholders as adding value and improving the organization's operations.

8.2.2 Components of QAIP

A comprehensive QAIP normally includes three components as follows:

a. Ongoing supervision and monitoring of quality assurance by the HIA and senior auditors.
b. Periodic internal assessments of the internal audit activities.
c. Periodic external assessments of the internal audit activities and validation of conformance with the Standards.

8.2.3 Objective of the QAIP

The objective of the QAIP is to assess the entire spectrum of the internal audit activity, identify weaknesses and opportunities and make recommendations for the improvement of its effectiveness and efficiency. The assessments are focused on determining the internal audit activities:

a. Conformance with the Definition of Internal Auditing, the Code of Ethics, and Standards.
b. Adequacy of the charter, goals, objectives, policies, and procedures.
c. Integration into the governance, risk management and control environment of the entity.
d. Compliance with applicable laws, regulations, and government or industry standards.
e. Contribution to the organization's governance, risk management, and control processes.
f. Meets the expectations of the Chief Executive, senior management and other stakeholders, particularly in adding value and improving the organizations operations.
g. Efficiency and effectiveness in performing its mandate and has processes to facilitate continuous improvement, including the adoption of best practices.
h. Effectiveness in staff development and the adoption of new audit methodologies and techniques.

8.3 Implementation of the Quality Assurance and Improvement Programmes (QAIP)

8.3.1 Ongoing Supervision and Monitoring of the Internal Audit activity by the HIA

Quality assurance is a continuous process. Ongoing monitoring is an integral part of that quality assurance process and it covers all phases of the internal audit cycle from planning to the follow-up of the implementation of audit recommendations by the Auditee. The Audit

Manual incorporates procedures and processes to facilitate the HIA in conducting ongoing monitoring of all audit work. The HIAs, where necessary, can also recommend to the Ministry of Finance augmentation on the Internal Audit Manual with additional procedures required in the local situation to ensure the quality of the audit work.

Supervision and oversight at all stages of the audit work is a key element of the QAIP. HIAs have the responsibility to ensure that there is adequate supervision, review and measurement of the work performed by the Internal Auditors and other staff in the IAD. This continuous supervisory work includes review of adherence to established standards and policies and the exercise of due professional care by all Internal Auditors in the conduct of all aspects of audit work. The review should also include maintaining proper project budgets, timekeeping systems and records, progress made on completion of annual audit plans. Another important aspect of the improvement process is the regular review of the feedback received from the Board, CEO/DC, senior management, Auditees and stakeholders, and taking measures to address concerns and suggestions received, where appropriate and necessary.

The HIA should keep a record of monitoring reviews undertaken, the conclusions made and specific actions taken to remedy identified deficiencies.

8.3.2 Periodic Internal Assessment

Periodic internal assessments are in fact a self-assessment of the work of the IAD. Independent persons within an Audit Unit who are not directly involved in conducting the work being reviewed normally perform the assessment. Because IA activities differ particularly in size, nature of authority and responsibility, scope of work and staff skills, the self-assessment programme must be flexible.

The HIAs should liaise with the CIAU to arrange for an internal assessment to be conducted at least once every year. The CIAU should coordinate with all IADs and establish an annual programme of internal assessments for all IADs in the LAs.

The internal assessments should include all those issues mentioned in Section 8.2.3 and the effectiveness and efficiency of the management of the audit processes.

The CIAU should conduct the internal assessment using its own staff and experienced staff from other IADs on a rotational basis.

The Assessment team, along with the HIA should decide on the tools to use to complete the assessment considering the specific objectives of the assessment assignment. These may include some or all of the following:

a. Questionnaires to determine the processes established to establish Audit Strategy and Annual Audit Plans and the extent of coverage.
b. Evaluation of actual work completed against plan and the reasons for the variance.
c. Review of selected audits from engagement planning to its reporting, including the adequacy of working papers and evidence of monitoring control by the HIA.
d. Interviews with Internal Auditors with respect to their respective understanding of the work undertaken as well as their roles.

e. Adequacy of time keeping records and the efficiency of the work undertaken.
f. Interviews with Board, CEO/DC, Auditees and other stakeholders to determine their perception of the effectiveness of the IADs in addressing organizational issues and its contribution to or adding value to the organization.

The Quality Assessment Manual issued by the Institute of Internal Auditors provides excellent guidelines, tools and questionnaires for conducting the internal assessments. Where necessary and appropriate, these can be modified to suit local needs and conditions.

The Checklist contained in Annex VII-1 to this Chapter could be used to ensure that quality assurance review is conducted and reported on professionally.

All findings and recommendations resulting from the Internal Assessment review should be properly documented. Properly conducted and recorded internal assessments would reduce the level of effort required to perform External Assessments.

The reports resulting from the Internal Assessments shall be addressed to the responsible HIA of the IAD.

The Internal Assessment process should be considered as a cooperative exercise that is not only geared to improve the quality of internal audit services in a particular IAD, but all the IADs in all LAs. The assessment process also helps sharing of knowledge and building capacity within the IADs.

8.3.3 External Assessments

External quality assessments evaluate conformance of the internal audit function with the Internal Audit Charter, guidelines and directives issued by the MOF, Definition of Internal Auditing, the Code of Ethics, the Standards and additionally with internal auditing best practices. The Standards require such assessments to be conducted at least once every five years.

The External Assessment should be conducted by qualified and independent reviewers from outside the organization.

The provision of an effective Internal Audit Service (IAS) is a government objective, provided for in the Public Finance Management Act. It would therefore be more useful, effective and cost-efficient if a unified External Assessment of the overall function of the IAS within the Government of Malawi and encompassing all the IADs within the service were conducted as a whole. The CIAU should coordinate with all IADs and arrange for a unified External Assessment at least once every five years. The terms of reference for such an assessment may be based on the guidelines contained in the Quality Assessment Manual issued by the Institute of Internal Auditors and other requirements that may be necessary for the specific situation within the Government of Malawi.

The CIAU and all the IADs should cooperate with and facilitate the work of the reviewers appointed to conduct the external assessment so that the exercise will be useful in helping further strengthening the IAS as an effective organ of the Government.

8.4 Reporting and Acting on Results of Quality Assurance and Improvement Programme

Auditing Standards require the HIA to report the results of all the periodic assessments, including internal and external, together with a plan of action for the implementation of all recommendations arising from the assessments to the CEO/DC of the LA. The actions resulting from the recommendations could include modification of resources, technology, processes, and procedures.

In order to ensure better coordination and development of a quality internal audit service across the LAs, HIAs should submit the results of all assessments, both internal and external, to the MOF for review so that, if necessary, action may be taken to modify policies issued by the MOF, advocate the allocation of additional resources for the IADs and also formulate and develop more effective staff development and training programmes. The HIA should also submit to the MOF a copy of the proposed plan of action together with the CEO's/DC's approval and/or comments with respect to the recommendations and proposed action plan.

The HIA should report periodically to both the CEO/DC of the LA and the MOF the progress made in the implementation of the action plan.

The CIAU should submit an annual report to the MOF containing a summary of significant findings and recommendations resulting from internal assessments completed during the year. The CIAU should also identify if any action is required either by the MOF or any other central agency and propose an action plan for their consideration, approval and implementation.

The CIAU must submit the Report resulting from the External Assessment on the IAS as a whole to the MOF, and the CEOs/DCs of all LAs. The CIAU should prepare an action plan to implement the recommendations of the External Assessment report. After the approval by the Secretary to the Treasury, the action plan should be communicated to the CEOs/DCs. The implementation of the action plan should be monitored and reported to the Secretary to the Treasury.

8.4.1 ANNEX VIII – 1: CHECKLIST FOR QUALITY ASSURANCE REVIEW

a. The planning process undertaken is well documented in the working papers and includes among others:

I. Initial audit objectives and scope specified as per annual plan.
II. Background information on the areas to be audited has been adequately researched and documented.
III. Formal notification provided to Auditee.
IV. Interview notes with Auditee have been properly recorded.

V. Risk and internal control processes put in place by management have been properly reviewed, documented and evaluated for its adequacy. If not, the Auditor has conducted a risk assessment and identified the existence of appropriate controls or lack thereof.
VI. Resource requirements and scheduling estimated and approved.

b. The assessment is properly conducted and reported:

I. Final audit objectives and scope are clearly stated and supported by the planning undertaken, e.g. consistent with the key risks identified and the audit criteria are appropriate for the achievement of objectives.
II. Understanding of the plan for the engagement by the Auditee is documented.
III. The audit program is appropriate to achievement of the objectives and is approved by an appropriate senior level in the internal audit group.
IV. The working papers demonstrate that the audit program has been completed as intended (or as modified with appropriate approval) and comprise information collected and analyses undertaken on all matters related to the audit objectives and the scope of the work.
V. Observations and conclusions are based on evidence that is contained in the working papers and that is appropriate (e.g. sufficient, reliable, and relevant).
VI. Conclusions and recommendations are discussed with the Auditee and appropriate levels of management before issuance of the draft report.
VII. The draft report includes the audit objectives, scope, criteria, methodology, and results of the engagement, including findings, conclusions, and recommendations for improvement.
VIII. The findings documented in the draft report are cross-referenced to the supporting documentation in the working papers.
IX. Conclusions are consistent with the objectives defined in the plan for the engagement and with the detailed findings. An appropriate statement of assurance is provided.
X. The draft report is objective, balanced, clear, concise, constructive, and timely
XI. Auditee responses and action plans address the recommendations.
XII. Significant issues raised in the report, particularly where there is disagreement, are discussed and noted in report.

CHAPTER 9 STANDARD AUDIT PROGRAMMES

9.1 Introduction

These Audit Programme Guides have been developed as the basis for consistent audit coverage across a range of business activities.

9.2 Use of Audit Programmes

These audit programme guides are generic steps based on the LA's business activities. The auditor should review and tailor the audit steps to ensure that audit steps are sufficient and rigorous to address audit risks identified. The tailored audit program should be approved and signed off by the Head of the Internal Audit Department at the end of the planning process.

9.2.1 B1 AUDIT PROGRAMME FOR REVENUE COLLECTION

Revenue is the lifeline of the LAs. The Internal Auditor should therefore plan for a comprehensive coverage of revenue to ensure that the internal controls over it are operational. The main sources of revenue for the Local Authorities include:

a. Central Government transfers by way of conditional and unconditional grants;
b. Locally generated revenue like property rates, market fees and business licences; and
c. Donor and other external funds.

9.2.1.1 CONTROL OBJECTIVES

a. To ensure that revenue is correctly assessed, promptly collected, accounted for and safeguarded;
b. To ensure that revenue is collected and accounted for in compliance with the provisions of the Local Government Act, 1998 and other Local Authority accounting, financial management and operational regulations and guidelines.
c. To ensure that revenue is only collected by duly authorised staff or approved contractor
d. To ensure that revenue is collected using authentic receipts
e. To ensure that the assembly maintains accurate revenue records

f. To ensure that there is segregation of duty between revenue collectors and accounting staff

9.2.1.2 AREAS OF RISK

a. Incorrect revenue assessment.
b. Counterfeit receipt books
c. Teeming and lading.
d. Theft by those entrusted with the revenue collection function
e. Utilisation of revenue at source.

9.2.1.3 INTERNAL CONTROL PROCEDURES

a. Revenue should be collected only by authorised personnel.
b. Use of approved rates of fees/charges.
c. Prompt remittance of revenue collected from the Sub Offices to the Central office.
d. Regular supervision of revenue collectors.
e. Prompt follow up of long outstanding receipt books.
f. Reconciliation of revenue collected against receipt books.
g. Intact banking of all revenue collected.
h. Prompt recording of revenue collected in books of accounts.
i. Segregation of duties in the revenue function and rotation of revenue collectors.
j. Use of safes and cash chests for custody of unbanked revenue.
k. Authorised revenue collectors should be provided with identity cards.
l. Maintenance of business/revenue registers in respect of all trades in the Local Authority.

9.2.1.4 AUDIT PROGRAMME

REF	Audit Programme Tasks	Control Objective Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Test for authority of revenue collectors against staff establishment and identity cards.	(c)					
2	Check collection rates applied against approved by-laws, Local Authority minutes and other related documents.	(b)					
3	Check for approved security features on receipts.	(d)					
4	Perform arithmetic test checks on revenue records.	(e)					
5	Reconcile collection dates with remittance and banking dates.	(a)					
6	Test for long outstanding receipt books in the receipt book register and establish any action taken.	(a)					
7	Verify accuracy of revenue transactions in accounting records.	(e)					
8	Establish adequacy of duty segregation.	(f)					

REF	Audit Programme Tasks	Control Objective Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
9	Verify the maintenance of Local Authority business/revenue register.	(a), (b)					

9.2.2 B2 AUDIT PROGRAMME FOR CASH AND BANK CASH

9.2.2.1 CONTROL OBJECTIVES

The control objectives over cash include the following:

a. To ensure that cash on hand agrees with underlying records.
b. To ensure that Revenues are receipted and promptly banked.
c. To ensure that cash is appropriately secured.
d. To ensure that cash is properly recorded in the cashbook
e. Ensure deposit slips are accurately recorded with revenue receipts information
f. Ensure that bank reconciliations are correctly done and reconciling items follow-up
g. Ensure that unused revenue Receipt Books are adequately secured

9.2.2.2 AREAS OF RISK

a. Thefts
b. Under banking
c. Teeming and lading
d. Shortages or overages

9.2.2.3 CONTROL PROCEDURES

a. All cash received should be receipted promptly.
b. Cash collected should be banked intact and promptly.
c. Cashiers should maintain a daily banking book which should be verified by a senior officer.
d. Deposit slips should be filled with all details of General Receipt serial ranges being banked.
e. The cashier should be supplied with one General Receipt book at one particular time.
f. General Receipts should be serially recorded in the General Receipts register.
g. Deposit slips should be properly filed.

9.2.3 BANK

9.2.3.1 CONTROL OBJECTIVES

a. To ensure that cash book balances are reconciled to bank balances on monthly basis.

b. To ensure that all non-reconciling items are properly treated and adjusted.
c. To ensure that remittances agree or reconcile with deposit slips.
d. To ensure adequate segregation of duties regarding reconciliation of bank accounts, payment of cheques and posting of transactions to the general ledger.
e. To ensure proper record maintenance.

9.2.3.2 AREAS OF RISK

a. Under banking
b. Unidentified entries on the bank statement
c. Collusion between staff and bankers

9.2.3.3 INTERNAL CONTROL PROCEDURES

a. Cancelled cheques and counterfoils should be clearly marked **"CANCELLED".**
b. Bank reconciliation should be regularly (monthly) and independently prepared.
c. Bank statements and bank deposit slips should be systematically filed.
d. Checking of bank statements for dishonoured cheques and investigating any such items.
e. Following up on delayed bank statements from the bank.

9.2.3.4 AUDIT PROGRAMME

REF	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
	Cash				**Y**	**N**	
1	Check that all cash received reconciles with underlying receipt records.	(a)					
2	Check that all cash received is banked intact.	(b)					
3	Test for proper recording of cash in the cashbooks.	(d)					
4	Conduct surprise cash counts to reconcile cash on hand with records.	(a), (c)					
	Bank						
5	Test for proper bank reconciliation and treatment of non-reconciling items.	(b)					
6	Test for existence of banking books and that endorsements are indeed being made.	(e)					
7	Test that deposit slips carry all details of general receipts being banked.	(e)					
8	Establish reasons for any returned and stale cheques.	(f)					
9	Check follow up actions on stale and returned cheques.	(f)					

9.2.4 B3 AUDIT PROGRAMME FOR SALES AND TRADING UNDERTAKINGS

9.2.4.1 BACKGROUND

Provisions in the second schedule (Section 12) of the Local Government Act, 1998 allow LAs to maintain and manage trading undertakings like rest – houses, hotels, motels, inns, restaurants, bars, agricultural stores, etc. Such trading undertakings will be run by the LAs with a profit motive. And as more functions are being devolved from the Central Government, LAs have also come to be involved in such sales transactions like sale of forest trees and firewood. The Internal Auditor should therefore include the audit of such undertakings in his work plan.

9.2.4.2 CONTROL OBJECTIVES

The control objectives over sales and trading undertakings include:

a. To ensure that LAs are realizing maximum revenue from sales and commercial undertakings.
b. To ensure that commercial undertakings are operating at a satisfactory profit margin.
c. To ensure that revenue from trading undertakings and other sales transactions is properly accounted for.
d. To ensure that quality of service offered is competitive.
e. To ensure that trading stock is adequately accounted for and stock levels are monitored to avoid stock-outs

9.2.4.3 AREAS OF RISK

a. Lack of a proper stock valuation system.
b. Weak monitoring controls.
c. Abuse of the trading undertakings by management and Local Authority Members.

9.2.4.4 INTERNAL CONTROL PROCEDURES

a. Separate books of accounts should be maintained in respect of every trading undertaking as spelt out in the LGA, 1998.
b. Production of monthly returns for each trading undertaking.
c. Trading undertakings that register losses or fail to return such reasonable net profit in any two consecutive years should be referred to the Finance Committee of the Local Authority.
d. All sales should strictly be on cash basis.
e. There should be frequent stock takes conducted in respect of every trading undertaking.
f. Standard stock valuation methods should be adopted.
g. Only authorised receipts should be used in sales transactions.
h. Sales day book should be maintained in respect of sales transactions.
i. Local Authority and staff members involved in abuse of trading undertakings should be surcharged accordingly.

9.2.4.5 AUDIT PROGRAMME

REF	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Conduct surprise stock takes and test for periodic stock takes by central office.	(e)					
2	Analyse financial returns and confirm whether loss making undertakings are referred to the Finance Committee by checking minutes of the Finance Committee.	(b)					
3	Analyse financial records and conduct physical checks to establish that there are no credit sales.	(a)					
4	Test for maintenance of sales day book and the sales ledger.	(c)					
5	Check minutes of Local Authority meetings for evidence of surcharge action on abusing staff and Local Authority members.	(a)					
6	Check pricing of trading products to ensure competitiveness.	(d)					

9.2.5 B4 AUDIT PROGRAMME FOR PAYMENTS

9.2.5.1 INTRODUCTION

The recommended Local Authority accounting practice is that all payments should be by cheque.

9.2.5.2 CONTROL OBJECTIVES

The control objectives over payments from a LA point of view include:

a. To ensure that all payments made are authorised and are within approved budgets.
b. To ensure that all payments made are promptly and accurately recorded in the books of accounts.
c. To ensure that payments made are in respect of goods and services rendered to the Local Authority.
d. To ensure that payments made comply with Local Authority accounting and financial management regulations and guidelines.
e. To ensure that accounting records, payment vouchers are properly maintained and promptly filed

9.2.5.3 AREAS OF RISK

a. Loss of Local Authority resources due to invalid payments.

b. Poor record keeping in respect of payments made resulting in over/under payments.
c. Lack of segregation of duties over the payments process.
d. Non reconciliation of payments against budget provisions leading to budget over expenditures.

9.2.5.4 INTERNAL CONTROL PROCEDURES

a. All payments should be properly supported and dully authorised.
b. All payments should be promptly and accurately recorded in the books of accounts.
c. There should be proper segregation of duties over the payment process.
d. Payments made should comply with Local Authority accounting and financial management regulations.
e. All payments should be made on prescribed payment vouchers.
f. All paid payment vouchers and supporting documents should be stamped "**PAID".**
g. All cheque pads should be kept in a secure place under the custody of a responsible officer.
h. Issuing of cheques should be made by the cashier.
i. All cancelled cheques should properly recorded and filed.
j. All payment vouchers should be properly filed.
k. Signing of blank cheques should be prohibited.
l. All outgoing cheques should be recorded and signed for in a cheque dispatch register.
m. All irregular payments should be disallowed and appropriately surcharged by the Finance Committee on concerned officers.
n. Ordering of new cheque pads from the bank should be limited to one cheque pad per bank account at any one time.

9.2.5.5 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Check payments made against budget allocations.	(a)					
2	Verify the payment process for proper segregation of duties.	(d)					
3	Test payment vouchers for proper authorization, accuracy and completeness, as well as the authenticity of supporting documents.	(d)					
4	Test for validity and conformity of payments against Local Authorities Accounting and Financial Management Procedures.	(d)					
5	Review minutes of the Finance Committee for any surcharge recommendations and action.	(c)					
6	Check that all payments are accurately coded in the cashbook and correctly posted to the ledgers.	(b)					
7	Confirm that payments are made on prescribed payment vouchers.	(d)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
8	Check that all paid payments vouchers and supporting documents are stamped "PAID".	(d)					
9	Test for custody of unused cheque pads and issuing of cheques.	(e)					
10	Check for proper filing of used cheques and payment vouchers.	(e)					
11	Check for maintenance of a Cheque Dispatch Register	(d)					

9.2.6 B5 AUDIT PROGRAMME FOR PROCUREMENT OF GOODS AND SERVICES

9.2.6.1 INTRODUCTION

Procurement of goods and services is an area that has generated a lot of interest from various stakeholders. The Internal Auditor should therefore ensure that LA procurement procedures comply with recommended LA procurement guidelines as well as relevant legislature, specifically the Public Procurement Act, 2003.

9.2.6.2 CONTROL OBJECTIVES

a. To ensure that procurement of goods and services is done under proper authority and procedures.
b. To ensure that goods and services are only ordered as necessary and from approved suppliers.
c. To ensure that goods and services received are of the right quality, quantity and conditions.
d. To ensure that there is adequate and proper documentation of goods and services procured.
e. To ensure that procurement of goods and services is done in a transparent manner.
f. To ensure that procurements records are accurately maintained

9.2.6.3 AREAS OF RISK

a. Non disclosure of interest by staff and Local Authority Members.
b. Awarding of contracts to non qualifying bidders.
c. Irregular sourcing of quotations.
d. Non conformity to procurement guidelines.

9.2.6.4 INTERNAL CONTROL PROCEDURES

a. There should be total adherence to approved procurement limits and methods.
b. There should be proper documentation of the procurement processes.

c. There should be an Internal Procurement and Disposal Committee (IPDC) in place, made up of eligible members, which should handle and discuss procurement issues of the LA.
d. Bills of Quantities should be accurately prepared and reviewed by the IPDC.
e. Opening of bids should be publicized and those that submitted bids should be invited.
f. Quotations should be submitted in sealed envelopes to the IPDC.
g. Local Authorities should advertise for and shortlist suppliers for specified categories of goods and services.

9.2.6.5 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Check attendance list during tender opening to confirm list of participants to the tender opening process.	(a), (e)					
2	Check the IPDC and Finance Committee minutes against actual suppliers or contractors for conformity to approved resolutions.	(a)					
3	Test payment vouchers against minutes of IPDC or Finance Committee for conformity to procurement limits /methods.	(a)					
4	Check for existence of IPDC files.	(a), (d)					
5	Test arithmetical accuracy of Bills of Quantities.	(f)					
6	Verify short listing of LA suppliers by the IPDC in the IPDC file.	(b)					
7	Conduct physical inspection of goods received against specifications of the bills of Quantity.	(c)					

9.2.7 B6 AUDIT PROGRAMME FOR DONOR FUNDS

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.7.1 OBJECTIVES

a. To determine that donor funds have been accounted for in accordance with laid down accounting and procedural requirements
b. To ensure that donor funds have been spent with due regard to economy, efficiency and effectiveness
c. To ensure that donor funds have been recorded in the appropriate books of accounts

9.2.7.2 RECORDS REQUIRED AT AUDIT

a. List of donor funds received
b. Copies of agreements with contractors
c. Copies of receipts of funds received
d. Banks statements
e. Stock register (For donated materials)
f. Cash book for donor funds
g. Financial statements/Accountability reports
h. Memorandum of understanding
i. Copies of agreements with donors
j. Donor accounting guidelines

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE AUDIT TESTING

9.2.7.3 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Donor Agreements						
1	For selected sample, obtain donor agreements, review the entire agreement, noting specific provisions within the contract for further audit testing where no standard audit steps exist for these provisions	(a)					
	Accounting for Donor Funds						
2	Confirm that there is a separate bank account for donor transfers	(a)					
3	Confirm that an accrual based system is maintained to capture, classify, summarise and report donor fund disbursement.	(a)					
4	Confirm that general ledgers and cash books are maintained to record donor funded transactions	(c)					
5	Confirm that bank reconciliations are prepared for all donor bank accounts	(a)					
6	Where applicable; confirm that fixed assets/ stocks registers are maintained where the donor has provided non-financial materials	(a)					
7	Confirm that procedures exist to reconcile the physical count of non-financial materials to the book values	(c)					
8	Obtain independent confirmation of Donor bank account balances	(a)					
	Management of donor funds						
9	Where applicable; confirm that there is an adequately staffed project management unit to manage donor funds	(a)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
10	Confirm that project units report to the central ministry (or appropriate agency) and submit the required reports as stipulated in the respective project agreements	(a)					
	Funds Received and Agreements for Use						
11	Confirm that funds released have been effected by "No Objection" notices from the donor	(a)					
12	Confirm that application for replenishment is supported by relevant expenditure returns and other information as specified by the donor agreement	(a)					
13	Select a sample of donor transfers and confirm that funds have been recorded in the cash book and appear on the bank statement	(c)					
	Expenditure						
14	Based on risk assessment process, select a sample of payments and ensure that each payment complies with the specific clauses pertaining to the use of the funds	(a)					
15	Ensure that the payment approval process has been complied with. (NOTE: The audit steps under the Expenditure Audit Program should be used to test for this objective)	(a)					
16	Ensure that payments were made only in relation to approved expenditure relating to the project by examining payment vouchers and supporting documents.	(a)					
	Physical Assets/Stock						
17	Where donor provided fixed assets /stocks or an expenditure generated fixed assets/stocks, verify existence of these assets (NOTE: Audit program for fixed assets and stores should be used)	(a)					
	Accountability						
18	Confirm that complete and accurate financial statements are prepared and submitted as required by the donor agreements	(a)					
19	Confirm that financial and non-financial information submitted to donors agrees with those maintained in the entity's books	(a)					

9.2.8 B7 AUDIT PROGRAMME FOR HUMAN RESOURCE MANAGEMENT AND PAYROLL

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.8.1 INTRODUCTION

Local Authorities have two categories of employees, those paid by Central Government and those paid directly by the Local Authority. Ultimately however, the LAs shall be managing the payroll of all employees. The audit of payroll is therefore an area that needs to be considered by the Internal Auditor in his audit plan.

9.2.8.2 OBJECTIVES

a. To confirm that the payroll function is properly controlled and operating efficiently
b. To ensure that authority for all pay entitlement is clearly defined and effectively exercise
c. To ensure that employees on the payroll are valid and that leavers do not remain on the payroll
d. Payroll calculations including deductions are correctly applied
e. To ensure that emoluments are commensurate with the conditions of service.
f. To ensure that all deductions are recorded accurately and promptly remitted to the rightful institutions.
g. To ensure that salary and wage amounts are safeguarded.
h. To ensure that personnel files are adequately maintained and contain all information required
i. To ensure that payroll reconciliation is timely done and any discrepancies followed-up

9.2.8.3 AREAS OF RISK

a. Ghost employees and misappropriation.
b. Loss of salary and wage amounts.
c. Wrong salaries paid to employees.
d. Litigation.
e. Abuse of deductions.
f. Incorrect calculations of deductions.

9.2.8.4 INTERNAL CONTROL PROCEDURES

a. There should be proper segregation of duties in payroll preparation.
b. There should be rotation of payroll processing and paying officers
c. Payroll cash withdrawals should be done by another independent officer under security escort.
d. There should be adequate security at pay points.
e. All insertions and deletions to the payroll should be authorised by the Human Resource Management Officer.
f. Payrolls should be certified before payments.
g. Receipted payrolls should be checked by the Head of Finance and filed for audit.
h. Payroll details should be accurately recorded in the books of accounts.
i. Unpaid/unclaimed salaries/wages should be brought on charge promptly.
j. No employee should sign and receive salary/wages on behalf of other employees without written authority of the rightful owner and approval by the Human Resource Management Officer. **Records Required at Audit**

k. Payroll Register
l. Accounting and payroll records
m. Establishment warrants

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE

9.2.8.5 AUDIT TESTING

Audit testing covers:

a. Engagement of employees
b. Employee permanent records
c. Payroll preparation/Payment of wages and salaries
d. Unclaimed wages
e. Overtime work
f. Loans and advances to employees
g. Employee transfer
h. Dismissal
i. Payment of commissions
j. Establishment schedule

9.2.8.6 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted?		W/P Ref
					Y	N	
	Engagement of New Employees						
1	Select a sample of new employees and confirm that authority exists to support the recruitment	(a)					
2	Confirm that an Establishment Warrant supports the recruitment	(b)					
3	Confirm that new staff are entered in the Payroll in the right period and amounts.	(d)					
	Employee Permanent Records						
4	Obtain a sample of employee file and confirm that each file contains the following information Employee Number, sex and date of birth Employee's qualification and education Employee's next of kin Date of engagement Job title and description Immediate superiors name and title • Employee's current rate of pay, allowances and standard deductions • Date of transfer between departments (if any) Date of discharge Bank details (Bank name, account number, etc.) Retiring date.	(h)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted?		W/P Ref
					Y	N	
5	For each selected employee, verify their existence by various approved means	(c)					
6	Confirm that the salary grade contained in each person's staff record is the same as that on the Establishment Record	(e)					
7	Ascertain which members of staff have left during the period under review and check that the Establishment Schedule and Payroll have been updated	(c)					
	Payroll Preparation/Payment of Salaries						
8	Check for authority in the payroll preparation process	(b)					
9	Check for payroll rosters to verify rotation of paying officers	(a)					
10	Check for signatures of a witnessing officer during payments	(c)					
11	Conduct periodic inspection of security arrangements during salary/wages amounts withdrawals	(g)					
12	Accompany or follow paying officers to pay points periodically to ascertain conformity to procedures during pay parades	(b)					
13	Check for payroll files and signatures on receipted payrolls	(b)					
14	Test receipted vouchers for brought on charge sums	(b)					
15	Perform "a starters and leavers test" on the payroll	(c)					
	Overtime work						
16	Obtain a sample of overtime pay and carry out the following:						
17	Confirm that over time rates are in line with the approved rates by the Finance Committee of the LA	(d)					
18	Overtime work is supported by an overtime authorisation form	(d)					
19	Overtime authorisation forms have been completed by the employee's supervisor and approved by the Head of Department	(d)					
20	Overtime payment has been received by employee.	(a)					
	Unclaimed wages						

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted?		W/P Ref
					Y	N	
21	Confirm that a register for unclaimed wages is maintained. Note:The register should detail the following: Date of payroll Name of employee and amount unclaimed Date when amount was claimed Payment voucher number	(a)					
22	Select a sample of unclaimed wages and ensure that undisbursed wages are returned immediately to the cashier for safe keeping	(a)					
	Loans and Advances to Employees						
23	Select a sample of advances to employees and confirm that:						
24	The loan/advance was approved by the appropriate official and is allowed	(b)					
25	Confirm that the employee received the loan/advance. (A loan confirmation could be obtained from the employee)	(g)					
26	Confirm that loan/advance repayments are being made as stipulated in the loan/advance approval form.	(e)					
	Employee Transfers						
27	Select a sample of employees transferred during the period and ensure that the CEO/DC is informed for a change to be effected on the employee status	(a)					
28	Confirm that a Salary Change Advice Form has been completed	(a)					
29	Confirm that the payroll records have been amended	(a)					
	Establishment Schedule						
30	Confirm that an establishment schedule has been prepared for the period under review. The establishment schedule is a list of all employees in each department giving the following information at the beginning of each calendar year: date of engagement the name of the employee • the rate of pay per annum for the year just ended the new approved rate of pay per annum for the year just began the rate of pay per month from the first of January that year, the grade of the employee	(a)					
31	Confirm that the establishment schedule is signed by the appropriate authority	(a)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted?		W/P Ref
					Y	N	
32	Obtain the payroll for the month of January for the period under review and confirm that information for the preparation of the payroll is based on the Establishment Schedule	(e)					
33	Where there are inconsistencies between the January payroll and the Establishment Schedule, confirm that these have been explained in the Payroll Reconciliation Statement	(e)					
	Payroll Reconciliation						
34	Confirm that a monthly payroll reconciliation is prepared (The payroll explains significant variances in employee numbers and employee gross pay)	(i)					
35	Obtain a sample of the payroll reconciliations and ensure that the reconciliation has been approved by the designated officer	(i)					
36	Review the reconciliation and obtain explanations for any significant unexplained variations	(i)					

9.2.9 B8 AUDIT PROGRAMME FOR INVESTMENTS

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.9.1 OBJECTIVES

a. To ensure that all deposits and earnings in respect of investments are properly recorded and reported.
b. To ensure that appropriate investment decisions are made by relevant authorities and properly authorised in conformity with provisions of the LGA, 1998 and PFMA, 2003 as amended.
c. To ensure that withdrawals of investments are properly authorised and recorded.
d. Investment amounts are stated on a consistent basis.

9.2.9.2 AREAS OF RISK

a. Non recording and reporting of investments.
b. Low returns from investments.
c. Unauthorized withdrawals.

9.2.9.3 INTERNAL CONTROL PROCEDURES

a. The Local Authority should maintain separate investment registers and ledgers.
b. All investment and withdrawal decisions should be properly authorised. **Records Required at Audit**
c. Investment register
d. Accounting records
e. Bank statements
f. Investment certificates
g. Interest notices
h. Investment policy
i. Minutes of approving body

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE

9.2.9.4 AUDIT TESTING

Audit testing covers:

a. Management of investments
b. Purchase of investments
c. Sale of investment
d. Investment income

9.2.9.5 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Management of investments						
1	Confirm that an investment policy exists	(b)					
2	Confirm that an investment register is maintained to record the purchase and sale of investments and investment income	(b)					
3	Confirm that the appropriate body approves the sale and purchase of all investments	(b)					
4	Confirm that minutes of meetings are maintained	(b)					
5	Confirm that investments are subject to periodic/annual valuations and the appropriate depreciation entries are recorded in the investment account and reserve accounts	(b)					
6	Confirm that decisions relating to disinvestments of non- performing investments are made to secure the interest of the entity	(e)					
7	Review and reconcile balances in the investment register to ledger entries.	(b)					
8	Review documentation and authorization of additions and disposals	(a)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
9	Where investment is in shares, verify details of issued share capital against share certificates and ledgers	(b)					
	Purchase of investment						
10	Select a sample of investments purchased during the period and confirm that appropriate approval exists for the purchase of investments (Review minutes of authorising body to confirm approval)	(b)					
11	Confirm the payment per the cash book, bank statement and investment register to the investment certificate	(b)					
12	Confirm that the investment certificate is written out in the name of the entity	(b)					
	Sale of investment						
13	Select a sample of investments sold during the period and confirm that appropriate approval exists for the sale of investments (Review minutes of authorising body to confirm approval)	(b)					
14	Verify the receipt of investment income to the bank statement.	(b)					
	Investment income						
15	For the sample of investments selected, confirm that interest income has been received	(a)					
16	Verify the receipt of interest to the bank statement and investment register	(a)					
17	Recompute interest earned on investments to ensure that interest credited to the investment account or due is correct	(b)					

9.2.10 B9 AUDIT PROGRAMME FOR INVENTORY

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.10.1 OBJECTIVES

a. To ensure that procedures and regulations governing inventory are complied with
b. To ensure that the right quantity and quality of goods and materials are made available at the right time
c. To ensure that stocks are kept and maintained in a safe condition to prevent wastage and theft

d. To ensure that stocks entering and leaving the stores are properly authorisedand accounted for
e. To ensure that stock management systems and procedures are in existence are consistently applied
f. To ensure that stores are only issued for the appropriate purpose

9.2.10.2 RECORDS REQUIRED AT AUDIT

a. Accounting policies for stores
b. Inventory master items listing
c. Inspection reports
d. Stores ledger/records
e. Stock write off
f. Stock take reports

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE

9.2.10.3 AUDIT TESTING

Audit testing cover:

a. Stores management
b. Security
c. Ordering
d. Issues
e. Stock records
f. Stock counts
g. Write-offs

9.2.10.4 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Stores Management						
1	Confirm that there is a Goods Inventory Master Item listing which has been duly updated	(a)					
2	Confirm that there is adequate security at the stores and that the premises appear secured against intruders. (Doors and windows are secure)	(c)					
3	Confirm that there are security measures such as identification prior to access	(c)					
4	Confirm that there is controlled access	(c)					
5	Confirm that access such as keys, swipe cards are issued only to authorised personnel	(d)					
6	Confirm that the store keeper is the only person allowed to receive and issue stores	(d)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
7	Confirm the existence of procedures to identify slow moving, expired and obsolete stocks	(a)					
	Stores structure						
8	Confirm that the structure of the warehouse/ stores is appropriate for the items held in stores	(c)					
9	Confirm that where there are food and other items such as tools, machinery, these are kept separate from each other	(a)					
10	Confirm that stores are stacked in a manner to facilitate easy stock count	(c)					
11	Confirm that the warehouse is kept clean (absence of accumulated garbage, obsolete equipment or junk)	(a), (c)					
12	Where applicable, confirm that there is a routine process for pest and insect control; such as planned fumigation cycle	(c)					
	Ordering						
13	Confirm that there is an established re-order level for consumable stocks	(a), (e)					
14	Select a sample of orders for consumable items made during the period and confirm that replenishment was made at the minimum stock level	(a), (e)					
	NOTE: The ordering function is audited under the Procurement						
	Slow moving/obsolete stock						
15	Obtain inventory aging analysis and identify slow moving/obsolete stock	(a), (e)					
16	Obtain reasons for slow moving/obsolete stock	(a), (e)					
17	Confirm that slow moving stock is not due to over stocking	(a), (e)					
	Goods received						
18	NOTE: Testing for receipt of goods is covered under the audit program for Expenditure) Additional Testing for goods received in Stores is as follows:	(a), (e)					
19	Select a sample of Goods Received Advice and confirm that:	(a), (e)					
20	All details were correctly entered onto stock records	(a), (e)					
21	All details have been entered into the accounting records	(a), (e)					
22	Select a sample of bulk deliveries and ensure that they were weighed before receipt into stores	(a), (e)					
	Issues						
23	Select a sample of issues made during the period and confirm that:	(a), (e)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
24	An internal requisition form was filled and approved by the appropriate official	(a), (e)					
25	Confirm that the issue is in line with the approved Procurement Plan	(a), (e)					
26	Confirm that the issue is covered by a Stores Issue Voucher, duly signed by the storekeeper and requesting user	(a), (e)					
27	Confirm that the stores records (Store Ledger and Bin/Tally Cards) have been updated with the issue	(a), (e)					
28	Confirm that the relevant accounting entries have been made to reflect the issue	(a), (e)					
	Inter-departmental transfers						
29	Where there are inter-departmental transfer, select a sample and ensure that:	(a), (e)					
30	Transfers have been made based on formal request (Letter and requisition) duly signed and approved by the appropriate officials	(a), (e)					
31	A journal has been raised for the request	(a), (e)					
32	Where payments are made, confirm receipt of cash/cheque	(a), (e)					
33	A Stores Issue Voucher duly signed by the appropriate officials was raised for the issue	(a), (e)					
34	A waybill signed by the appropriate official was raised	(a), (e)					
35	The stores records have been updated	(a), (e)					
	Stock counts						
36	Confirm that there are laid down procedures for stock taking	(a), (e)					
37	Obtain the procedures and stock take reports and ensure that the frequency of stock take as stated in the policy is being adhered to	(a), (e)					
38	Confirm that stock counts were carried out by persons independent of the stores officials	(a), (e)					
39	Ensure that the stock taking reports have been distributed to the appropriate authorities	(a), (e)					
40	Select a sample of stock cards and physically count the stock, comparing the count amount to the balance on the card (Note all differences including the unit cost of the item)	(a), (e)					
41	Obtain explanations for all variances and investigate the authenticity of the explanations	(a), (e)					
42	Attend a physical stock take and observe to ensure that stock take instructions are in line with laid down procedures	(a), (e)					
43	Test count selected stock items and compare the count results to stock records and accounting records	(a), (e)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Write-offs						
44	Obtain write-offs made during the period under review and ensure that:	(a), (e)					
45	The basis for write offs is reasonable and appropriate	(a), (e)					
46	The procedures and policies for identifying slow moving, expired or obsolete stocks have been complied with	(a), (e)					
47	The appropriate authorisation was received for write offs	(a), (e)					
48	The appropriate entry was made in the stores records	(a), (e)					
49	The appropriate accounting entries were made	(a), (e)					
	Disposal of stores						
50	Obtain a sample of disposals and ensure that:	(a), (e)					
51	The basis for disposal is reasonable and appropriate	(a), (e)					
52	Where appropriate obtain certification of obsolescence or damages.	(a), (e)					
53	The appropriate authorisation was obtained	(a), (e)					
54	Disposal was made in accordance to laid down policy (Transfer to government departments or other public entities, sale by public tender, destruction, dumping or burying as appropriate)	(a), (e)					

9.2.11 B10 AUDIT PROGRAMME FOR NON TAX REVENUE (NTR)

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.11.1 SCOPE OF NTR

Covers the following:

a. Fines and Penalties
b. Grants
c. Rent of land and buildings
d. Administrative fees and charges
e. Administrative fees
f. School fees
g. Hospital fees
h. Investment income
i. Licenses
j. Donations
k. Interests and Profits
l. Divestiture proceeds
m. Proceeds from disposal of assets, etc.

9.2.11.2 OBJECTIVES

a. To ensure that there is adequate segregation of duties between receipting, recording and banking
b. To ensure that collections are supported by adequate documentation (Including invoices, Official Government Receipts, Pay-in-Slips and LA Cashier Receipts)
c. To ensure that all collections are recorded
d. To ensure that actions are performed only by individuals acting within the scope of their authority
e. Bank lodgements are made on a timely basis
f. All General Reciept and Collection/Cash Books are controlled and kept in a secure place
g. To ensure that the revenue contracts are in place and fully adhered
h. To ensure that the LA has accounting procedures for nontax revenues and that these are consistently followed

9.2.11.3 RECORDS REQUIRED AT AUDIT

a. Listing of NTR including sources
b. Budgets
c. Contracts

d. Revenue registers
e. Cash book
f. Daily cash/check summaries
g. Register of pay-in books/slips
h. Register of receipt book
i. Pay-in books/slips
j. Bank statements
k. Cancelled receipts

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE

9.2.11.4 AUDIT TESTING

Audit testing cover:

a. Collections (Contracted Revenue Collection and Revenue collection by staff)
b. Receipting
c. Control over cash received
d. Bank lodgements
e. Reconciliations

9.2.11.5 AUDIT PROGRAMME

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Contracts						
1	Select a sample of revenue contracts and confirm that a legally binding contract exists between the LA and the contracted collector	(f), (g)					
2	Confirm that contracts have been signed by both parties	(d), (g)					
3	Obtain a schedule of when payments are due and amounts due	(b), (c), (f), (g), (h)					
4	Ensure that revenue being received from the contractor is reasonable and in accordance with the terms of the contract	(c), (f), (g), (h)					
5	Where contractors have defaulted on terms of contract, confirm that effective legal action has been applied	(f), (g)					
	Assessment and valuation						
6	Where applicable (e.g. for rates), ensure through inspection that a rigorous valuation and assessment has been carried out in accordance with laid down assessment procedures	(b), (h)					
7	Check the factors used to calculate the assessment (rate type, current charges, arrears etc.) are based on approved factors	(b), (h)					

REF	Audit Program Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
8	Ensure that assessments are posted to the Rate Payers Ledger Account	(b), (c), (f), (h)					
9	Ensure that the Revenue Summary Book is updated						
10	Ensure that completed assessments are reviewed and approved by the appropriate official	(a), (d), (h)					
	Custody of receipt books						
11	Confirm that receipt books are adequately controlled and issued to only authorised personnel	(a), (f), (h)					
12	Confirm that a register of receipt books for issue and receipt of receipt books is maintained	(f), (h)					
13	Confirm that issues are recorded under the name of the approved revenue collector. Validate authenticity of signature of revenue collector	(a), (b), (d), (h)					
14	Carry out a physical inspection of the stock of unused receipt books and check sequence back to the receipt register	(b), (f), (h)					
15	Confirm that the outstanding balance as per the stock count agrees with the balance on the receipt register	(b), (c), (f), (h)					
	Revenue collection (Receipting and banking)						
	Receipting						
16	Obtain a sample of the list or schedule of revenue collected for NTR's and confirm by checking the counterfoils of the receipt books that they have been accurately captured in the cash book	(b), (d), (f), (h)					
17	Check the arithmetic accuracy of the receipt book	(h)					
18	Ensure revenue classification is accurate	(c), (h)					
19	Ensure that cashier does not have access to general ledger	(a), (h)					
	Banking						
20	From the list or schedule of collections, confirm that collections were banked promptly.	(c), (e), (h)					
21	Confirm from bank deposit slips that collections were banked intact and in the correct bank account	(c), (e), (h)					

9.2.12 B11 AUDIT PROGRAMME FOR GOVERNMENT FUNDING

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.12.1 INTRODUCTION

The devolution of functions from Central Government to the LAs in line with the Decentralisation process as adopted by the Government of , has also meant the direct transfer of funds from Central Government to the LAs. Invariably then, the management of Central Government transfers, has taken centre stage in the fiscal decentralisation reform processes. The audit of Central Government transfers is therefore an area that is likely to draw a lot of attention and interest from many stakeholders to the decentralisation process.

The audit program covers the Central Government Transfers for conditional or unconditional purposes and cover:

a. Government of Malawi funding
b. Subventions
c. Government budget support

9.2.12.2 OBJECTIVES

a. To ensure that central government transfers are used for intended purposes in line with the approved budget.
b. To ensure that appropriate books of accounts are maintained in respect of central government transfers.
c. To promote proper accountability and transparency in the management of central government transfers.

9.2.12.3 AREAS OF RISK

a. Use of funds for unintended purposes.
b. Non-maintenance of appropriate books of accounts including bank reconciliation statements.
c. Non-submission of expenditure returns to LA Service Committees and other interested stakeholders.
d. Lack of awareness in budgeting for devolved functions.
e. Non adherence to District Implementation Plans in the usage of funds.

9.2.12.4 INTERNAL CONTROL PROCEDURES

a. All expenditures on central government transfers should be made in line with approved budgets.
b. Departments of the LA should submit annual work plans to the office of the
c. District Commissioner/Chief Executive Officer which will be reviewed quarterly.
d. All expenditure requisitions from LA departments should be authorised by the Departmental Heads.
e. All payment vouchers should be dully authorised.
f. LAs should submit monthly expenditure returns to relevant Service Committees and stakeholders.

g. LAs should prepare monthly bank reconciliation in respect of central government transfers' accounts.
h. There should be total involvement of all Departmental Heads and Service Committees in the formulation of LA budgets.
i. The formulation of LA budgets should be linked to District Plans.

9.2.12.5 RECORDS REQUIRED AT AUDIT

a. Annual work plans
b. Cost centre warrants
c. Vote Ledgers
d. Bank transfer advice
e. Bank statements/advices
f. Transfer notification from NLGFC
g. Accounting records
h. Payment certificates
i. Conditional transfer programs

9.2.12.6 AUDIT PROGRAMME

REF	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Receipt of funds						
1	From the annual work plan, prepare an estimate of expected Government funding	(b), (c)					
2	Obtain a schedule of warrants from the NLGFC for the period under review and obtain details of amounts released and dates of transfers	(b), (c)					
3	Confirm receipt of transfers by inspecting bank statements and transfer advices	(b), (c)					
4	Confirm that transfers were made to the designated bank accounts	(b), (c)					
5	From accounting records, confirm recording of correct amount in the appropriate account	(a), (b), (c)					
	Conditional transfers						
6	From conditional transfer programs obtain a sample of transfers made for specific purposes and test by using the audit program for procurement and expenditure that the transfers have been expended in accordance with the approved budget estimates	(a), (b), (c)					
	Accountability						

REF	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
7	Verify the authorisation of Departmental Heads on all funds requisitions from the departments	(b), (c)					
8	Check the involvement of Departmental Heads and Service Committees in the formulation of budgets through budget approval minutes	(b), (c)					
9	Check District Executive Committee and LA minutes to verify quarterly review of work plans	(b), (c)					
10	Test for authorisation, completeness, and validity of payment vouchers	(a), (b), (c)					
11	Verify the preparation of monthly bank reconciliations						
12	Conduct physical verification of activities reported to have been carried out in the work plan	(b), (c)					
13	Test for the timely submission of expenditure returns by DC/CEO to stakeholders	(b), (c)					
14	Test for accuracy of financial records maintained	(b), (c)					
15	Check amount held on premises						

9.2.13 B12 AUDIT PROGRAMME FOR AGENCY AND DESIGNATED FUNDS

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.13.1 INTRODUCTION

Agency or designated funds represent funds that the Local Authorities administer and manage on behalf of other Principal parties. These funds can be from Central Government or indeed from the private sector, including individual members of the general public. The commonest examples of such funds are Chiefs Honoraria Funds, Deceased Estates Funds, Compensation funds etc. Being designated funds, the funds are meant to be used for specific purposes and for the benefit of specified beneficiaries. The Internal Auditor should therefore plan his audit work in such a way that he is able to satisfy himself that the funds are indeed used for the intended purposes and for the benefit of the targeted beneficiaries.

9.2.13.2 CHIEFS HONORARIA FUNDS CONTROL OBJECTIVES

a. To ensure that all monies are paid timely to bona fide Chiefs.
b. To ensure that adequate records are maintained in respect of Chiefs Honoraria Funds.

9.2.13.3 AREAS OF RISK

a. Abuse of unpaid cash.
b. Teeming and lading.
c. Theft and robbery.
d. Duplication of payments and payments to ghost chiefs.
e. Internal borrowings of Chiefs Honoraria Funds by the LA.

9.2.13.4 INTERNAL CONTROL PROCEDURES

a. There should be a proper system of insertion and deletion of names of Chiefs in the payroll.
b. Signed original payroll copies should be returned to the Ministry of Local Government and Rural Development (MLGRD).
c. The LA should bring on charge all unpaid Chiefs Honorarium Funds and general receipt numbers should be appropriately recorded on the payroll.
d. The Director of Finance should make periodic surprise checks during pay parades.
e. Letters submitted by delegated recipients should be appropriately signed for, and duly authorized for payment by a responsible officer. Such letters should be filed separately.
f. Paying officers should be rotated between different pay centres.
g. All incoming funds should be captured in an inward mail register.
h. A separate ledger should be maintained in respect of Chiefs Honoraria Funds.

9.2.13.5 DECEASED ESTATES CONTROL OBJECTIVES

a. To ensure that Deceased Estates monies are separately accounted for from Assembly monies.
b. To ensure that Deceased Estates monies exist, are valid and are completely and accurately recorded in the financial records.
c. To ensure that Deceased Estates monies are timely paid to the bona fide beneficiaries.
d. To ensure that savings accounts are opened with commercial banks for minors' funds and that withdrawals are properly authorized.

9.2.13.6 AREAS OF RISK

a. Abuse of unpaid cash
b. Teeming and lading
c. Theft and robbery
d. Duplication and payment to ghost beneficiaries
e. Internal borrowings

9.2.13.7 INTERNAL CONTROL PROCEDURES

a. All Deceased Estates money from the Administrator General and other organizations should be promptly receipted and entered in the Paper Money Register (PMR) serially (Form GP92B).
b. Deceased Estate money received should be banked intact in the Deceased Estates Account of the LA or a cheque should be taken to the Treasury Cashier after completing a Pay in Voucher (form GP96).
c. All banked Deceased Estates money should be given an identification number in the Third Party Money Register with reference to the original PMR.
d. Third Party Money Register should be recorded with the names of the beneficiaries.
e. Third Party Money Register should be endorsed with a Payment Voucher (GP10) number that was used to draw Deceased Estates money from the bank.
f. Payment vouchers should be completed with the names of beneficiaries.
g. Listed beneficiaries should sign for the disbursed money. In case of minors, a minor's account number should be endorsed against their share.
h. Deceased Estates money under will should be distributed according to contents of the will.
i. Deceased Estates monies should be timely disbursed to beneficiaries and should not be misused.
j. Interest earned from Deceased Estates Monies should be properly recorded in the bank account of each beneficiary.
k. Paying cashiers should not be authorizing signatories to minors' bank accounts or the Deceased Estates account.
l. The Director of Finance should perform periodic surprise cash counts.

9.2.13.8 OTHER AGENCY/DESIGNATED FUNDS CONTROL OBJECTIVES

a. All designated funds should be used for intended purposes.
b. All designated funds should be separately accounted for from the Assembly monies.
c. All designated funds, wherever applicable, should be timely paid to bona fide beneficiaries.

9.2.13.9 AREAS OF RISK

a. Abuse of unpaid cash
b. Teeming and lading
c. Theft and robbery
d. Internal borrowings

9.2.13.10 INTERNAL CONTROL PROCEDURES

a. Maintenance of separate accounting records.
b. Conducting of periodic surprise cash counts.
c. Internal borrowings should not be allowed.
d. Unused funds should be brought on charge.

9.2.13.11 AUDIT PROGRAMME

REF	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
	Chiefs Honararia				**Y**	**N**	
1	Check and compare with previous payrolls and identify variances	(a), (b)					
2	Verify signatures of beneficiary Chiefs	(a), (b)					
3	Check incoming and dispatch register of payroll	(a), (b)					
4	Test for remission of acquitted payrolls to the centre	(a), (b)					
5	Examine Chiefs Honoraria Funds movements by month and investigate any suspicious movements	(a), (b)					
6	Ascertain that amounts brought on charge reconcile with unsigned for funds on payroll	(a), (b)					
7	Ascertain validity of authority letters	(a), (b)					
8	Check for copies of the payroll maintained at the LA	(a), (b)					
9	Analyze the file of receipted payrolls	(a), (b)					
10	Test for the maintenance of a separate ledger	(a), (b)					
	Deceased Estate						
11	Check for validity of list of Deceased Estate beneficiaries	(a), (b), (c), (d)					
12	Check that all the concerned beneficiaries dully sign for all Deceased Estates Funds	a), (b), (c), (d)					
13	Confirm that all money received is recorded in the PMR that is serially numbered	a), (b), (c), (d)					
14	Confirm that the receipted money is banked intact promptly after receipt	a), (b), (c), (d)					
15	Test the authorization of payments and withdrawals by a responsible officer	a), (b), (c), (d)					
16	Confirm that all transactions are accurately recorded in the books of accounts	a), (b), (c), (d)					
17	Inspect the receipt and payment cashbooks for any abnormal or extra ordinary items	a), (b), (c), (d)					
18	Confirm that if any of the funds are invested, a written consent from the owner exists	a), (b), (c), (d)					
19	Confirm the correct recording of interest, if any	a), (b), (c), (d)					
20	In respect of cash on hand, reconcile the amount of cash with underlying records	a), (b), (c), (d)					
	Other Agency/Designated Funds						
21	Check for validity of list of assessment in respect of compensation funds	(a), (b)					
22	Check that all compensations are duly signed for by all the people concerned	(a), (b)					

REF	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
	Chiefs Honararia				**Y**	**N**	
23	Check that unclaimed funds are brought on charge and supported by general receipts	(a), (b)					
24	Test for maintenance of separate ledgers	(a), (b)					

9.2.14 B13 AUDIT PROGRAMME FOR RESERVES

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

This audit covers the movements and the closing balances on all Capital and Revenue Reserves.

9.2.14.1 OBJECTIVE

To ensure that Capital and Revenue Reserves have been correctly reconciled and accounted for in accordance with stipulated accounting policies.

9.2.14.2 RISKS

The key risk to the Entity is that the reserves are misstated, and that the financial statements therefore misrepresent the financial position of the Entity as reflected on its Statement of Financial Position.

9.2.14.3 RECORDS REQUIRED AT AUDIT

The following records should be requested at the start of the audit:

a. Entity Policy for Reserves
b. Schedule showing the movement on Reserves between the opening and closing balances.

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE

Normally 100% of movement should be verified.

9.2.14.4 AUDIT PROGRAMME

REF	Audit Programme Tasks	Done By	Date	Exception Noted		W/P Ref
				Y	**N**	
	Accumulated Fund					

REF	Audit Programme Tasks	Done By	Date	Exception Noted		W/P Ref
				Y	N	
1	Ensure that the Accumulated Fund is properly reconciled, and comprises the Balance Brought Forward from previous year, plus / minus the surplus / deficit of revenue over expenditure of the current year					
	All Other Capital & Revenue Reserves					
2	Investigate all other movements on any Reserve Account					
3	Obtain explanations for the increase or decrease, and ascertain what the closing balance represents [i.e. what is the debit transaction that gave rise to the Reserve]					
4	Authenticate all significant movements, and the amount, by reference to supporting evidence, e.g. a capital reserve arising from a revaluation of fixed assets, should be supported by the valuer's report.					

9.2.15 B14 AUDIT PROGRAMME FOR NON CURRENT ASSETS

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.15.1 INTRODUCTION

Non Current Assets are assets of a capital nature that are held not for resale or consumption but for use and whose useful economic life is expected to span over a period exceeding one financial year. This includes movable and non movable items such as vehicles, plant, office equipment, land and buildings, furniture and fittings, etc.

On investments, Section 50 of the LGA, 1998 permits Local Authorities to invest any portion of their surplus funds in Government Treasury Bills or in other investments as approved by the Local Authority.

The audit of non current assets and investments should therefore form an integral part of the Internal Auditors' work plan.

9.2.15.2 CONTROL OBJECTIVES

The control objectives over non current assets include ensuring that:

a. Local Authority non current assets are properly recorded and at correct fair values.
b. Non current assets are used for intended purposes and properly safeguarded.
c. Non current assets are owned by the Local Authority.

d. Local Authority non current assets that have outlived their useful economic life are disposed of appropriately and in accordance with laid down procedures.
e. Adequate provisions are made for replacement of non current assets.
f. Acquisitions of non current assets are properly authorised.

9.2.15.3 AREAS OF RISK

a. Non maintenance of non current asset records.
b. Over/under valuing of non current assets in the register and accounts.
c. Abuse of non current assets by Local Authorities' elected members, management and staff.
d. Uninsured non current assets.
e. Misappropriation or non-delivery of non current assets.
f. Non-existence of non current assets.
g. High running costs of deteriorated non current assets.
h. Continued payment of insurance premiums on non-functioning assets.
i. Inability of the Local Authority to replace non current assets.
j. Irregular disposal of non current assets.
k. Failure to process property ownership documents.

9.2.15.4 INTERNAL CONTROL PROCEDURES

The control procedures that must be adhered to by the Local Authority include:

a. Maintenance of a non current asset registers.
b. Periodic valuation of non current assets by appropriate personnel.
c. Proper authorisation regarding the usage of Local Authority non current assets like motor vehicles.
d. Existence of insurance policies for non current assets.
e. The disposal of Local Authority non current assets should be on the recommendation of the Finance Committee and an independent board of survey should be constituted for the purpose. However, the disposal of land should be in accordance with the provisions of the LGA, 1998.
f. The procurement of non current assets should be made following laid down procurement procedures.

9.2.15.5 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Test for the maintenance of a non current asset register.	(a)					
2	Compare non current asset register values with payment vouchers and receipt.	(a)					
3	Conduct physical inspection of non current assets.	(b)					

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
4	Test the valuation of non current assets through valuation reports and confirm credentials of valuers.	(a)					
5	Check authorisation for usage of assets.	(c)					
6	Verify existence of insurance policies.	(b)					
7	Check payment vouchers for insurance payments.	(b)					
8	Check files, minutes, regulations and other relevant documentation to confirm authority for non current assets acquisition or disposal.	(e), (f)					

9.2.16 B15 AUDIT PROGRAMME FOR CONTRACT AND PROJECT AUDIT

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.16.1 INTRODUCTION

Some of the activities of the LA are carried out under specific projects which are either wholly funded by the LA, or co-funded by Donors or fully funded by Donors. Whatever the source of funding, the Internal Auditor should audit the project works being carried out within the LA.

9.2.17 CONTRACTS

9.2.17.1 CONTROL OBJECTIVES

The control objectives over contracts include ensuring the following:

a. That all contracts are properly authorised.
b. That there is proper formulation of contract documents.
c. That there is proper identification and award of contracts.
d. That payments are made according to contract clauses and work certified.
e. That quality control is assured in all contracts.

9.2.17.2 AREAS OF RISK

a. Unauthorized contracts.
b. Exposure to contract loss.
c. Poor quality of work.

d. Consequences of litigation.

9.2.17.3 INTERNAL CONTROL PROCEDURES

a. The award of contracts should be done through the IPDC and the Finance Committee.
b. There should be proper identification of contractors.
c. There should be proper supervision and certification of contracts by qualified personnel.
d. Payments to contractors should be made according to contract clauses and work progress certificates.

9.2.18 PROJECTS

9.2.18.1 CONTROL OBJECTIVES

a. To ensure that all projects are properly approved by the LA and conform to the Local Development Plan.
b. To ensure that projects are implemented in accordance with Donor agreements and Government guidelines.
c. To ensure that value for money concept is attained at all levels of project implementation.
d. To ensure that project resources and expenditure are properly recorded and reported.

9.2.18.2 AREAS OF RISK

a. Projects implemented outside approved Local Development Plans, Donor agreements and Government guidelines (misprocurement concept).
b. Abuse of project funds leading to loss of Donor confidence.
c. Substandard works.
d. Over/understatement of project costs and resources.

9.2.18.3 INTERNAL CONTROL PROCEDURES

a. Project implementation should be done under the approval of the elected members of the LA.
b. Project implementation should be in accordance with provisions of the Local
c. Development Plan (LDP), budgets, Donor agreements and Government guidelines.
d. There should be proper supervision, monitoring and certification of works.
e. There should be maintenance of accurate and reliable project records, including project ledgers.
f. LAs should maintain a register of Development Partners operating in the District.
g. There should be timely preparation and submission of physical and financial progress reports to the Finance Committee, Donors, NLGFC and all relevant stakeholders.

9.2.18.4 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
	Contracts						
1	Check minutes of the IPDC and the Finance Committee to confirm authority for contract award	(a)					
2	Check documentation on invitation to bid and bid opening	(b)					
3	Check certificates of work progress against payment vouchers and cheques to confirm that payments are processed in accordance with contract specifications	(a), (b), (d)					
	Projects						
4	Check for existence of Local Development Plans, budgets, Donor agreements and Government guidelines and vouch the compliance of the LA to the documents in project implementation	(a), (b)					
5	Confirm project monitoring and supervision through project monitoring and evaluation reports	(b), (c), (d), (f)					
6	Check for existence of project records	(d)					
7	Check capitalization of completed and handed over projects	(b), (d)					
8	Check for compliance to reporting deadlines	(b), (d)					
9	Test the maintenance of a register of Development Partners	(b), (e)					

9.2.19 B16 AUDIT PROGRAMME FOR RECEIVABLES AND STAFF ADVANCES

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.19.1 INTRODUCTION

Local Authorities' debtors will mostly arise in a situation where revenue that is due has not yet been collected. A typical example applies to LAs that collect property rates. It would be discovered that such LAs will be owed sums in accrued property rates that have not yet been settled by property owners.

Apart from property rates, other debtors will take the form of outstanding staff advances and unpaid fees from services rendered. Such services will be charged for as part of a cost recovery initiative.

9.2.20 GENERAL RECEIVABLES

9.2.20.1 CONTROL OBJECTIVES

The control objectives over LA receivables system include:

a. To ensure completeness, accuracy and validity of debtors records.
b. To ensure that prescribed procedures for provision of goods and services on credit from the LA are in place and adhered to.
c. To ensure that invoices are correctly issued with reference to records showing goods or services provided.
d. To ensure that follow up action on outstanding debts is taken.

9.2.20.2 AREAS OF RISK

a. Collusion between staff members and clients
b. Unauthorized writing off of debts
c. Ineffective supervision of receivables' system
d. Understatement of receivables due to poor record keeping
e. Liquidity problems due to long outstanding receivables

9.2.20.3 INTERNAL CONTROL PROCEDURES

a. Amounts paid by receivables and receipt numbers should be posted promptly to the relevant accounts and a receivables control account should be maintained.
b. Outstanding amounts should be correctly carried forward.
c. Writing-off of receivables should be done with proper authority from the Finance Committee.
d. Credit notes should be properly authorised.
e. Reminders should be sent to long outstanding debts and follow up action should be taken as necessary.

9.2.21 STAFF ADVANCES

9.2.21.1 CONTROL OBJECTIVES

a. To ensure that staff advances are made under proper authority.
b. To ensure that consistent and timely recoveries of staff advances are made.
c. To ensure that staff advances are properly accounted for in the books of accounts.
d. To ensure that recoveries are made within the terms and conditions of staff advances.

9.2.21.2 AREAS OF RISK

a. Non recovery of staff advances.
b. Over /under deductions.
c. Advances made without proper authority.
d. Wrong applications of interest rates on staff advances.

9.2.21.3 INTERNAL CONTROL PROCEDURES

a. Emergency staff advances should be presented for approval to the Human Resource / Loans Committee. They should subsequently be ratified by the Finance Committee.
b. General Purpose Advances should be referred to the Finance Committee.
c. Staff advances should be recorded in the advances ledger.
d. Recoveries should be properly recorded in the books of accounts.
e. Provisions for staff revolving fund should be approved by the elected members of the LA and included in the approved budget.

9.2.21.4 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
	General Receivables				Y	N	
1	Check for variances in the receivables' balances from periodic movements	(a)					
2	Check for authorised procedures for writing off debts through minutes of the Finance Committee	(b)					
3	Check monthly receivables' reconciliation between control accounts and listings	(a)					
4	Test for reminders if sent in time and follow up procedures on long outstanding debts	(c), (d)					
5	Conduct a receivable's circularization to confirm validity of receivable's balances	(a)					
6	Check sequence of invoices and receipts	(a), (c)					
	Staff Advances						
7	Review minutes of the meetings of the elected members of the LA to confirm approval of the staff revolving fund	(a)					
8	Review minutes of the Loans and Finance Committees for approval of staff advances	(a)					
9	Test for recovery of staff advances on the payroll	(b)					
10	Confirm the correctness of interest rates applied	(d)					
11	Verify the existence, completeness and accuracy of the staff advances ledger	(c)					
12	Investigate any dormant advances	(b)					

9.2.22 B17 AUDIT PROGRAMME FOR ACCOUNTS PAYABLES AND COMMITMENTS

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.22.1 CONTROL OBJECTIVES

The control objectives over LA Accounts Payables' system include:

a. To ensure that all commitments are incurred under proper authority and within approved budgets.
b. To ensure that settlement of accounts payables is done in accordance with agreed terms and conditions.
c. To ensure that all accounts payables are appropriately and accurately recorded in the books of accounts.

9.2.22.2 AREAS OF RISK

a. Incurring commitments without proper authority.
b. Incurring of expenditure without confirming availability of funds.
c. Poor record keeping of account payables' information.
d. Overstatement /understatement of account payables.
e. Duplication of creditor's payments.
f. Litigations arising from unsettled creditors.

9.2.22.3 INTERNAL CONTROL PROCEDURES

a. All commitments should be incurred with prior approval of the Finance Committee and in line with the approved budget.
b. Commitments should be incurred upon confirming the availability of funds.
c. All invoices and settlements should be promptly and accurately recorded in the creditor's ledger.

9.2.22.4 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Verify authority to incur a commitment through minutes of the Finance Committee	(a)					
2	Check for the endorsement confirming the availability of funds	(a)					
3	Check for maintenance of commitment register and accounts payables' ledger	(c)					
4	Perform arithmetical accuracy test checks of creditor's records	(c)					
5	Reconcile the existence of a liability with the creditor's statement	(c)					
6	Confirm that reasonable steps are taken to avoid unwarranted commitments	(b)					

9.2.23 B18 AUDIT PROGRAMME FOR LOANS, GRANTS AND DEBT SERVICING

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.23.1 CONTROL OBJECTIVES

a. To ensure that provisions of the LGA, 1998 and PFMA, 2003 for obtaining of loans are being complied with.
b. To ensure that loans are obtained under proper authority.
c. To ensure that the loans/grants are used for the intended purpose.
d. To ensure that the loan/grant conditions have been complied with.
e. To ensure that loans/grants are correctly and accurately valued, recorded and accounted for in the books of accounts.
f. To ensure that loan repayment is completely and accurately recorded in the books of accounts.
g. To ensure that loans/grants are properly presented and disclosed.

9.2.23.2 AREAS OF RISK

a. Non disclosure of loans and grants in the books of accounts.
b. Abuse of grants and loans.
c. No conformity to loan repayment terms and conditions which may lead to litigation.

9.2.23.3 INTERNAL CONTROL PROCEDURES

a. Loan acquisitions procedures should comply with legal provisions.
b. Loan acquisitions should be authorised by the elected members of the Local Authority.
c. All grant receipts should be promptly and accurately recorded in the accounting records and should be fully disclosed.
d. Loan repayment terms should be conformed to.

9.2.23.4 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Confirm whether provisions of LGA, 1998 and PFMA, 2003 were complied with in the loan acquisition.	(a)					

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
2	Check minutes of the meetings of the elected members of the Local Authority for authorisation of loan application	(a), (b)					
3	Test usage of loans and grants against terms and conditions	(c), (d)					
4	Verify whether loan repayments are made in accordance with agreed terms and conditions	(f)					
5	Verify the disclosure and valuation of grants and loans in the books of accounts	(e), (g)					
6	Verify that loan repayments are promptly and accurately recorded in the cash-book and posted to the ledger	(f)					
7	Test minutes of Finance Committee for review of usage and application of loans and grants	(c)					

9.2.24 B19 AUDIT PROGRAMME FOR REVIEW OF FINANCIAL STATEMENTS

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

This covers the review of the operation and management of the accounting systems and the preparation of financial statements

9.2.24.1 OBJECTIVE

a. To confirm that the accounting systems, records and preparation of financial statements are in accordance with the Local Authorities Accounting and Financial Management Procedures.
b. To confirm that the accounting system produces accurate, reliable, and complete reports and that the financial statements are prepared in accordance with Local Authorities Accounting and Financial Management Procedures.
c. To confirm that the Accumulated General Rate Fund balance reconciles with the Statement of Financial Performance.

9.2.24.2 RISKS

The key risk to the Entity is non-compliance with accounting requirements, controls and procedures resulting in the failure to meet legislative and reporting requirements.The underlying risks are:

a. the incorrect application, and inconsistency in applying accounting policies and principles
b. the incorrect posting of accounting transactions
c. the production of incorrect or incomplete Financial Statements
d. The financial statements are not presented in an acceptable format.

9.2.24.3 RECORDS REQUIRED AT AUDIT

The following records should be requested at the start of the audit:

a. General Ledger and Subsidiary Ledgers
b. Trial Balance
c. Journal and Journal Reports
d. Board of Survey Report

SAMPLE SIZE – BASED ON RISK ASSESSMENT AT THE PLANNING STAGE

9.2.24.4 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
	SYSTEM AUDIT				**Y**	**N**	
1	Check that the ledgers for the General Fund and Operations accounts, and the below-the-line accounts, are posted, up-to-date and balanced on a monthly basis, and at the year end.	(a)					
	Journal						
2	Confirm that all sampled journal adjustments are supported by relevant vouchers which are / properly filed, completed, authorised and are supported by appropriate documentation.	(b)					
3	Examine the rationale behind the journal entry and confirm its legitimacy / justification	(b)					
	Trial Balance and General Ledger						
4	Check the balances carried forward from last years ledger, to the balances brought forward in this years ledger	(a), (b)					
5	For the latest month, obtain the trial balance, and check the arithmetical accuracy of the totals	(a), (b)					
6	Check all the trial balance figures back to the respective general ledger totals	(a)					
7	Select sufficient general ledger accounts that make up 80% by value of the total trial balance, and check the arithmetic accuracy of the total amount in the general ledger.	(a), (b)					
	Financial Statements						
8	From this validated trial balance, re - perform the preparation of the financial statements	(a), (b)					

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
	SYSTEM AUDIT				**Y**	**N**	
9	Confirm that the financial statements are produced in the format required by the Local Authorities Accounting and Financial Management Procedures Manual, and that they disclose all the information required by the The Local Governments Act, and the Local Authorities Accounting and Financial Management Procedures Manual	(a), (b)					
10	Confirm through inspection, that complete financial statements have been prepared at the end of every month, in a timely manner	(a), (b)					
11	Confirm that major variances in Revenue and Expenditure are adequately explained in reports that support the monthly financial statements, and that this report and accompanying financial statements (latest version) are presented to Entity whenever it meets.	(a), (b)					
	YEAR END AUDIT						
12	Repeat tests 5,6, 8,9, and 11 for year end purposes	(a), (b), (c)					
13	Ensure the financial statements are submitted for audit within the prescribed period	(a), (b)					

9.2.25 B20 AUDITING IN A COMPUTERISED ENVIRONMENT

ENTITY.....PERIOD OF AUDIT.....

PREPARED BY.....APPROVED BY.....

DATE.....DATE.....

9.2.25.1 INTRODUCTION

LAs have implemented an Integrated Financial Management Information System (IFMIS). The accounting package which is currently being used by LAs is Serenic Navigator.

The Internal Auditor should note that the fundamental principles of internal controls found in manual accounting systems are to be found in computer based accounting systems as well.

Whereas the basic principles of accounting, custody and recording remain unchanged, the nature of controls is different. In a computer based system, the controls may be divided into two:

a. General Controls
b. Application Controls

The main purpose of general controls is to ensure integrity in the development and implementation of applications and the integrity of programmes, data files and computer operations. Application controls on the other hand are controls within the computer system that aim at

ensuring that the transactions processed by the system result in information which is accurate, complete and valid.

9.2.25.2 CONTROL OBJECTIVES

a. To ensure separation/segregation of duties in system administration authorised data input, processing and reporting.
b. To ensure safety of computer hardware and computer files and programs from unauthorized access, loss or theft.
c. To ensure accuracy and completeness of data entry, processing and reporting.
d. To ensure that amendments to the system and programmes are satisfactorily authorised, documented and tested.
e. To ensure that an adequate audit trail of changes is maintained.
f. To ensure that the LA uses legitimate software whose licenses are up to date
g. To ensure that there is adequate system support, data recovery and standby facilities.

9.2.25.3 AREAS OF RISK

a. Unauthorized access to computer programs and files.
b. Tampered with programs and files leading to loss of data.
c. Loss of hardware and software.
d. Corruption and loss of programs and files.
e. Loss of data through crash of software.
f. Inaccurate reports produced from system.
g. Inadequately trained computer users.

9.2.25.4 INTERNAL CONTROL PROCEDURES

a. Use of passwords and access rights.
b. Insurance, software license and security of the office.
c. Availability of frequent system backups.
d. Adequate segregation of duties in system administration, data entry, processing and reporting.
e. Adequate system support from experts.
f. Enhanced training of users.

9.2.25.5 AUDIT PROGRAMME

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
1	Ask users to log in and check on their accessibility to specific programs and data files and user rights	(a), (b)					
2	Check insurance file and policies for hardware	(c)					
3	Check availability of licenses for software	(f)					

Ref	Audit Programme Tasks	Control Objective(s) Assessed	Done By	Date	Exception Noted		W/P Ref
					Y	N	
4	Check security of computer environment	(b), (d), (e)					
5	Sample transactions and trace entries to verify completeness, accuracy and validity	(c)					
6	Check for system support contracts and verify adequacy of support in times of problems	(f)					
7	Check for records that document problems encountered and their solutions	(e), (b)					
8	Test security of passwords	(b)					
9	Verify existence of backups and that backups are securely stored	(e), (f)					
10	Check that hardware is adequately protected from power fluctuation	(b)					

9.2.26 AUDIT WORKING PAPERS

Set out below is the standard working paper contents. Every audit shall follow and use the format depicted in the Audit Working Papers Index. Annual planning guide is in Section C. The head of internal audit will ensure that the annual plan is documented in detail using Section C as a guide.

AUDIT WORKING PAPER FILE INDEX

AUDIT TITLE: ..... AUDIT ENTITY: .....

	SECTION
PROJECT DOCUMENTS	**A**
CURRENT AUDIT REPORTS	A-1
AUDIT REPORT CHECKLIST	A-2
PROJECT FINANCIAL STATEMENTS	A-3
MONTHLY/QUARTERY PROJECT REPORTS	A-4
PROJECT ACTIVITIES & BUDGET	A-5
AUDIT REVIEW	**B**
AUDIT WORK PAPER REVIEW CHECKLIST	B-1
POST AUDIT REVIEW FORM	B-2
OTHER	B-3
PLANNING	**C**
FINANCIAL GUIDELINES	C-1
AUDIT PLAN	C-2
RISK AREAS	C-3
AUDIT ASSIGNMENT FORM	C-4
AUDIT TIME RECORD	C-5
BUDGET REVISION FORM	C-6
OTHER	C-7
WORKING PAPERS	**D**
AUDIT PROGRAMMES	D-1
AUDIT FINDING DATA SHEET	D-2
AUDIT WORKING PAPERS	D-3
OTHER	E

Details of the working papers are in Annex A

ANNEX A- AUDIT WORKING PAPERS CHECKLIST

A-2

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMENT

AUDIT REPORT CHECKLIST (TRAVELLER)

Audit Title:_____ Client:_____

Done by:_____ Date done:_____

	Date Initial
1. Field work completion	
2. First draft submitted for typing	
3. Typed draft submitted for correction	
4. Draft and working papers to Manager	
5. Draft returned to the Internal Auditor for revision, if necessary	
6. Revised draft submitted for typing	
7. Retyped draft to Manager	
8. Manager approval for audit customers review	
9. Last review completed	
10. Manager approval for final typing	
11. Typed final draft to Internal Auditor for proofing	
12. Final draft to Manager for signature	
13. Manager approval for release	
14. Final draft sent to reproduction	
15. Report returned from reproduction and releases adequacy of the system of control and effectiveness of the operation.	

A-3

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

AUDIT CHECKLIST AND AUDIT CONSIDERATIONS

AUDIT TITLE	Date	Initials	Ref
PLANNING			
1. Prepare audit assignment form.			C4
2. Review previous audit report, audit customer's replies and working papers.			C1
3. Prepare summary of prior audit findings and note action set out in audit customer's replies.			A4
4. Review Post Audit Review Form.			B2
5. Establish initial audit objectivesand scope.			C2
PRELIMINARY SURVEY			
1. Conduct an opening conference to discuss audit customer's concerns and revise initial audit objectives as appropriate.			C5/1
2. Familiarise yourself with departmental objectives, how they are attained, how then are monitored, and how results are determined.			C5/2
3. Familiarise yourself with the activities carried out by the department and review the system of control provided over those activities.			C5/3
4. Obtain copies of written procedures and, if necessary, update them. If there are none then document the practices followed in the working papers.			C5/4
5. Observe and document the operation (flow of information and reports).			C5/5
6. Obtain general background information (number of documents handled, amount and source of funding, number of employees).			C5/6
7. Identify any relevant account numbers and record financial data for review and testing.			C5/7
8. Draw preliminary conclusion as to adequacy of the system of control and effectiveness of the operation.			C5/8
9. List areas of risk.			C3
10. Revise initial audit objectives and scope			C2
11. Prepare audit programme.			D11

AUDIT TITLE	Date	Initials	Ref
12. Obtain Manager's approval of preliminary survey and audit programme.			D3
FIELD WORK PHASE:			
1. Perform and document the reviews and tests set out in the audit programme and analyse results.			D3
2. Be alert for opportunities for cost reduction and system improvements.			D2
3. Review and document status of prior audit findings.			A4
4. Prepare summary of findings, review with audit customer and record audit customer comments and corrective actions planned or taken.			D2
FINAL PHASE:			
1. Review working papers for compliance with the items listed on the Audit Work Paper Review Checklist (B1)			D3
2. Obtain manager's approval of work papers.			D3
3. Prepare report draft and review with manager.			A1
4. Obtain approval for review with audit customer.			A1/1
5. Review the report draft with audit customer.			A1/2
6. Modify report draft, if necessary, review revised draft with manager and obtain approval for final typing.			A1/3
7. Proof read and reference final report.			A1/4
8. Complete the Project Time Record.			C5
9. Prepare a Post audit Review Form.			B2

Internal Auditor_____ Audit Manager _____

B-1

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

AUDIT WORK PAPER REVIEW CHECKLIST

Audit Title:_____ Client:_____

Reviewed By:_____ Internal Auditor Date:_____

Reviewed By:_____ Audit Manager Date:_____

Audit Guide/Detailed Audit Program: D1	Yes	No	IA	Mgr
1. Has every detailed audit program step been completed and initialled to indicate completion?				
2. Are the reasons for omissions of any audit step clearly documented?				
3. Are the reasons for omissions justified?				
4. Was the omission of each audit step approved by the Audit Manager?				
Audit Finding Data Sheets: D2				
5. Do all data sheets indicate:				
Date?				
Work Paper reference?				
Preparer?				
6. Is there supporting evidential material supporting each finding and recommendation?				
7. Does each data sheet adequately analyse the cause of the finding?				
8. Do all data sheets contain adequate quantification regarding the effect of the subject being addressed?				
9. Are all data sheets complete as to Criteria, Condition, Cause, Effect, Recommendation and Response?				
10. Are findings treated as "less significant"appropriately classified?				
11. Are there findings not classified as less significant that should be?				

Audit Guide/Detailed Audit Program: D1	Yes	No	IA	Mgr
12. Were all data sheets given to responsible management on a timely basis?				
13. Do all data sheets indicate with whom the finding was discussed?				
14. Are the data sheets clear, concise and do they reflect proper objective tone?				
Detailed Work Papers: D3				
15. Do all pages include:				
Proper numbering, pages not used accounted for?				
Date (s) prepared?				
Preparer's initials?				
The proper header and reference to audit step number?				
Source(s) of data/ information?				
Basis of selection?				
Tick mark legend?				
Adequate conclusions?				
Adequate cross referencing?				
Indication of review by the Internal Auditor?				
16. Were all findings in the work papers set forth in Audit Finding Data Sheets or adequately resolved in the work papers?				
17. Do all work papers appear responsive to the detailed audit program step as to the extent of testing and audit scope?				
18. Were the audit work papers prepared efficiently using available client data/ information so as not to waste time creating what already exist?				
19. Do the work papers contain any extraneous or unnecessary pages or documentation?				
20. Are the work papers legible neat, and logically arranged so that information flows from summary to detail?				
21. Have the carry-forward files been appropriately updated and has the Internal Auditor signed for the update?				
22. Have unnecessary miscellaneous work papers been removed from the files?				

Audit Guide/Detailed Audit Program: D1	Yes	No	IA	Mgr
Overall Audit Evaluation: 23. Is the draft copy of the audit report cross-referenced to the applicable Audit Finding Data Sheets?				
24. Does it appear that the audit was performed objectively and independently?				
25. Did the audit accomplish the written audit objectives established before the audit began as part of the audit planning process?				
26. Are there changes that should be made to the detailed audit programme before a similar audit is performed again? Have they been documented?				
27. Are there any areas of noteworthy exposure that were not addressed by this audit but should be considered as part of the department's on-going risk assessment? Have they been documented?				
28. Does the draft audit report reflect the proper tone, i.e., on improvement - not criticism?				
29. Was audit time consistent with the audit plan, or budget variance explanation necessary?				
30. Did the audit(s) effectively use available computer hardware and software?				
31. Were any new macros, templates, standard schedules or work sheet innovations created?				
32. Should any innovations be passed on to other audit staff members?				
33. Have work papers created via computer been copied to floppy disks, and have they been properly labelled and indexed?				
34. Have all to-do list items and review notes been satisfactorily resolved?				

B-2

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

POST-AUDIT REVIEW FORM

Audit Title:_____

Question/Answer (Give reasons)

Should this audit project be repeated: Yes: _____ No: _____

If yes:

How soon? _____

Should it be combined with another project? _____

_____

What budget is recommended:

For a full-scope project? _____

For a limited review (survey)? _____

If no, why not? _____

What part of the audit project:

Should be scheduled for an interim examination? _____

_____

Must be covered or warrants special attention in future examinations?

_____

Should be eliminated in future examinations? _____

_____

What suggestions do you have for the auditor making the next examination in this area?

_____

What, if any, matters were disclosed that warrant review during other audit projects?

_____

Internal Auditor: _____ Date: _____

Head of Internal Audit:_____ Date:_____

C-2

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

AUDIT OBJECTIVES AND PLANNING CHECKLIST

Audit Title: _____

Audit Budget: _____

Targeted Start Date: _____

Targeted Completion Date: _____

	W/P Ref.	Done By:
1. Review the prior audit report and Post-audit review form to determine and document any specific follow-up steps required.		
2. Review the audit time summary from the prior audit versus the findings and conclusions actually reported. Document your observations regarding scope adjustments, if any, driven by past audit results.		
3. Document any changes you would currently make to the assessment of audit risk set forth in the prior audit working papers.		
4. Refer to external auditors reports and programs to determine if they have any specific concerns about this audit or any specific audit tests they want Internal Auditing to perform.		
5. Summarise the audit objectives in writing to focus efforts toward meeting objectives and to later facilitate evaluation of whether or not the audit accomplished the purpose intended. As a guide, audit objectives can generally be summarised regarding the evaluation of:		
Reliability and integrity of information or recorded transactions.		
Compliance with policies, directives, procedures, plans, laws or regulations.		
Safeguarding of assets.		
Economic and efficient use of resources.		
Accomplishment of established goals and objectives for programmes or operations.		
6. Prepare a Project Time Record.		
7. Develop a detailed audit programme Final Internal Audit Policies and Procedures Manual for Local Authorities and obtain Head of Internal Audit approval before field work begins.		

8. Prepare an audit notice advising all who need to know about the audit, its timing, and the audit objectives.		
9. Document the rationale for selecting audit entrance and exit-level management to make sure that the management level selected has the authority to implement the agreed corrective actions.		
10. At the entrance conference, communicate the audit objectives to management audit customers. Obtain and document their comments and suggestions on how to facilitate positive audit results.		
11. Based on the entrance conference and an on-site survey, prepare a detailed audit programme, if appropriate, to reflect the results of communications with management and the on-site survey.		
12. Document the detailed audit programme changes, if any, and obtain the Audit Manager's approval of the revised audit programme.		
13. Prepare a Budget Revision Form if necessary, to document the revised budget.		

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.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

AUDIT ASSIGNMENT FORM

Audit Title: _____

Budgeted Hours: _____ Date Assigned: _____

General Comments: _____

_____

_____

_____

_____

Audit Objectives: _____

_____

_____

_____

_____

Special Instructions: _____

_____

_____

Internal Audit Personnel Assigned: _____

_____

_____

Auditor In Charge: _____

Prepared By: _____ _____ Date: _____

Approved By: _____ Date: _____

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.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

AUDIT TIME RECORD

Audit Title: _____

Original Budget Final Actual

Revised Actual Over/(Under) Budget

	Original	Budget Revised	Final/Actual	Actual Over / (Under Budget)
PLANNING				
Initial Planning				
Preliminary Survey				
AUDIT PROGRAM				
FIELD WORK				
Segment 1				
Segment 2				
Segment 3				
AUDIT MANAGER'S REVIEW				
REPORT WRITING AND EDITING				
DRAFT REPORT DISCUSSION WITH AUDIT CUSTOMER				
DISCUSSION WITH MANAGEMENT				
TOTAL				

Budget revisions are to be supported by a Budget Revision Form.

C-6

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

BUDGET REVISION FORM

Budget adjustments should be pursued as soon as it is determined that the audit project undertaken is not the same as the project planned in the long-range program. Generally this would take place after the preliminary survey and completion of the audit program, although factors may surface in any phase of the project necessitating budget revisions.

Budget revisions are to be prepared by the auditor-in-charge, reviewed by the audit manager, and approved or disapproved by the Director of Internal Auditing.

A budget revision is requested for the following:-

Audit Title: _____

Total Budgeted Project Hours: _____

Change Requested:_____

Revised Project Hours: _____

Revision requested for the following reason: _____

_____

_____

_____

Prepared by: _____

Date: _____

Reviewed by:_____Date:_____

Approved/Disapproved by: _____

Date: _____

D-2

.....LOCAL AUTHORITY

INTERNAL AUDIT DEPARTMEMT

AUDIT FINDING DATA SHEET

Audit Title: _____

W.P. Ref.: _____ Prepared by: _____

Date _____

Reviewed by: _____ Date _____

1. DISCUSSION OF ADVERSE CONDITION

Include a statement of the deviation, supporting facts and test results, and the effect of the condition reasons to change, violated, standards). State the cause of the deviation, if appropriate, and address why the deviation is considered to be a finding (i.e., not in compliance with written procedure, etc.)

CRITERIA (WHAT SHOULD BE): _____

_____

_____

_____

CONDITION (WHAT IS):

_____

_____

_____

_____

CAUSE (WHY THE DEVIATION):

_____

_____

_____

EFFECT (RESULT OF DEVIATION):

_____

_____

Observation reviewed with:_____

2. RECOMMENDATION

How can the situation be best corrected, based on acceptable criteria as agreed by affected personnel?

_____

Final Internal Audit Policies and Procedures Manual for Local Authorities

_____

Recommendation reviewed with:_____

3. REACTION

State if affected personnel agree or disagree with the finding and the recommendation. If there

is disagreement, indicate the position taken by the audit customer.

_____

4. EXIT CONFERENCE (Management Action)

Show final disposition, open issues, sensitive verbiage, initial response, items for background section.

_____

_____

_____

5. CHECK:

_____To be included in final report. _____Not to be included in final report

(State reasons below)

ANNEX B- INTERNAL CONTROL REVIEW TEMPLATE

STATUS OF I N T E R N A L C O N T R O L

Instructions to undertake the control systems review

Answer each question in capitals using one of the following:
Y = Yes
N = No
I = Isolated instances
X = Not applicable (The proforma questionnaire has been completed as if all answers questions were N/A - i.e. `X')

Notes:
1. All columns, other than those indicated above, are write protected & should not be tampered with
2. All questions must be answered
3. Where an `I' (Isolated instance) is not given as a choice it will not be accepted by the program
4. Compensating controls are not catered for in this program. All questions must, therefore, be answered as they stand. Should you consider that your entity has a compensating control, kindly show in writing on the hard copy of the "matrix"
   - the compensating control
   - the effect on the score
5. All negative scores should explained with action plans
6. Detailed work done for each section should be supported by Working Papers in D-3
7. A reasonable sample of transactions should be taken to enable the Auditor to make substantiated answers to each question in the Internal Control Questionnaires.
8. For each negative scoring an Audit Data Finding Sheet in D-2 will completed in full Information captured in D-2 will form the basis of the Audit Report and so should completed in full.

Information on scoring	**Scoring**			
	Compliance or otherwise with control			
Order of Importance of Control	Does Not comply	Isolated Incidents	Does Comply	Not Applicable
1	9	3	0	0
2	12	4	0	0
3	27	9	0	0
4	30	10	0	0
5	36	12	0	0

COUNCIL:
PERIOD/YEAR END:
DEPARTMENT/SECTION:
RESPONSIBLE MANAGER:
DATE PREPARED:

SIGNED BY RESPONSIBLE MANAGER_____

		WEIGHT	OPTIONS	SCORES	RESULTS	W/P REF
5.	**BANK & CASH / RECEIPTS**					
5.1	Are there any conflicting duties in the area of cash handling & recording?	5	Y/N/X	**X**	0	
	Does the clerk responsible for reconciling the cash book:	*	*	*	*	
	a. Have access to receipts or payments	5	Y/N/X	**X**	0	
	b. Open the mail	5	Y/N/X	**X**	0	
5.2	Is the mail opened by two persons?	3	Y/N/X	**X**	0	
5.3	Are all cheques received restrictively crossed on receipt?	3	Y/N/X	**X**	0	
5.4	Is a mail/cheque register used?	3	Y/N/X	**X**	0	
5.5	Is the mail/cheque register agreed to the bank deposit slips by an independent person?	3	Y/N/X	**X**	0	
5.6	Is proper control maintained over post dated cheques if any?	4	Y/N/X	**X**	0	
5.7	Are the bank statements reconciled on a monthly basis?	5	Y/N/X	**X**	0	
5.8	Is there evidence that the bank reconciliation is reviewed by a senior official?	5	Y/N/X	**X**	0	
5.9	Are there any stale cheques on the bank reconciliation?	3	Y/N/X	**X**	0	
5.10	Are all bank reconciling items cleared timeously?	3	Y/N/X	**X**	0	
5.11	Are there any unsupported items on the bank reconciliation?	5	Y/N/X	**X**	0	
5.12	Are payments cheques returned to the preparer after signature but before despatch?	4	Y/N/X	**X**	0	
5.13	Is cash collected from various Cash Collections Points timely banked and checked	*	*	*	*	
	against Bank statements?	2	Y/N/X	**X**	0	
5.14		5	Y/N/X	**X**	0	
5.15	Does the entity use any bank accounts that do not appear on the list of	*	*	*	*	
	authorised bank accounts?	4	Y/N/X	**X**	0	
5.16	Are unused cheque books properly secured & their issue strictly controlled?	4	Y/N/X	**X**	0	
5.17	Are surplus funds only invested in council approved institutions & within approved limits?	5	Y/N/X	**X**	0	
5.18	Is petty cash counted by a responsible official from time to time on a surprise basis?	2	Y/N/X	**X**	0	
5.16	Does the entity use any bank accounts that do not appear on the list of	*	*	*	*	
	authorised bank accounts?	4	Y/N/X	**X**	0	
5.17	Are returned paid cheques retained in numerical sequence?	2	Y/N/X	**X**	0	
5.18	Are unused cheque books properly secured & their issue strictly	*	*	*	*	
	controlled?	4	Y/N/X	**X**	0	
	TOTAL SCORE				**0**	
	POTENTIAL MAXIMUM SCORE				**0**	
	PERCENTAGE RATING				**0**	

ANNEX C- AUDIT FINDINGS/ ACTION PLAN FOLLOW-UP

SUMMARY REPORT ON THE IMPLEMEMTATION OF MANAGEMENT ACTIONS ON AUDIT OBSERVATIONS									
Council name:									
CEO:									
Year of reporting:									
1	*2*	*3*	*4*	*5*	*6*	*7*	*8*	*9*	*10*
REPORT TITLE	No of	Appropriate	Implemented		Action to	Partialy Implemented		Overdue action	
	audit queries	action taken	by suitable	No longer	be taken	B/f per prior	current	B/f per prior report	current
	reported	as agreed	alternative	Applicable	not yet due	report	situation		situation

SUMMARY REPORT ON THE IMPLEMEMTATION OF MANAGEMENT ACTIONS ON AUDIT OBSERVATIONS									
Current % implementation									
Previous report % implementation									

KEY:

Column 1: Write the title of the report being followed up.

Column 2: Put number of audit findings that were raised in the audit report

Column 3: Put the number of agreed management actions taken to address

Column 4: Where management subsequently implemented an alternative action from the one earlier agreed with auditors and included in the report, put the number of such alternative.

Column 5: Sometimes it might be the agreed action is no longer necessary, then put the number of such discontinued actions here

Column 6: Here you put all management actions that are not yet done because the time to take such actions has not yet passed.

Column 7 & 8: Here put the number of management actions that have been partly implemented.

Column 9 & 10: Here put the number of management actions that should have been already implemented on agreed dates but have not been implemented.

ANNEX D- AUDIT ENGAGEMEMNT LETTER

INTERNAL AUDIT OFFICE

MEMORANDUM

TO: Name of the Director of the department to be audited

DATE:

FROM: Head of Internal Audit

SUBJECT: Audit of (insert area of the audit)

Internal Audit will be performing an audit of (function/department), which is scheduled to begin on (date). We tentatively plan to complete our fieldwork by (date). Our audit scope will cover the period (date) to (date), and may be changed after the survey is completed. The general objectives of this audit will be to evaluate compliance with organization policies and procedures; laws, regulations or guidelines, effectiveness of internal controls, risk management and governance systems and processes.

To assist us with this audit, we would like to obtain some documentation prior to the start of fieldwork. I will contact you for specific documents required.

Please feel free to designate key member of your staff whom the auditors may contact when requesting data and/or documents. In addition, please arrange a workspace for the auditor(s).

Rest assured that inclusion of your department for audit on the Long-Range Audit Plan does not mean that something is wrong. Our office is responsible for examining and evaluating the adequacy and effectiveness of the organization's systems of internal controls and the quality of performance by Council departments.

I have assigned the following audit staff to this project:

Title of audit staff	Name
Supervisor	
Staff Auditors (1)	
Staff Auditors (2)	
Staff Auditors (3)	

(Name of Supervisor) will be contacting you to arrange a convenient time for the Entrance Conference meeting. Should you have any questions before we meet, do not hesitate to call me at (insert contact information).

ANNEX E- INTERNAL AUDIT CHARTER

Because of the size of the Charter, the Charter is separated from this Manual.

With support rendered by the
United States Agency for International Development (USAID) and the
Foreign, Commonwealth and Development Office (FCDO), through the
Local Government Accountability and Performance (LGAP) project.